



HOME AFRIKA

# 2019

## INTEGRATED ANNUAL REPORT AND FINANCIAL STATEMENTS





## **Migaa Sunday Golfing**

*Migaa Golf Estate*



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## ABOUT THIS REPORT

Home Afrika Limited is pleased to present its 2019 Integrated Report. The Group views integrated reporting as a means of communicating with its stakeholders and providing insight into the Group's governance, strategy, performance and future prospects.

### Scope and basis for preparation and presentation frameworks

This Integrated report has been prepared for the period 1st January 2019 to 31st December 2019 and covers the activities of the company and its subsidiary companies. It has been prepared in accordance with the International Integrated Reporting Council's (IIRC) Integrated Reporting Framework (<IR> Framework). Home Afrika has applied the principles contained in the IFRS, Companies Act, Capital Markets Authority (CMA) Code of Corporate Governance, and the Nairobi Securities Exchange (NSE) listing requirements.

The report consciously communicates how Home Afrika's strategy, governance, performance and prospects lead to value creation for our stakeholders and

Investors over the short, medium and long term.

### Target Audience And Materiality

It is prepared principally for our current and prospective investors to support their capital allocation assessments. The report is also relevant for any other stakeholder who has an interest in our performance and prospects. This report focuses on material matters that affect our ability to create and sustain value and deliver on our strategy.

Material matters are those factors that have the most impact on our ability to create value. They have an impact on our performance and relationships with our stakeholders. These matters influence the strategic approach adopted in steering the group in the short, medium and long term.

### Board Responsibility

The Board of directors confirms its responsibility to ensure the integrity of the report. In its opinion, this

report provides a true position of the group's activities, material issues and performance.

2019 Integrated Annual Report and Group Financial statements were approved by the Board of Directors on the 30th May 2020.

Certain statements in this report may constitute 'forward-looking statements'. Such forward-looking statements involve known and unknown risks, uncertainties and other important factors that could cause the actual results, performance or achievements of Home Afrika Limited and its subsidiaries to be materially different from the future results, performance or achievements expressed or implied by such forward-looking statements. The Group undertakes no obligation to update publicly or release any revisions to these forward-looking statements to reflect events or circumstances after the date of this document, or to reflect the occurrence of anticipated events. These have not been reviewed or reported on by the Group's auditors.

## COMPANY INFORMATION

### BOARD OF DIRECTORS

Peter Nduati  
 Linus Gitahi (retired 5th Sept 2019)  
 Mbugua Gecaga  
 Dan Awendo  
 Ketan Shah (retired 30th Sept 2019)  
 Caroline Kigen  
 Rachel Mbai (retired 7th Oct 2019)  
 Peter Mungai  
 Luke Kinoti  
 Kendi Ogamba

### PRINCIPAL PLACE OF BUSINESS

Morningside Office Park  
 Ngong Road  
 P.O. Box 6254, 00100  
 Nairobi

### INDEPENDENT AUDITOR

PKF Kenya  
 Certified Public Accountants  
 P.O. Box 14077, 00800  
 NAIROBI

### PRINCIPAL BANKERS

Kenya Commercial Bank Limited  
 NAIROBI

I&M Bank Limited  
 NAIROBI

SBM Bank (Kenya) Limited  
 NAIROBI

NIC Bank Limited  
 NAIROBI

### LEGAL ADVISORS

Muriu Mungai & Company Advocates.  
 NAIROBI

Wainaina Ireri LLP Advocates  
 NAIROBI

Robson Harris & Co Advocates  
 NAIROBI

SUBSIDIARIES



## OUR PURPOSE AND VALUE

To address the housing  
need in Africa

### MISSION



To be the leader in the  
provision of dignified  
planned communities  
across Africa

### VISION



Houses Become Homes

### SLOGAN



**WHAT WE DO:**  
Disciplined Focus on results

**HOW WE DO IT:**  
Empowering Innovation &  
team work

### CULTURE



## CORE VALUES

The Company's business development, internal interactions as employees and external interactions are driven and defined by our core values. These are:-



### PASSION

Passion for the job is every employee's emotional connection to their duties and their individual commitment to fulfilling their respective client's needs. Passion for the organization is the employee's and company leadership's collective commitment to fulfilling the company's vision for success.

Passion is a tenet of the Company's core values because it encourages the employees to remain committed to their work and to own their respective duties while serving internal and external clients



### RESPECT

Respect as a company value in this instance refers to the ability to consider other people in work related interactions.

The golden rule regarding respect is if an employee requires it from others, they must also be respectful. The Company currently has a diverse client base and its interactions with them are defined by non-discrimination in all its forms and dignity of all persons.

Respect amongst employees and the Company's leadership means consideration of their privacy, physical space and belongings; different viewpoints, philosophies, physical ability, beliefs and personality.



### INNOVATION

Innovation is the development of new solutions that meet new requirements. The Company remains committed to discussing and implementing employees' ideas for more effective policies, processes and methodologies.

Employees are encouraged to engage their creativity and contribute to the improvement of service delivery to internal and external clients.



## DISCIPLINE

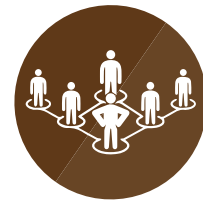
This refers to the employees' ability to understand the company's business strategy, ethical standards of conduct and expected employee output and incorporating them whilst carrying out their individual duties and decision making processes.



## EXCELLENCE

As a core value, excellence in the Company's context refers to the continuous improvement of the excellence is a talent or quality that is unusually good and surpasses ordinary standards. It is also used as a standard of performance.

Practice makes perfect and so every employee must be allowed to keep improving his or her performance over time.



## SPIRIT OF TEAMWORK

Teamwork is the ladder that takes any organization to the heights of success. Teamwork is defined as the cooperative effort of a group of people to achieve a specific goal. This goal cannot be attained individually.

A group of people with different talents must work together to accomplish the task. Good teamwork is the essence of any organizational achievement. This brings more fruitful results. Thus, the spirit of teamwork is the first attribute that every leader strives to inculcate in their employees. Teamwork supports in developing remarkable moral values among the team members. At the Company, we will inculcate teamwork by encouraging team play, working committees and other team activities.

## HISTORY AND BACKGROUND OF HOME AFRIKA

Home Afrika is a publicly quoted Real Estate company incorporated in 2008 and founded on a mission to address the housing need in Africa.

Home Afrika was listed on the Growth Enterprise Market Segment (GEMS) of the Nairobi Securities Exchange (NSE) in July 2013.

### Key Milestones over the years:



#### 2008

In July 2008, the company was registered under the name Home Afrika, with a capital outlay of Ksh. 200 Million contributed by 128 shareholders.



#### 2009

Home Afrika gets its first major project, Morningside Office Park, with sales value of Ksh. 1.3 Billion completed and fully sold in 3 years.



#### 2010

Home Afrika is invited to partner in the Migaa Golf Estate Development Project; a mixed use golf estate development closest to Nairobi Central Business District.

Home Afrika seeks to create sustainable communities around Africa by providing quality and affordable housing developments.

We follow the principle of long term positive

societal impact, creating synergies in our partnerships and managing them with integrity, fairness and discipline.

Our goal is to meet the huge demand for housing in Kenya and the rest of Africa.



## **2011-2012**

Home Afrika initiates three new projects including Mitini Scapes Estate in Migaa Golf Estate in Kiambu County, Lakeview Heights in Kisumu County and Llango in Kwale County.



## **2013**

Home Afrika Limited lists on the Growth Enterprise Market Segment of the Nairobi Securities Exchange.



## **2014**

Home Afrika Rebrands as it positions to roll out new developments over the next five years.

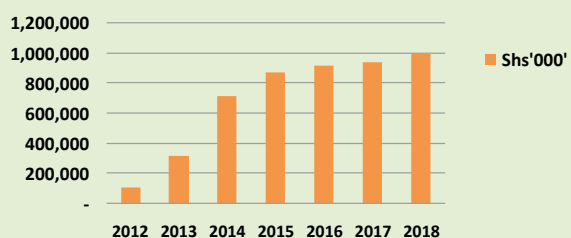


## **2016-2019**

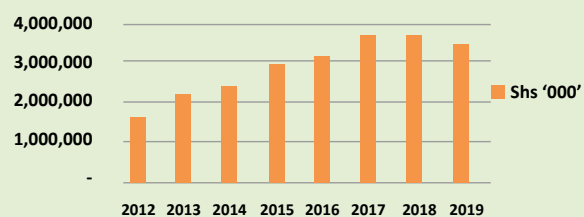
Home Afrika embarks on a restructuring process aimed at strengthening institutional capacity, introducing and executing a focused results oriented business model and growing shareholder value

## PERFORMANCE REVIEW

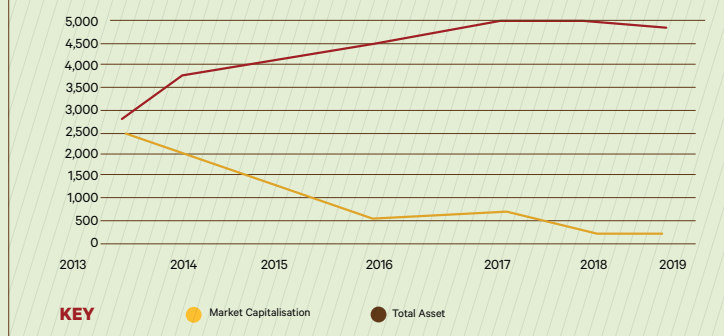
### DEFERRED INCOME



### INVENTORY



### Market Capitalisation Vs Total Asset



### STATUS OF LAND SALE TRANSACTIONS

Actual sales analysis for the last 3 years

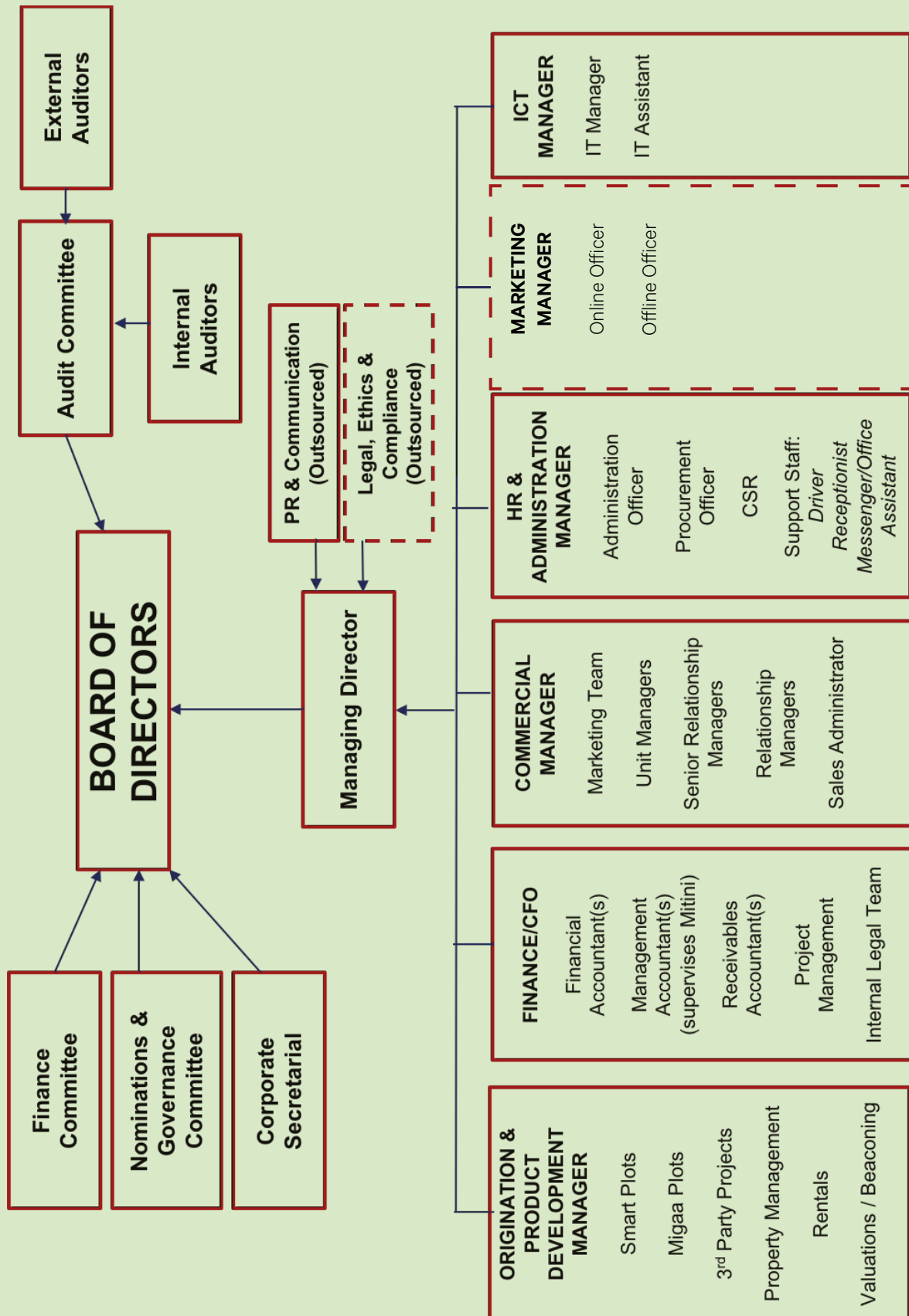


**“A home is more than  
a place in your heart.”**

*African Proverb*



## HOME AFRIKA LTD ORGANOGRAM



## DIRECTORS PROFILES



### Peter Nduati

CHAIRMAN

**Years in Industry: 30 +**

#### Education

- Master of Arts, Aberdeen University, Scotland
- BA Economics, Government DAV College, Punjab University, Chandigarh India

#### Industry

Business Management & Entrepreneurship

#### Summary Experience

A pioneer in African insurance, Peter Nduati was named East African Entrepreneur of the Year in 2013 in the CNBC/FORBES All Africa Business Leaders Awards -The continent's most prestigious business awards, the AABLAs recognize innovators and pioneers in a variety of categories, reflecting the diversity of the African business environment. With a Master's degree holder in Economics and Insurance, Peter Nduati is a chartered insurer with over 28 years' experience in the East African Insurance Industry. Peter is the Founder and CEO of Resolution Group Ltd, a financial services company that owns Insurance and Credit business in the East Africa region.

Formerly CEO of Metropolitan Health Group, a South African Health insurance group and was Managing Director of AAR Health Services Tanzania. He is the founder and main shareholder of Centric Air Ambulance, Chairman of True Blaq Entertainment, and Director Home Afrika Ltd, Pine Creek Holdings and Brown Oak Ltd an investment holding company.

He was also admitted as a Global Fellow in the Africa Leadership Institute, the ASPEN initiative. The Africa Leadership Initiative (ALI) is a collaborative effort of seven partner organizations in Africa and the United States to foster values-based, action-oriented leadership in Africa. ALI Fellows are highly successful, entrepreneurial individuals from business, government and civil society.



### Dan Awendo

MANAGING DIRECTOR

**Years in Industry: 20 +**

#### Education

- AMP from Strathmore Business School and IESE Business School in Spain
- Certified Public Accountant, Strathmore University

#### Industry

Audit, accounting, corporate finance and management consultancy

#### Summary Experience

Mr. Awendo has over 20 years of post qualification experience in audit, accounting, management consultancy, corporate finance and entrepreneurship. Dan has worked in various senior management positions in both local and international companies and has been a board member of various companies and learning institutions in Kenya.

Dan is the founder and previously the CEO of Investeq Capital, a company that focuses on the unique environment of financing Small & Medium sized business in East Africa. Dan led Investeq Capital to win both local and continental awards in Strategy, Leadership, Customer Orientation, Financial Performance and Entrepreneurship.

He has also previously been named by The Business Daily as amongst Kenya's "High Impact Entrepreneurs" and also amongst Kenya's "CEO's with Golden Hands". He has also been profiled by The Standard Newspaper as a "Captain of Industry."

## DIRECTORS PROFILES



### Peter Mungai

NON EXECUTIVE DIRECTOR

**Years in Industry: 25 +**

#### Education

- Doctor of Philosophy (Leadership & Management) – Management University of Africa (ongoing)
- Master of Business Administration (Strategic Management) – Management University of Africa
- Bachelor of Education (Business Studies & Mathematics) – Kenyatta University
- Certified Public Accountant of Kenya (CPA-K) – Institute of Certified Public Accountants of Kenya

#### Industry

Audit, accounting and financial advisory

#### Summary Experience

Mr. Peter Mungai is a seasoned Management Consultant with vast experience in team management, change management, corporate strategy development and implementation, collaboration and corporate partnerships.

He has over 20 years' experience in audit, accounting, and finance and management consultancy having worked in various institutions in different capacities.

Peter holds a Master of Business Administration(MBA) degree in Strategic Management from the Management University of Africa and a Bachelor of Education(B.Ed. Arts) Degree in Business Studies & Mathematics from Kenyatta University. He is currently pursuing a Doctor of Philosophy (PhD) in Leadership & Management at the Management University of Africa. He is also a certified member (CPA-K) of the Institute of Certified Public Accountants of Kenya (ICPAK) and serves in the Public Finance & Tax committee of ICPAK

His broad and versatile skill set has enabled him to have notable achievements including being the Past Chairman of the Board Directors of Limuru Golf &Country Club, Chairman of the Board of Finance &Council member of the Kenya Institute of Management and Chairman of New Dawn Investments.



### Kendi Ogamba

NON EXECUTIVE DIRECTOR

**Years in Industry: 20 +**

#### Education

- Bachelors of Law Degree – University of Nairobi
- Member of Law Society of Kenya
- Advocate of the High Court

#### Industry

Legal

#### Summary Experience

Mrs. Kendi Ogamba holds a Bachelor of Laws Degree from the University of Nairobi and is a member of the Law Society of Kenya.

She is an Advocate of the High Court of Kenya with over 20 years' experience in the legal field. She brings a wealth of knowledge in management, marketing law, regulatory and ethics compliance having worked in various institutions such as Hamilton Harrison & Mathews Advocates, the Coca - Cola Company and Migos - Ogamba & Co. Advocates.

## DIRECTORS PROFILES



### Caroline Kigen

NON EXECUTIVE DIRECTOR

**Years in Industry: 20 +**

#### Education

- Master in Business Administration (Accounting)
- Bachelors of Commerce – University of Nairobi

#### Industry

Audit, accounting and financial advisory

#### Summary Experience

Caroline, a member of the Institute of Certified Public Accountants of Kenya (ICPAK), is also the current chair of the Professional Accountancy Organization (PAO) Development Committee. A role that she has served faithfully since January 2014. She previously served as a member of the Compliance Advisory Panel from 2008 to 2012 and its deputy chair in 2013.

Caroline has also been the Chief Executive Officer and Secretary to the Council of ICPAK, a position she held from 2006 to 2014. Mrs. Kigen has also held the role of Director of Professional Services and Deputy to the Chief Executive Officer of ICPAK.

Ms. Kigen also has experience working within the academic world, having served as a lecturer of accounting at the University of Nairobi and Strathmore University for more than five years, as well as working within the audit and assurance department of PwC. Mrs. Kigen has extensive experience in the boardroom having served in various boards and committees, including KASNEB, the body that examines the professional CPA examinations in Kenya.



### Mbugua Gecaga

NON EXECUTIVE DIRECTOR

**Years in Industry: 25 +**

#### Education

- MBA - Henley Management College
- Bachelors of Science - University of Nairobi

#### Industry

Marketing, brand strategy and business management

#### Summary Experience

A marketer by training, Mr. Gecaga has over 20 years of experience in the Marketing and Branding profession. Having worked with British American Tobacco, the region's largest supplier of tobacco related products, in senior marketing positions in Kenya, Uganda, Ethiopia, Zimbabwe and the Indian Ocean Islands. Mr. Mbugua is well versed in strategic marketing and brings on-board important skill sets for the execution of Home Afrika's marketing and sales strategies.

Mbugua is currently a consultant with Uza Bora Consultants. He is also serving in the Finance, Procurement, Admin & Strategy Committee at Home Afrika where among other things he oversees the Group's financial performance and strategy. Aside from his role in the committee, drawing from his years of experience in marketing, he ensures that Home Afrika is aligned strategically in relation to brand presence and market.

## DIRECTORS PROFILES



### Luke Kinoti

NON EXECUTIVE DIRECTOR

**Years in Industry: 30 +**

#### Education

- Masters of Arts in Sociology - University of Nairobi
- Bachelor of Science in Mathematics & Statistics - University of Nairobi
- Post Graduate Diploma in Management - Kenya Institute of Management

#### Industry

Investment Banking, Private Equity and Real Estate Development

#### Summary Experience

Mr. Kinoti, is an accomplished entrepreneur, investor and corporate leader in the world of investment banking and Real Estate, with extensive post graduate training in finance, investment, private equity, business leadership and management. He has had work experience in India, Sri-Lanka, Malawi, Zimbabwe, Ghana, Tanzania, South Africa, Rwanda and Uganda.

Luke began his finance and business careers in 1990 as a founding Chief Executive Officer of ECLOF Kenya. A Microfinance Institution with global headquarters in Geneva, which provides financial and related non-financial services to micro, small and medium entrepreneurs in Kenya.

In 2006, he Co-Founded Fusion Capital, a private equity and real estate development firm with business interests in East Africa. The company was awarded ISO 9001:2008 in 2013. In 2016 Luke pioneered the development of Real Estate Investment Trusts (DREITs) in Kenya and subsequently opened Kigali Heights, an ultra-modern mixed use complex in Rwanda. He retired from Fusion Group of companies and joined Suntra Investment Limited, a leading stock brokerage company regulated by the Capital Market Authority (CMA) as Managing Director and CEO. He left Suntra in 2019 to start Vedman Capital Limited, a consulting

firm specializing in Finance, Investment and Investor Relations. Vedman is registered by Nairobi Securities Exchange as a Nominated Advisor (NOMAD) and a member of ICIFA.

Luke serves on numerous boards including Key Microfinance Bank Plc where he serves as the Chairman, Kenya Association of Stockbrokers & Investment Banks (KASIB), Home Afrika Ltd, Riziki Kenya, International Leadership University and REITS Association of Kenya (RAK). He is a member of Kenya Institute of Management (KIM), Institute of Directors (Kenya), and Project Management Institute (MPMI).

Mr. Kinoti is a speaker, mentor and author of

“The Merchant’s Pearl”, a book that addresses challenges that a modern day entrepreneur encounters.

## DIRECTORS PROFILES



### **Madren Oluoch Olunya**

COMPANY SECRETARY

**Years in Industry: 20 +**

#### **Education**

Madren holds various qualifications including a Master of Law Degree (LL.M) from the London School of Economics and Political Science, UK. She is an Advocate of the High Court of Kenya, a Certified Public Secretary (Kenya) and is also an alumnus of Strathmore Business School, Kenya and IESE Business School, Spain.

She is a founder Board Director of the Institute of Directors (Kenya) where she has been a member since inception in 2004.

#### **Summary Experience**

Madren Oluoch-Olunya is the Managing Partner of Azali Certified Public Secretaries

LL.P. a premium provider of board secretarial and corporate governance advisory services. She is a multi-skilled professional with extensive management and consulting experience gained over twenty (20) years in Board, Legal and Human Resource practice. She has worked in both the public and private sectors and across finance, hospitality and fast-moving consumer goods industries within Africa. She has consulted for various clients including the IFC Africa Corporate Governance Program.

Madren works with various organizations to implement international best practices related to corporate governance and build

capacity for the sustainability of these interventions. She has developed various corporate governance tools, facilitated training workshops, conducted governance assessments and board evaluations, led director searches, induction and provided general governance and HR advisory services in emerging markets. Madren is an experienced Board director and Pension trustee and she participates as a speaker/panelist in several professional forums. She is also an accredited governance auditor.



## MANAGEMENT PROFILES



### **DAN AWENDO**

Managing Director

Mr. Awendo has over 20 years of post qualification experience in audit, accounting, management consultancy, corporate finance and entrepreneurship. Dan has worked in various senior management positions in both local and international companies and has been a board member of various companies and learning institutions in Kenya.

Dan is the founder and previously the CEO of Investeq Capital, a company that focuses on the unique environment of financing Small & Medium sized business in East Africa. Dan led Investeq Capital to win both local and continental awards in Strategy, Leadership, Customer Orientation, Financial Performance and Entrepreneurship.

He has also previously been named by The Business Daily as amongst Kenya's "High Impact Entrepreneurs" and also amongst Kenya's "CEO's with Golden Hands". He has also been profiled by The Standard Newspaper as a "Captain of Industry."

### **CPA JAYNE NYOKABI**

Chief Finance Officer

CPA Jayne is a finance expert with over 15 years of experience in accounting, financial advisory and reporting. As a finance expert, Jayne is an energetic performance leader and a growth champion. She is in charge of developing finance organizational strategies, analysis, and recommendations to strategic thinking and direction; establishing functional objectives in line with Home Afrika's objectives.

Her responsibility involves financial advisory and management, increasing the financial stability, establishing finance operational strategies by evaluating trends; determining profitability, accumulating resources; and implementing change as well as ensuring efficient resource utilization for the company.

Jayne holds a Bachelor of Commerce (Finance) degree and is currently pursuing an MBA. She is a Certified Public Accountant of Kenya and a registered ICPAK member. She is also a member of the Association of Women Accountants in Kenya (AWAK).

## MANAGEMENT PROFILES



### **BETH MURUGI**

Human Resource & Administration Manager

Beth Murugi brings over 8 years' experience in administration, and Human Resource Management.

As the Head of Human Resources she spearheads the recruitment process, reviews and develops relevant policies, handling any grievances and implementing disciplinary procedures. In her dual role as Head of Administration, she oversees the support staff, manages service contracts and the office space, while also leading the implementation of new office administrative procedures and policies.

Beth is a graduate of St Paul's University with a Bachelors of Business Administration specializing in Human Resource and Business Management. Ms. Murugi also holds a Post Graduate diploma in Human Resource Management and is a registered member of the Institute of Human Resource Management (IHRM).

### **BRUNO OBODHA**

Group Commercial & Marketing Manager

Bruno, a registered Real Estate Agent with the Estate Agents Registration Board of Kenya has a wealth of experience in sales across various industries. He has acquired most of his training and experience in sales from the banking industry where he started as a Sales representative and rose to become the regional sales manager in Faulu Kenya, a micro-finance institution.

Prior to joining Home Afrika Ltd he was the Country sales & Partnership Manager at PayKonnnect Kenya where he was instrumental in developing and implementing its National Commercial Strategy. Under his leadership he was responsible for steering the company towards achieving a profitable sales volume. He has held similar roles in other institutions such as Ringier Kenya Ltd which runs various ecommerce sites and Kenya's premier job application site, BrighterMonday.

Bruno holds a Masters degree in Project Management from the University of Nairobi, a Bachelor of Science degree in Economics from the Bugema University and a Post graduate diploma from the Kenya Institute of Management. Bruno is currently pursuing his PhD.

### **DICKSON WANJOHI**

General Manager - Migaa

Dickson has over 15 years of experience having worked for various organisations including Taxplan Consulting Associates, Oldonyo Laro Group Ltd and has in-depth experience working with Audit, Accounting, Tax and Financial Reporting.

His responsibility involves the daily management of Home Afrika Communities Limited (Migaa Golf Estate) - a subsidiary of Home Afrika Limited where he ensures profitability, growth and goodwill as well as resources being utilized in the most efficient manner.

Dickson holds a Masters Degree in Strategic Management from the University of Nairobi and a Bachelor's degree in Business Management specializing in Finance and Banking from Moi University.

Dickson is a CPA (K) and a registered member of ICPAK.

**“Home is not where we  
live; home is where you  
belong.”**

*African Proverb*



# Chairman's Report



This exercise also resulted in the amount of cash in Kenyans' pockets dropping to a six-year low.

## National Census

Kenya's population had grown by 9.9 million people over the last ten years to reach 47.6 million, according to the 2019 Kenya Population and Housing Census results.

and investment on the demand side and services on the supply side (such as public administration, information technology, finance and insurance, and transport and storage). GDP was down from 6.5% in 2018, caused mainly by unfavorable weather and reduced government investment. At 5.2%, inflation remains within the central bank's 5 ± 2.5% target band. The exchange rate was also stable, induced by a narrowing (albeit marginal) current account deficit, from 5.0% of GDP in 2018 to 4.9% in 2019. Foreign exchange reserves stood at USD 8.8 billion as at December 2019, providing 5.4 months of import cover.

Due to the current Covid 19 pandemic, GDP growth in Kenya is expected to contract significantly; the Central Bank of Kenya revised its estimate for 2020 from the initial 6.2% to 3.4%

## Dear Shareholders,

On behalf of the Board of Directors, I am pleased to present to you the group integrated annual report and financial statements for the year ended 31st December 2019.

2019 was an interesting year filled with many highs and lows for Kenyans; We saw the removal of the Interest rates capping. After 3 years under an interest rate regulated environment, Kenyan banks were once again at liberty to determine interest rates at will after the removal of government controls around it.

## Replacement of the old currency to the new ones

The phasing out of the Sh.1,000 went a long way in helping deal with cases of counterfeits, which had previously impacted the economy negatively.

## No Human is Limited

Eliud Kipchoge's win on October 12th in Vienna, Austria. The world's greatest marathoner and Kenyan athlete, Eliud Kipchoge becomes the first man ever to run a marathon in under two hours.

Even with these highs and lows in the economy, the company reported a 233 percent growth in gross revenue, adjusted for percentage of completion, which translated to a growth from KSh.109 million in 2018 to KSh.363 million in 2019. Despite the increase in revenue, the company recorded a KSh.887 million loss for the period ending 31st December 2019 owing to the depressed valuation of the company's land and housing assets.

## An overview

Real GDP grew by an estimated 5.9% in 2019, driven by household consumption

## Strategy (Home Afrika 2.0)

The 2019 decline is attributed to the impact of the slowed growth in the economy in general and real estate sector in particular and the depressed valuation of the company's assets in the form of land and buildings. The Board has put in place measures to ensure that the company

Peter Nduati is a chartered insurer with over 28 years' experience in the East African Insurance Industry.

**PETER NDUATI**  
CHAIRMAN

reverses this position sooner rather than later.

The board has reworked the marketing strategy to include deep engagement in digital marketing and diaspora marketing. To improve liquidity, the board has introduced new revenue streams including sale and agency arrangements for 3rd party properties and property management. Substantive cost reduction measures are also being enforced including reduction of salaries and other operating costs and even considering outsourcing options for certain functions of the organization to save on costs. The board is also in the process of identifying assets that can be disposed to raise cashflows.

The Board remains confident in HAL's long term strategy especially given the value that continues to be booked in the group's balance sheet year on year as the project's percentage of completion continues to grow.

### Board Operations

During the year 2019 we saw some changes in the board membership, three directors retired, including the Board chair, Mr Linus Gitahi. The regulator approved the appointment of three new directors and my appointment as the new board chairman.

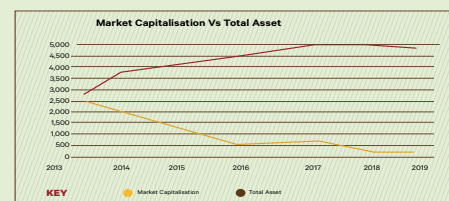
The Board of Directors remained committed to overseeing the implementation of sound corporate governance practices and structures. To enable efficient discharge of its duties, the Board delegated its authority to various committees which include the Nomination, Governance, HR & Administration Committee which is particularly tasked with ensuring compliance with regulatory standards. The Finance & Strategy Committee has also been an active instrument of the board's governance work.

### Share Performance

Despite our depressed share price, the book value of the group's sellable land and other inventory stood at KSh.3.5 billion in 2019. The current share price therefore translates to a significant value gap between market capitalization and net book value. As we continue to invest in the infrastructure of our main project, Migaa Golf Estate, we expect to see further improvement in the market value of the land bank of our project as the land continues to become more desirable and therefore sellable at better premiums.

We know it as factual that our market capitalization does not reflect our balance sheet size especially if the current land market value is factored in. This is because our inventory in the balance sheet is carried at cost and not at market value.

This is in line with the IFRS reporting requirements.



### Dividends

The directors do not recommend a dividend for the period ending 31st December 2019.

### 2020 Strategic Outlook

2020 outlook has majorly been affected by the covid 19 pandemic. In line with the Ministry of Health regulations, keeping social distance, avoidance of gathering, including worship, conferences and other events, travel restrictions and global supply chains continued to be disrupted, economic growth projection remains highly uncertain and the outcome will hinge on how the pandemic plays out internationally and within Kenya, along with policy actions taken to mitigate the situation.

As stated earlier, the board has put in place measures to ensure the company overcomes these trying times. Additional measures will continue to be engaged in case the effects of the pandemic continue to persist. We will continue to march forward keeping our focus on addressing the housing needs in Kenya and generally in Africa.

### Appreciation

I would like to express my sincere gratitude to you, Home Afrika shareholders for the continued support of our company. I recognize the contribution of my fellow Directors and the Management team for the tireless efforts towards building an extraordinary business anchored on a solid foundation.

Let me take this opportunity to acknowledge The Almighty God as our provider in the success we have so far been able to achieve. May you all be blessed and best wishes.

*Long live Home Afrika, long live Kenya!*

**PETER NDUATI**

Home Afrika Limited, Chairman

# Managing Director's Statement

"High Impact Entrepreneurs" and so amongst Kenya's CEO's with Golden Hands".

**DAN AWENDO**  
MANAGING DIRECTOR

the increase in revenue, the company

recorded a KSh.887 million loss for the period ending 31st December 2019 owing to the depressed valuation of the listed real estate company's land and housing assets.

There has been significant depression of valuations of the real estate asset class in Kenya in the recent past, with some companies even recording more than KSh.3 billion loss owing to impairment in their property investment portfolio. In our case, the depressed valuation contributed up to KSh.391 million of our loss for the year.

Housing Price Index, a survey conducted quarterly by Kenya Bankers Association (KBA) shows that house prices remained depressed in the three months ending December 2019.

According to the report, the trend in changes in house prices is in line with the softening of the economy and is a manifestation of the interplay between weak demand driven by the tepid disposable income growth and supply-side conditions.

Home Afrika's actual sales, not adjusted for percentage of completion, grew from KSh.582 million in 2018 to KSh.645 million in 2019. This means that the group sold more property in 2019 than it did in 2018 even in the wake of a depressed economic environment.

## Absolute sales booked during the year

| 2019             | 2018             |
|------------------|------------------|
| Ksh. 645 Million | Ksh. 582 Million |

Unfortunately, our accounting policy only allows us to recognize deposits from sales as revenue once a plot owner has completed payment, title has been processed and the project is complete. This means the billions we have sold year on year and sales deposits collected are reflected as deferred income liabilities in our books thus presenting a negative outlook on our balance sheet position.

Migaa Golf Estate, one of Home Afrika's long-term project, is expected to realize its profitability towards the end of the project in about four years. This period could be shorter if we are able to conclude the process of engaging and onboarding a strategic investor.

In line with our accounting policy, sales proceeds of the project are carried in the balance sheet as current liabilities both as deferred income and as deposits from sales of plots totals of which is now lingering at KSh3 billion as at 31st December 2019 compared with KSh2.6 billion for the same period in 2018.

This amount will convert to gross revenues in our statement of profit or loss as the percentage of completion of the project improves from the current 48 percent towards completion over the next few years.

The book value of the group's sellable land and other inventory stood at KSh.3.5 billion in 2019. As we continue to invest in the infrastructure of our main project, Migaa Golf Estate, we expect to see further improvement in the market value of the land bank there as the land continues to become more desirable and therefore sellable at better premiums.

## Dear Shareholders,

I am pleased to present you with the financial results for the year ended 31st December 2019.

## 2019 Performance Review

In the past years, the real estate industry in Kenya has seen a number of variations in property prices, supply and demand. According the Central Bank of Kenya quarterly economic review, the real estate sector registered the highest increase in Non-Performing Loans (NPL) by KSh.6.1 billion representing 15.8 percent of the banking market's NPLs due to slow and declining uptake of housing and other property units.

In 2019, the company reported a 233 percent growth in gross revenue, adjusted for percentage of completion, which translated to a growth from Ksh109 million in 2018 to KSh.363 million in 2019. Despite

## Business Model

Our core activity continues to be sales of land and housing (commercial). We ensure we have the right product and skills.

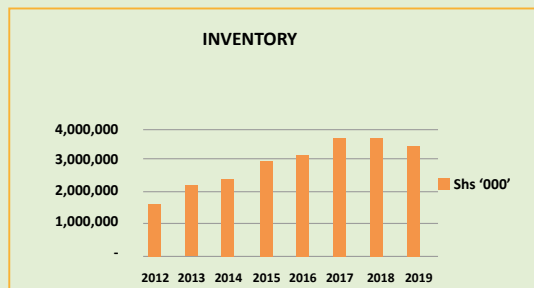
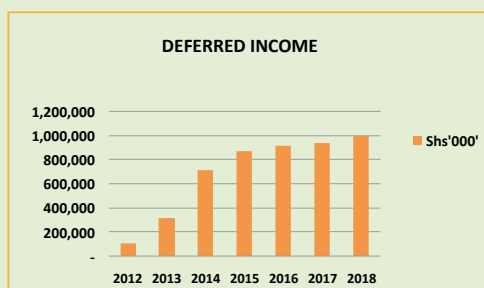
The products we are currently offering to the market include but are not limited

to smart plots, housing developments, Migaa plots, property letting services, short stay rentals, property management and land surveying.

Marketing these products is also fundamental especially during this Covid 19 pandemic. We have reworked on the

marketing strategy to include deep engagement in digital and diaspora marketing to take advantage of the fact that everything and everyone has moved online during this pandemic.

Other functions that support the business include; Accounting, Legal,



I.C.T, Human Resources, Administration and Asset Management.

## Status of Strategic Investor

To accelerate the completion of its projects and effectively see a majority of its deferred revenue and deposits from sale of plot translate into revenue, the firm is seeking to raise capital from a strategic investor.

We have continued to engage some potential investors both locally and internationally. Discussions are at various stages of engagement and we believe we shall close this process sooner rather than later.

## Status of Board and Management Governance Structure

All the necessary board and management

changes have been approved and effected thereby injecting new skills and human resource capacity that would drive the business to greater heights.

The group has also complied with Capital Markets Authority Corporate Governance Code that enables it run professionally and smoothly to meet stakeholder objectives.

A governance audit has also been undertaken to test the efficacy and use of the corporate governance code within the organization.

## Outlook

As with the rest of the World, the impact of COVID-19 in Kenya has stretched beyond the sphere of healthcare and the spread of the virus itself; economic development outcomes are expected to

be seriously affected by the disruption both locally and internationally.

To ensure the continuity of the company especially during these difficult economic times, we have introduced new revenue streams including sale of 3rd party properties and property management. Substantive cost reduction measures are also being enforced including reduction of salaries and other operating costs and even considering services that can be outsourced or shut down to save on costs. We are also in the process of identifying assets that can be disposed to raise cashflows.

We expect better performance in the later parts of 2020 driven by the projected re-opening and rebound of the economy.



## Appreciation

In conclusion, I would like to express my sincere gratitude to our Board of Directors for the guidance and continued support. We equally remain most grateful to our shareholders, development and strategic business partners for trusting us with their resources. Lastly, to my fellow colleagues the staff at Home Afrika group, without whom any kind of achievement would never be possible. I appreciate every individual's passion and enthusiasm as each delivered on their respective KPIs.

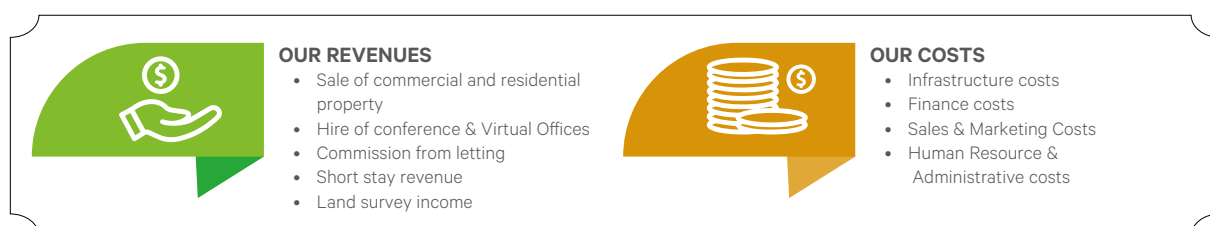
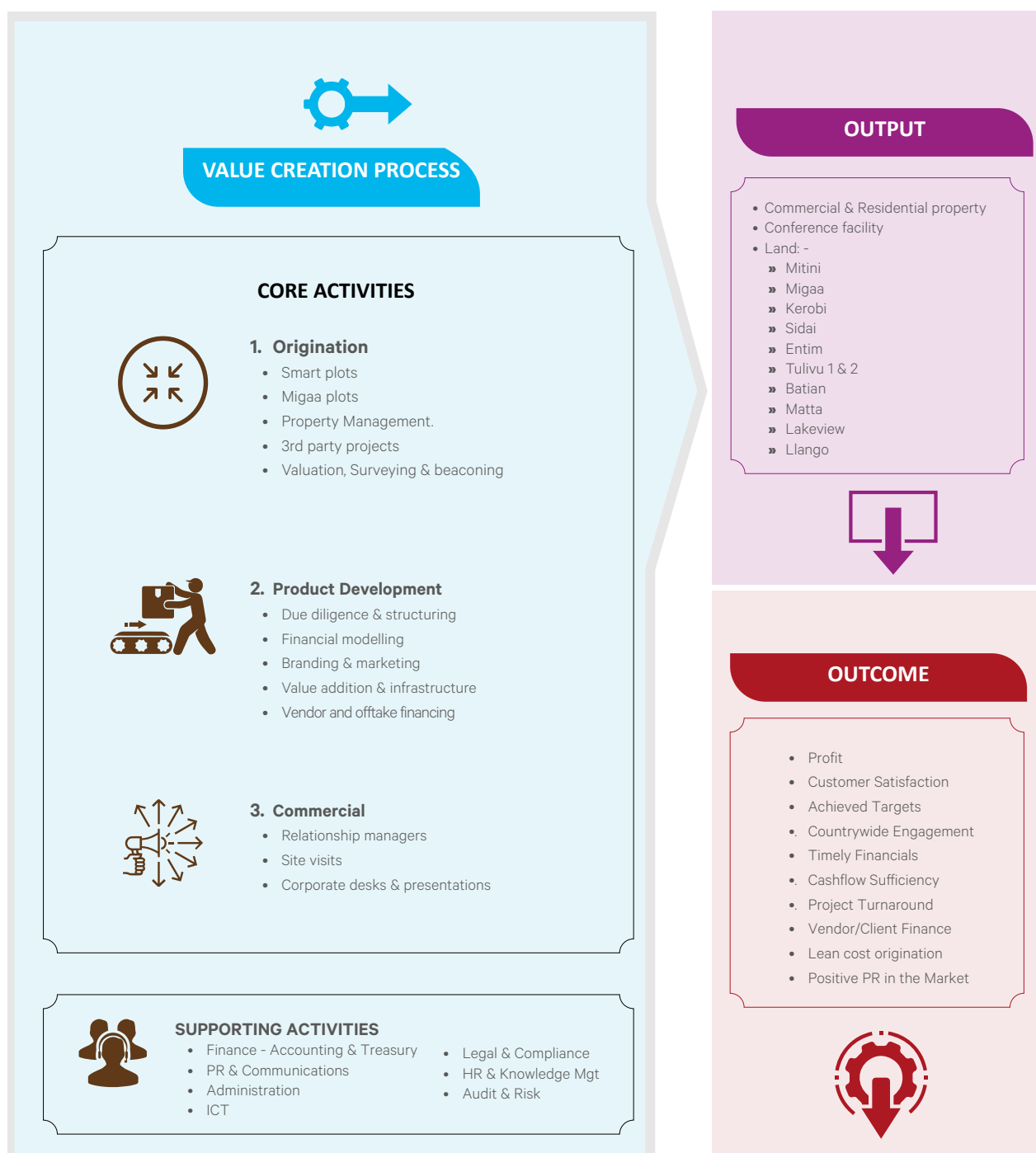
*Thank you so much for your efforts, dedication and determination.*

**DAN AWENDO**

Home Afrika Limited, Managing Director

## THE COMPANY BUSINESS MODEL





## BUSINESS MODEL ACTIVITIES

### Development

Once the land purchase and planning has been completed the actual development of the project can begin, Home Afrika only procures high quality products that also live up to all current environmental requirements and is therefore known in the market for only developing projects of the highest quality.

Through economies of scale and by having strong relationships to key suppliers it is still possible to keep costs at a minimum. Securing the required funding for a project in due course and on an affordable basis is another extremely important factor for a successful property developer. Our typical funding structure normally includes equity, debt and pre-sales.

Over the years Home Afrika has managed to improve its relationships with various financial players in the market spanning from commercial banks, potential equity investors and new commercial partnerships

The company is cognizant that securing adequate funding in a timely manner has previously presented some challenges.

It is for this reason that a central part of Home Afrika's Short to Medium Term Strategy "Home Afrika 2.0" is looking to on-board a new strategic investor with substantial

financial capacity. Home Afrika will additionally continue to seek new commercial partnerships as well as building its relationships with key financial institutions in order to further strengthen this area.

### Products/Projects Origination

Home Afrika has diversified in the following products/ project so as to expand its revenue streams base:

- Property Sales
- Migaa
- Smart plots
- Lakeview
- Property management
- Property letting
- Short stay accommodations
- Land survey

This is within the goal of establishing itself as an all-round solution provider in the real estate industry.

### Marketing

Home Afrika uses various marketing strategies to reach its wide clientele base that include; corporates, diaspora, investment groups and business world among other sectors of the economy. It does this via; social media marketing, corporate presentations, mall activations,

sponsorships e.g. golf tournaments, diaspora engagements and out-door activities.

### Commercialization

This involves careful design planning, permitting and engineering where the fully integrated model of Home Afrika again helps to ensure an efficient process. All processes are aligned through the continuous feedback loop that takes place and the execution risk is ultimately reduced.

The requirements of our Target clients' are also included in the process to ensure that the commercial side is always aligned to the planning and designing of the project.

Monitoring new construction regulation on a continuous basis by carrying out a detailed advance study of the existing master plan also helps to improve the chance of receiving all necessary approvals in good time.

### Product Development

Product development involves the following issues; Due diligence & Structuring, Financial Modelling, Branding & Marketing, Value addition & infrastructure and Vendor and Offtake Financing.

## THE BUSINESS MODEL BREAKDOWN

| CAPITAL                                                                                                                                                                                                                                                                                                                                                          | INPUTS                                                                                                                                                                                                                                                                                                               | OUTCOMES                                                                                                                                                                                                               | BUSINESS ACTIVITIES TO ENHANCE OUTCOMES                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | CHALLENGES                                                                                                                                                                                                           | COMPETITIVE ADVANTAGE OF THIS CAPITAL                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>HUMAN CAPITAL</b>                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <ul style="list-style-type: none"> <li>At Home Afrika Group, the expertise, wellbeing and motivation of employees, contractors and service providers are a key factor to generating value.</li> <li>We ensure provision of a safe working environment, and invest in training of our employees.</li> <li>We further ensure fair labour practice</li> </ul>       | <ul style="list-style-type: none"> <li>49 Skilled and motivated employees</li> <li>29 Casual workers</li> </ul>                                                                                                                                                                                                      | <ul style="list-style-type: none"> <li>Kes 697m was invested in training of employees and general staff welfare</li> <li>46% women in the workforce</li> </ul>                                                         | <ul style="list-style-type: none"> <li>The strength of our corporate culture, the appreciation based on meritocracy and the investments in our employees' professional development are some of the initiatives that add value over time.</li> <li>Home Afrika has developed a capable and engaged workforce while ensuring a clear succession plan for its staff</li> <li>We further ensure a safe workplace and promote the health and well-being of our employees</li> <li>The Home Afrika Board provides leadership through responsible citizenship</li> </ul> | <ul style="list-style-type: none"> <li>Cost of acquisition of competent staff and their retention implies relatively high cost</li> <li>Staff exits</li> <li>Lawsuits - with regards to the exiting staff</li> </ul> | <ul style="list-style-type: none"> <li>The diverse backgrounds and professional training of our staff at HAL ensure that we are a leader at the Real estate market.</li> <li>At Home Afrika, we are an equal opportunity employer without regard to race, national origin, religion, gender, age, sexual orientation, veteran status, physical or mental disability or other basis protected by law. While the Company is committed to following this principle in every facet of employment, all employees share in the responsibility to promote and foster a favorable work environment</li> </ul> |
| <b>CAPITAL</b>                                                                                                                                                                                                                                                                                                                                                   | <b>INPUTS</b>                                                                                                                                                                                                                                                                                                        | <b>OUTCOMES</b>                                                                                                                                                                                                        | <b>BUSINESS ACTIVITIES TO ENHANCE OUTCOMES</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | <b>CHALLENGES</b>                                                                                                                                                                                                    | <b>COMPETITIVE ADVANTAGE OF THIS CAPITAL</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>SOCIAL CAPITAL</b>                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <ul style="list-style-type: none"> <li>Developing and maintaining trusted relationships is a foundation for value creation. This has taken on added significance given the recent negative reviews on real estate firms. The challenging and competitive price environment has required us to take actions that have tested many of our relationships</li> </ul> | <ul style="list-style-type: none"> <li>Positive relationship with our Customers.</li> <li>No of shareholders (Full list on page)</li> <li>Positive supplier relationships</li> <li>Cooperation from government and regulators.</li> <li>Positive relationship with unionized and non-unionized workforce.</li> </ul> | <ul style="list-style-type: none"> <li>46% women in workforce</li> <li>Amicable Project close out for Lango, Lakeview, Kikwetu &amp; Kantafu projects</li> <li>Delivery of social benefits to the community</li> </ul> | <ul style="list-style-type: none"> <li>Timely communication with our stakeholders</li> <li>Ensuring full compliance with all the regulators</li> <li>Upholding highest social standards</li> <li>Making a positive social contribution through our CSR(Full report on Pg .....</li> </ul>                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |

## THE BUSINESS MODEL BREAKDOWN (CONTINUED)

| CAPITAL                                                                                                                                                                                                                                             | INPUTS                                                                                                                                                                                           | OUTCOMES                                                                                                                               | BUSINESS ACTIVITIES TO ENHANCE OUTCOMES                                                                                                                                                                                                                                                                                                                                                                                                                                                   | CHALLENGES                                                                                                                                                                                                                                                  | COMPETITIVE ADVANTAGE OF THIS CAPITAL        |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------|
| <b>NATURAL RESOURCES</b>                                                                                                                                                                                                                            |                                                                                                                                                                                                  |                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                             |                                              |
| <ul style="list-style-type: none"> <li>Natural Capital</li> </ul>                                                                                                                                                                                   | <ul style="list-style-type: none"> <li>We use borehole water for all our completed projects, Migaa and Morningside Office park Solar usage in our residential properties. i.e. Mitini</li> </ul> | <ul style="list-style-type: none"> <li>Provide leadership through responsible citizenship</li> <li>Conducting energy audits</li> </ul> | <ul style="list-style-type: none"> <li>Long term nature of the projects at HAL leading to unease with clientele</li> <li>Share price is dictated by market forces since Home Afrika is a publicly listed company, leading to share price fluctuations. As a result, the share value doesn't necessarily portray the book worth of the company.</li> <li>Not all clients are acceptable to the project close outs leading to lawsuits Stringent regulations from the government</li> </ul> | <ul style="list-style-type: none"> <li>At Home Afrika, the 1 acre of green for every one acre of build is a unique concept that's been incorporated at our Migaa project. It ensures that we conserve green space, and is one of a kind in Kenya</li> </ul> |                                              |
| <b>CAPITAL</b>                                                                                                                                                                                                                                      | <b>INPUTS</b>                                                                                                                                                                                    | <b>OUTCOMES</b>                                                                                                                        | <b>BUSINESS ACTIVITIES TO ENHANCE OUTCOMES</b>                                                                                                                                                                                                                                                                                                                                                                                                                                            | <b>CHALLENGES</b>                                                                                                                                                                                                                                           | <b>COMPETITIVE ADVANTAGE OF THIS CAPITAL</b> |
| <b>FINANCIAL CAPITAL</b>                                                                                                                                                                                                                            |                                                                                                                                                                                                  |                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                             |                                              |
| <ul style="list-style-type: none"> <li>Funding is the capital that Home Afrika Group derives from either debt or equity. This is utilized to implement our strategy of acquisition, development and management, a high-quality property.</li> </ul> | <ul style="list-style-type: none"> <li>Kshs .....Million Market capitalization as at Dec 2019</li> <li>Kshs .....Utilized for capital expenditure</li> </ul>                                     | <ul style="list-style-type: none"> <li>Dividends to be reinstated at the appropriate time</li> </ul>                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                             |                                              |
| <b>INTELLECTUAL CAPITAL</b>                                                                                                                                                                                                                         |                                                                                                                                                                                                  |                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                             |                                              |
| <ol style="list-style-type: none"> <li>Intellectual Capital</li> </ol> <ul style="list-style-type: none"> <li>The only listed Real Estate company</li> <li>Our brand and reputation</li> <li>Static web and mobile inventory</li> </ul>             | <ul style="list-style-type: none"> <li>Rigorous projects department</li> <li>Surveying equipment.</li> <li>Internal Database management systems.</li> </ul>                                      | <ul style="list-style-type: none"> <li>Survey equipment acquired</li> <li>A qualified professional surveyor hired</li> </ul>           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                             |                                              |

## BUSINESS ENVIRONMENT AND OPERATING CONTEXT

In 2019, several key factors influenced the context within which the company operates. These factors are as follows:

- a. Interest Rate Cap
- b. Affordable Housing Program by the Government of Kenya
- c. Sky Rocketing Land Prices

### Interest Rate Cap

In 2019, the effects of the commercial banks' lending rate capping continued to be felt. Banks continued with the reduced lending to all borrowers with the reason that, with the cap in place, risk cannot not be priced properly and at a price the lender is comfortable with.

This reduced lending led to a major cash crunch, not just directly in the real estate sector but indirectly via SMEs who are major real estate products off-takers.

The interest rate cap was however repealed November 2019 upon assent of the Finance Bill 2019 by the President. The real estate sector is still keenly watching to see how the repeal will affect the sector given the expected increase in lending.

### Strategic Response

Home Afrika Limited being a developer also, is directly affected by the effect of the reduced lending to the real estate sector. Having developed Mitini Scapes, a complete 82-unit project within Migaa Golf Estate that has a few units remaining to be sold and that was partially financed through debt, a reduced number of off-takers for the remaining units is a reality that the company has to strategically deal with.

As a response, in 2019, Home Afrika changed its strategy on how to offload the remaining Mitini Scapes units by being customer centric. The company studied the current & potential Mitini Scapes customers and found innovative and creative

ways to meet the customers' needs and expectations.

This change of approach led to the sale of a significant number of units and consequently, a significant reduction in the loan that is currently being serviced for the development.

### Affordable Housing Program by the Government of Kenya

In December 2017, President Uhuru Kenyatta announced the four pillars of his administration referred to as the Big 4 Agenda. One of these pillars is Affordable Housing whose target is to develop 500,000 affordable, new units, across the 47 counties, by the end of the President's second term.

Also, in December 2019, President Uhuru Kenyatta launched Habitat Heights, a United Nations Staff 8,000-unit housing development project in Lukenya, Machakos county. This project is being undertaken via a Memorandum of Understanding between the State Department for Housing and the UN Projects Development arm, UNOPS.

The real estate sector continues to find ways to collaboratively work with the Government to deliver more affordable housing developments and provide housing to the largely under-served low income segment of the market.

### Strategic Response

Home Afrika, in this case too, strategically responded by focusing on the customer. The company acquired properties in areas that the customer would want to own land and gave them longer payment plans within which to pay for the properties. This made the investment attractive to customers and as such, the company was able to successfully sell a significant number of the properties.

### SkyRocketing Land Prices

Development of infrastructure has both been beneficial and negatively

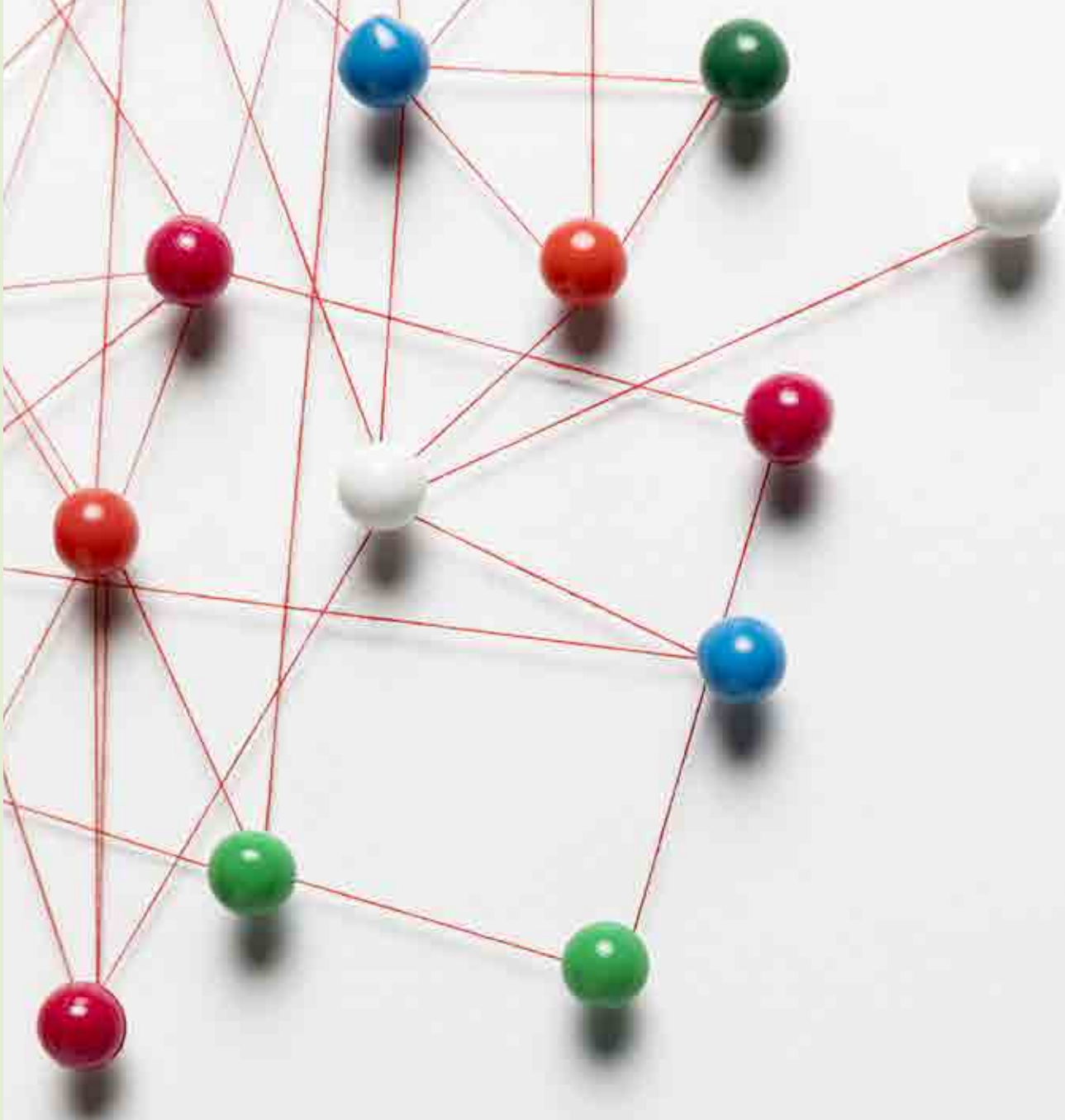
impacted the real estate sector – with those who bought property before the infrastructure was developed, getting very high returns after the development of the infrastructure but those who bought after the infrastructure was developed having to contend with very high property prices. This is more so evident in areas like Ruaka where property prices have increased significantly, almost doubling in price, after the completion of the Northern Bypass.

Land prices continue to increase and this was witnessed in 2019 as well. With the cash crunch created by the rate cap however, buyers of property reduced, not due to decreased demand, but rather due to inability to afford the desired properties.

### Strategic Response

Home Afrika strategically responded by venturing into 3rd party property sales. In this way, the company would be able to increase its inventory portfolio without buying the property.

The company also considered the effect of the cash crunch on customers and maintained the 12 months installment payment plans for the affordable plots projects. This significantly made the plots affordable and enabled us to sell off a significant number of the plots inventory.



# STAKEHOLDERS ENGAGEMENT

## STAKEHOLDERS ENGAGEMENT

### KEY STAKEHOLDER CONCERNS/EXPECTATIONS & THE COMPANY'S RESPONSE

| STAKEHOLDER                                                                      | CONCERN(S)/ EXPECTATIONS                                                                                                | COMPANY RESPONSE                                                                                                                                                                                                                                                                                                                                                                                                                                                               | METHOD OF STAKEHOLDER ENGAGEMENT                                                                                                                                                | LINK TO ETHICS & VALUES                                                                                                                                                                                                                                                                              |
|----------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>Employee</li> <li>(All levels)</li> </ul> | <ul style="list-style-type: none"> <li>Job security</li> <li>Career growth</li> <li>Competitive Remuneration</li> </ul> | <ul style="list-style-type: none"> <li>Prompt payment of salaries</li> <li>Annual percentage salary increases</li> <li>ESOP program to be instituted</li> <li>Recognition for good performance</li> <li>Staff needs forecasting &amp; regular recruitment</li> <li>Departmental budgeting done by Dept. members</li> <li>Incentives</li> <li>Performance Improvement Program (PIP)</li> <li>Competitive remuneration</li> <li>Consultative decision-making platform</li> </ul> | <ul style="list-style-type: none"> <li>One-on-one Interviews</li> <li>Staff Meetings</li> <li>Email &amp; phone communication</li> </ul>                                        | <ul style="list-style-type: none"> <li>There is a Staff Code of Conduct &amp; Ethics</li> <li>Performance Appraisals are carried out regularly</li> <li>A culture of ownership &amp; accountability guided by a bottom-to-top approach in setting Targets &amp; KPIs</li> </ul>                      |
| <ul style="list-style-type: none"> <li>Shareholders</li> </ul>                   | <ul style="list-style-type: none"> <li>ROI</li> <li>Maximization of the value of investment</li> </ul>                  | <ul style="list-style-type: none"> <li>Company restructuring (management &amp; board) to improve productivity and efficiency</li> <li>Wider product portfolio</li> <li>Creation of liquidity</li> <li>Providing platforms to facilitate the addressing of concerns &amp; questions from shareholders promptly (MD also involved in this)</li> <li>Fund-raising to complete projects and free up profits to pay dividends</li> </ul>                                            | <ul style="list-style-type: none"> <li>AGM Meetings</li> <li>Special Meetings</li> <li>Online platforms</li> <li>Email &amp; Phone communication</li> <li>Mass Media</li> </ul> | <ul style="list-style-type: none"> <li>Restructuring of the company both at Board and Management levels was undertaken to ensure efficiency &amp; effectiveness in how the company is run day to day. The company got a new Board when some Board members retired and new members joined.</li> </ul> |

## STAKEHOLDERS ENGAGEMENT

### KEY STAKEHOLDER CONCERNS/EXPECTATIONS & THE COMPANY'S RESPONSE (CONTINUED)

| STAKEHOLDER           | CONCERN(S)/ EXPECTATIONS                                                                                                                                          | COMPANY RESPONSE                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | METHOD OF STAKEHOLDER ENGAGEMENT                                                                                                   | LINK TO ETHICS & VALUES                                                                                                                                                                                                                                                    |
|-----------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| •                     |                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                    | <ul style="list-style-type: none"> <li>Active engagement of Financial Analysts and Journalists so as to help the Investor understand better how the company reports its financials so as to change public perception and improve the share price</li> </ul>                |
| • Suppliers/creditors | <ul style="list-style-type: none"> <li>Provide a market</li> <li>Payment for raw materials, products and services</li> </ul>                                      | <ul style="list-style-type: none"> <li>Scheduled payment of suppliers</li> <li>Reasonable credit terms to ensure they are paid as expected</li> <li>Giving repeat business</li> <li>Penalties that are applicable (if any) are also stipulated</li> <li>Room provided for renegotiation of terms</li> </ul>                                                                                                                                                                      | <ul style="list-style-type: none"> <li>One-on-one Meetings</li> <li>Email &amp; Phone communication</li> <li>Mass media</li> </ul> | <ul style="list-style-type: none"> <li>A Pre-qualification of Suppliers and 3-bid analyses during the procurement process is always undertaken to ensure that the company gets the best suppliers and gives repeat business to the suppliers.</li> </ul>                   |
| • Society/Community   | <ul style="list-style-type: none"> <li>Operate as a responsible corporate citizen</li> <li>Contribution in the area/ community the company operates in</li> </ul> | <ul style="list-style-type: none"> <li>Ensure compliance with NEMA regulations</li> <li>Provide employment opportunities</li> <li>Value of property has appreciated</li> <li>Improved infrastructure in conjunction with the county government – road fixing from Kiambu Road to Migaa, street lights up to Kiambu road</li> <li>Improved security in conjunction with the National Government – police post was set up because of the existence of the Migaa project</li> </ul> | <ul style="list-style-type: none"> <li>One-on-one Meetings</li> <li>Email &amp; Phone communication</li> <li>Mass media</li> </ul> | <ul style="list-style-type: none"> <li>CSR activities are undertaken throughout the Year. In 2019, Home Afrika paid school fees for some children from needy backgrounds.</li> <li>Casual employees at our Migaa Project are drawn from the immediate community</li> </ul> |

## STAKEHOLDERS ENGAGEMENT

### KEY STAKEHOLDER CONCERNS/EXPECTATIONS & THE COMPANY'S RESPONSE (CONTINUED)

| STAKEHOLDER | CONCERN(S)/ EXPECTATIONS                                                                                                                                                                            | COMPANY RESPONSE                                                                                                                                                                                                                                                                                                                                                                                                 | METHOD OF STAKEHOLDER ENGAGEMENT                                                                                                                                 | LINK TO ETHICS & VALUES                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|-------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Governments | <ul style="list-style-type: none"> <li>• Tax compliance</li> <li>• Compliance to existing laws - land laws, company laws</li> <li>• Contribution to economic growth through job creation</li> </ul> | <ul style="list-style-type: none"> <li>• Ensure up-to-date remittance &amp; payment of tax Restructuring &amp; prompt payment outstanding back taxes</li> <li>• Compliance with all relevant laws</li> <li>• Compliance with regulatory requirements &amp; standards</li> <li>• Provide employment</li> </ul>                                                                                                    | <ul style="list-style-type: none"> <li>• One-on-one Meetings</li> <li>• Email &amp; Phone communication</li> <li>• Round Table discussions</li> </ul>            | <ul style="list-style-type: none"> <li>• The company is regulated by the CMA &amp; the NSE and is committed to complying with these regulators' requirements by ensuring that there is proper corporate governance and compliance with all the requirements of being a listed company</li> <li>• Payments to KRA are remitted as required and plans with them are honored.</li> </ul>                                                                                                                                             |
| Customers   | <ul style="list-style-type: none"> <li>• Quality and innovative products that meet their needs</li> </ul>                                                                                           | <ul style="list-style-type: none"> <li>• Individualized attention by the sales team members who guide the customer through the entire purchase process and provide project &amp; document processing updates</li> <li>• In-house Legal Department to improve speed of processing documents</li> <li>• Seeking &amp; acting on customer feedback</li> <li>• Prompt issuance of statements to customers</li> </ul> | <ul style="list-style-type: none"> <li>• One-on-one Meetings</li> <li>• Email &amp; Phone communication</li> <li>• Mass media</li> <li>• Social Media</li> </ul> | <ul style="list-style-type: none"> <li>• Capping of Interest rates made financial institutions reduce retail lending. The company developed more flexible repayment terms to make the products more affordable.</li> <li>• Social Media platforms are active and prompt in responding to customer issues be it feedback, questions or complaints.</li> <li>• Home Afrika now has a comprehensive CRM through which data and information from customers is stored making engagement with customers better and informed.</li> </ul> |
| Financiers  | <ul style="list-style-type: none"> <li>• Not to exposed to undue risk</li> <li>• Company meets all its financial obligations</li> </ul>                                                             | <ul style="list-style-type: none"> <li>• Commitment to paying off all the loans through prompt payment and restructuring</li> </ul>                                                                                                                                                                                                                                                                              | <ul style="list-style-type: none"> <li>• Round table meetings</li> <li>• Email and phone communication</li> </ul>                                                | <ul style="list-style-type: none"> <li>• The company purposes to meet all its financial obligations by repaying its debts and engaging its financiers when necessary</li> </ul>                                                                                                                                                                                                                                                                                                                                                   |

## MATERIAL RISKS AND OPPORTUNITIES

Material risks are the factors that impact the most on our ability to create long-term value. They impact on our productivity, performance and relationships with our stakeholders. These matters influence the strategic approach adopted in steering the group.

Home Afrika Board has wholly

committed the group to a process of risk management that is aligned to the principles of best practice and corporate governance. Proper risk assessment enables us to anticipate and respond to changes in the business environment as well as make informed decisions under conditions of uncertainties.

Home Afrika risk management processes are embedded in our everyday business activities and culture. For us, risk management involves achieving an appropriate balance between realizing opportunities for business gain while minimizing the adverse impacts of these risks.

|                         | CAPITAL STABILITY                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | GOVERNMENT POLICIES                                                                                                                                                                                                                                                                                                                                                                                                                        | OPERATING ENVIRONMENT                                                                                                                                                                                                                                                                                                                                                               | PEOPLE                                                                                                                                                                                    |
|-------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Material Matters</b> | <ul style="list-style-type: none"> <li>Adequate capitalization and need for low cost financing partners.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | <ul style="list-style-type: none"> <li>Government policies on affordable housing</li> <li>Government policies on Physical planning policies</li> </ul>                                                                                                                                                                                                                                                                                     | <ul style="list-style-type: none"> <li>Challenging Macroeconomic and microeconomic Environments.</li> <li>Evolving regulatory Landscape</li> </ul>                                                                                                                                                                                                                                  | <p>Talent nurturing, management and retention</p>                                                                                                                                         |
| <b>Risk</b>             | <ul style="list-style-type: none"> <li>Project delays</li> <li>Reputational issues</li> <li>Litigation Risks</li> <li>Market risk</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | <ul style="list-style-type: none"> <li>Key players moving towards the affordable housing space</li> <li>Risk of investments declining in value due to Government affordable housing project</li> </ul>                                                                                                                                                                                                                                     | <p>The macroeconomic environment, characterized by increase in construction costs, slowdown in credit expansion, political uncertainty creates great business risks.</p>                                                                                                                                                                                                            | <p>The effective execution of strategy is adversely affected by the failure to attract and retain talent.</p>                                                                             |
| <b>Opportunities</b>    | <p>Capping of interest chargeable by CBK has made banks averse to facilitating short term loans. This has affected access to credit for companies and individuals whose target purchase of property in Migaa and similar projects by Home Afrika.</p> <p>With the return of free-floating interest rates from banks, Home Afrika has the opportunity to get local bank financial partners who are willing to partner in infrastructure projects.</p> <p>Recent enforcement of the clean energy rules that require all large scale domestic housing units install renewable energy for water and house heating may have a significant cost effect on future projects by Home Afrika.</p> | <p>The government policy to deliver decent housing to working Kenyans is in line with HAL's business strategy.</p> <p>The supply of equitable housing will in turn increase new consumers/a new market in moderate-income households.</p> <p>The affordable housing policy will lead to a decrease in manufacturing cost related to the real estate sector thus creating an opportunity to increase the overall output of the company.</p> | <p>Political tension played a vital role in discouraging investment in real estate especially postponing of property -purchase decisions due to the uncertainty of election results, with political stability post the general elections this provides a great opportunity for credit advancement more so for households relying on the credit market towards home acquisition.</p> | <p>Talented employees are a great tool in responding to changes in our operating environment mentioned.</p> <p>Management of performance to ensure optimal productivity is essential.</p> |

## OTHER RISKS

Risk means the quantifiable expectation of a loss or lower returns.

Risk management is the process of identifying, monitoring and managing potential risks in order to minimize the negative impact they may have on an organization.

### Risk Management Process

Risk Management is the logical and systematic process of identifying assessing, managing and reporting

all risks associated with the Company's business activities to minimize losses and maximize opportunities to pursue strategic goals.

The Risk Management Process outlines a standardised approach to the identification, analysis, evaluation, treatment, communication and monitoring of risk. All services will use this standardized approach and record the outcome in a series of Risk Registers. The Risk Registers will

be collated at key organisational levels allowing for risks to be managed at the most appropriate level in the organisation i.e risk that fall outside the control of a line manager may be escalated to the appropriate level of management.

It is essential that action plans for the risks contained in the Risk Register are identified and an action person assigned. These Risk Registers must be under active consideration and be the subject of regular review.



## HOME AFRIKA'S KEY RISKS ARE AS BELOW:



### Strategic Risks

These are risks that hinder achieving of the business objectives and goals. They arise from deviation from and/or improper implementation of company strategy and thereby deviating from them. The purpose of assessing strategic risks and opportunities is to identify the business operations which can be deployed to attain the objectives taking into account manageable risks, and also avoiding those business operations which involve unreasonably high risks. In addition, management of strategic risks facilitates the company's ability to sustainably manage its personnel through the assurance that individual responsibilities are aligned with the overall company strategy and business objectives.



### Legal & Regulatory Risks

Regulatory risks are exposures that arise from the company's failure to comply with regulatory requirements. They are annual and mandatory and therefore failing to comply may put the company's listed status in jeopardy. Legal risks are those that arise from civil litigation suits and public disputes regarding ethics, environment degradation or destruction, fraud, labor relations or any criminal proceeding against the company. Legal risks increase financial and reputational risk exposure and disclosures must be made as frequently as they occur



### Financial Risks

These are risks that arise from gaps in budgeting, funding and revenues management, exposure on any of these fronts would affect the company's ability to manage its financial obligations. Budgeting exposure would manifest itself in the form of expenditures that are beyond the approved budget of expenditures that are incurred with no consideration to the budget lines. Funding risks would manifest in the company's inability to meet its financial obligations to service providers and creditors whose extreme consequence would be attachment of company assets or insolvency proceedings. Revenue risk exposure are those risk that the company faces when its income streams are disproportionate to the capital investment thereby creating loss-making ventures.



### Reputational Risks

Risk of loss resulting from damages to the group's reputation, in lost revenue, increased operating costs or destruction of shareholders' value, consequent to an adverse event. Adverse events typically associated with reputation risk include ethics, safety, security, sustainability and quality of products sold.



### Operational Risks and Management Risks

These are risks resulting from weaknesses in internal control processes, people, inadequacies in system and processes, human error, fraud, criminal acts or failures, legal issues, ICT breaches and physical or environmental processes through which the group operates. The aim is to avoid or reduce operational risks, taking into consideration the cost of controls measures in relation to the scope of risk.

## HOME AFRIKA'S KEY RISKS ARE AS BELOW (CONTINUED)

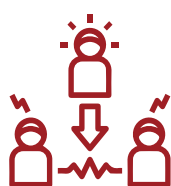
### Emerging risks



#### *Innovation Risk*

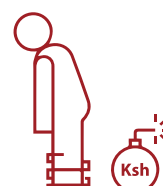
Due to the changing business environment, Innovation presents challenges to companies that strategize to gain more market share or to stimulate growth.

As the industry grows, there is a need to seek to improve our innovativeness as well as aligning to the changing trends. The business environment is not static. As a means to mitigate this risk, We have been using third party research to be actively able to cope with the changing environment in the industry.



#### *Third Party Risks*

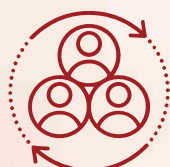
Third parties always exist in any business undertaking and form part of the company's stakeholders. In the course of our business dealings with third parties, we are exposed to certain risks for example supplier business failure. As a mitigation, supplier due diligence is done through extensive vetting by the company before any dealings with such third parties and we have a tendering process already in place.



#### *Debtors Management*

This is an emerging risk driven by economic status and liquidity challenges. It is also driven by the effects of our internal credit capping and the economic situation of the country .

We have worked to mitigate this by implementing a strict credit policy with credit capping.



#### *Staff Turnover*

Staff turnover has been witnessed during the year in various departments. However, turnover was within normal standards as well as within the company's tolerance limits.

We have put in place measures to reduce turnover by improving employee satisfaction, reward policy as discussed in the Human capital report.



#### *Cyber Security Risk*

As Technology advances, cyber security is projected as an emerging high risk. Due to the advancements, criminality will not stop.

To mitigate the risk, the company has put control measures in place. This includes access controls, anti viruses, and are working to acquire other measures.

## STRATEGIC OBJECTIVES



### STRATEGIC OBJECTIVE 1 LAND

#### STRATEGIC OBJECTIVE

Acquire land with the following objectives :

- Land Banking
- Subdivision and sale.
- Property development

#### INITIATIVE

- Joint ventures
- Government Partnerships (PPP)
- Seed financing

#### KEY PERFORMANCE INDICATORS

- Joint Ventures: Developing strategic partnerships and rollout JV partnerships and 3rd party property.
- Land banking; Acquired 12 acres of land in the year 2019.
- Originated & signed 3 smart plots projects in the year 2019.

Detailed report on page 44 - 52



### STRATEGIC OBJECTIVE 2 EXPANSION

#### STRATEGIC OBJECTIVE

To grow sales & revenue

#### INITIATIVE

- Go county plan
- Corporate Rebranding
- Diversification of Products and business

#### KEY PERFORMANCE INDICATORS

- Project Origination: Undertake 2 Internal staff training per quarter for originations
- Property letting and management-KU Unicity
- Go county plan: Set up regional offices in Nanyuki finalized.
- Developed a pipeline of 14 properties for management in the year 2019.



### STRATEGIC OBJECTIVE 3 INNOVATION AND TECHNOLOGY

#### STRATEGIC OBJECTIVE

Reduce cost of construction through technology.

#### INITIATIVE

- Appropriate technology
- Research & Development
- ERP System
- Partnerships with educational institutions

#### KEY PERFORMANCE INDICATORS

- Data center
- IT Infrastructure & Upgrades
- Helpdesk and Support
- Innovation
- Customer Experience
- Reporting

Detailed report on page 63 - 68



### STRATEGIC OBJECTIVE 4 SERVICE EXCELLENCE

#### STRATEGIC OBJECTIVE

World class real estate service.

#### INITIATIVE

- Establishment of quality standards framework.
- Benchmark against best practice.
- Planning and quality assurance.
- Customer Relationship Management (CRM) tool.

#### KEY PERFORMANCE INDICATORS

- Establishment of statutory quality standards framework.
- Digital move (Smart homes)



## STRATEGIC OBJECTIVE 5 HUMAN CAPITAL

### STRATEGIC OBJECTIVE

Identify, nurture and grow human capital that will increase Home Afrika value.

### INITIATIVE

- Talent acquisition and retention
- Performance management
- Organizational structure
- Succession Planning
- Creating the right business culture
- Onboarding
- Compensation

### KEY PERFORMANCE INDICATORS

- Recruitment
- HR Administration
- Performance Management
- CSR
- Training and Development

Detailed report on page 69 - 74



## STRATEGIC OBJECTIVE 6 FINANCIAL STRENGTH

### STRATEGIC OBJECTIVE

Increase Home Afrika's financial stability.

### INITIATIVE

- Source of finance
- Cost of financing
- ROI
- Development of buyer financing model.
- Development of project financing model.

### KEY PERFORMANCE INDICATORS

- Home Afrika diversified their source of finance by fundraising, property management etc.
- Carrying out due diligence on potential investors before engaging them.
- Having payment plans with our buyers.
- Cost of financing: Currently the group is servicing bank loans and the bond.
- Return on investments: The company employs a framework to determine return on investments on all the projects it undertakes that gives a return on investment of 25%.

Detailed report on page 75



## STRATEGIC OBJECTIVE 7 PARTNERSHIPS

### STRATEGIC OBJECTIVE

Revenue generation

### INITIATIVE

- Outsourcing of processes
- Strategic partnerships
- Business model partnership

### KEY PERFORMANCE INDICATORS

- Diversified income streams.



## STRATEGIC OBJECTIVE 8 MARKETING

### STRATEGIC OBJECTIVE

Increased stakeholder engagement

### INITIATIVE

- Websites partnerships
- Branding & signage
- Selling materials
- Direct mail campaign
- Electronic mail campaign
- Ad placement & media buying
- Public relations
- Networking
- Periodic reporting
- Research
- Loyalty programmes

### KEY PERFORMANCE INDICATORS

- Engaged with various institutions (banks, SACCOs, Diaspora association, membership clubs, travel agencies etc.) to build brand awareness.
- We have excited the market through innovative and non-conventional offline and online activities to aid in lead generation.
- Increased digital engagement and achieved our targets leads through creating innovative content.
- We have built thought leadership and brand awareness through extensive PR activities.
- We have excited the market through innovative and non-conventional marketing and communication material that appeals to the target market.

Detailed report on page 54 - 61

## PROJECT REPORT

In the year 2019, we undertook a number of activities that positively impacted our projects. These included further engagement with prospective investors, proper prioritization of new projects and comprehensive engagement with both past and present stakeholders.

### Key Milestones

| PROJECT NAME             | LOCATION   | STATUS        |
|--------------------------|------------|---------------|
| Morning Side Office Park | Ngong Road | Completed     |
| Sidai                    | Kajiado    | Completed     |
| Entim Breeze             | Kajiado    | Completed     |
| Tulivu 1                 | Naivasha   | Completed     |
| Tulivu 2                 | Naivasha   | Completed     |
| Migaa Golf Estate        | Kiambu     | Ongoing Sales |
| Lake View                | Kisumu     | Ongoing Sales |
| Kerobi Plains            | Kajiado    | Ongoing Sales |
| Batian                   | Nanyuki    | Ongoing Sales |
| Matta Plains             | Matuu      | Ongoing Sales |

### Morningside Office Park

Morningside Office Park was one of its kind projects undertaken by Home Afrika, a distinguished icon along Ngong Road, the project now referred to as the landmark building in the vicinity.

The building houses our Headquarters located on the fifth floor and the project is generally accessible by the general public through Ngong road and Kilimani road at the back. It comprises 36 office suites, a two floor level

Parking space at the basement and Lower Ground floor, rooftop garden and conference facilities. The project was completed within limits of budget, timeframe and on scope. Morningside office park is fully occupied.



## MIGAA GOLF ESTATE

Migaa is situated directly in the path of Nairobi Metropolitan urban expansion to be a value driven catalyst for city to country migration.

Migaa, whose development is ongoing, sits in the lush vegetation of Kiambu County, and is less than half an hour's drive from Nairobi Central Business District. It is a residential

gated community on 774 acres, built upon the very tenets of environmental sustainability with 50% open green space. This physically translates into an acre of green for every acre of build. Migaa situated directly in the path of Nairobi Metropolitan urban expansion, is a value driven catalyst for city to country migration. It will have various amenities available for the homeowner and his family to enjoy. "Migaa will capture the essence of Kenya's natural beauty by creating unparalleled residential community."

Migaa is proud to be the first fully residential golf community in the region and only real estate project accredited with the Super brand status in the year 2014. The project is Developed through a special purpose vehicle (SPV) Home Afrika Communities Limited which owns 60% Home Afrika Limited is responsible for the project development.

As a family oriented anti- thesis of the city it shall be a safe, stable, sustainable and amenity driven community that residents can take pride in.



## MIGAA GOLF ESTATE (CONTINUED)

### Migaa Infrastructure

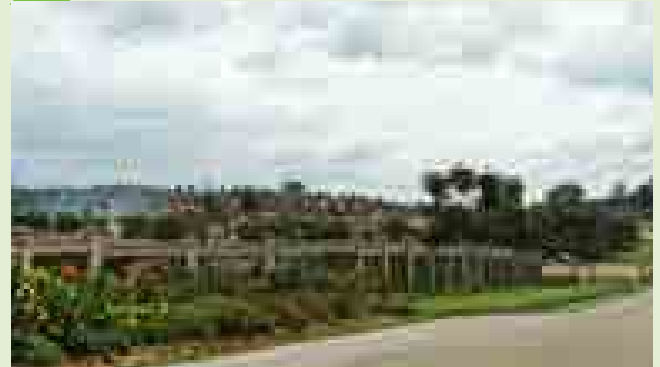
The developer plans to deliver the infrastructure components listed below to Migaa and its residents.

- Roads & accesses
- Water, Irrigation & Sewer
- Electricity & alternate energy sources
- ICT
- Golf Course
- Boundary Walls
- Support Amenities
- Security & Fire fighting

#### *i. Roads Construction:*

Phase 1 of the Road works have the paving done to 49% with the hardcore at 96%. The road works are projected to be complete in 2021.

Phase 1 of the Road works have the paving done to 49% with the hardcore at 96%. The road works are projected to be complete in 2021.



#### *ii. Water, Irrigation and Sewer Reticulation:*

We have currently delivered water reticulation of up to 80% onsite and plan to finalize the rest of the works within the year 2020.

#### *iii. Electricity and alternate energy sources*



MIGAA GOLF ESTATE (CONTINUED)

iv. ICT installation

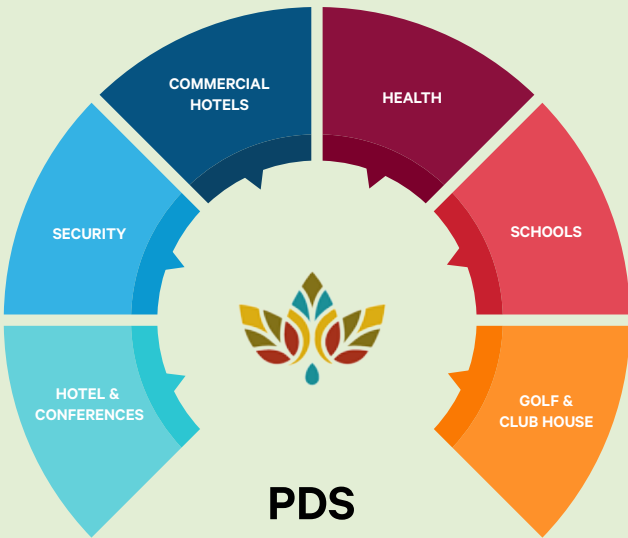


v. Boundary Wall



vi. Security & Fire fighting

Supporting Amenties



## MIGAA COMMUNITY

### 1. Mitini Scapes Limited

We currently have over 60 families living at Mitini Scapes, a completed development within Migaa Golf Estate that is fully owned by Home Afrika Limited.



### 2. Single Dwelling Units

The Migaa community also comprises single dwelling units on eighth and quarter acres of land. Being a controlled gated community the HomeOwner develops his unit according to our wide range of approved architectural designs



## MIGAA COMMUNITY (CONTINUED)

### 3. Ongoing Home Owner Construction

Currently have a total of 35 ongoing construction sites



### 4. 2020 Work Plan

The following infrastructure components are scheduled for execution in 2020;

- a) *Completion of the spine roads and opening up of access roads.*
- b) *Completion of construction of the front nine holes including the driving range up to 80% and Irrigation system installation for front nine.*
- c) *Completion of construction of phase one of the club house*
- d) *Power reticulation*
- e) *Phase two of water reticulation.*

#### 1. Lakeview Heights

Following a series of meetings held by the stakeholders in which a resolution was made we are in the process of selling off the parcel of land, further to refund those that had purchased either the plots or had contributed as shareholders.

#### 2. Llango

Llango project like Lakeview Heights Development, a stakeholders meeting was held and a different resolution was reached, The stakeholders resolved that we (Home Afrika Limited) complete the change of use of the title and preparation of subleases with both the land owners

and the shareholders retaining the entire property as Home Afrika Limited exits from the project

#### 3. Smart Plots Business

To provide more affordable solutions in the market we lined up several properties to be subdivided and sold out in a Joint venture arrangement with the Land owners, we subdivide the pieces in terms of eighths, quarters, half Acres and Acres. A total 385 Ha. (953 Acres) for the year 2018. We have already signed off approximately 240 Acres Expression of Interest with some at advanced stages of preparation of sale agreements.

## OTHER PROJECTS (CONTINUED)

### 4. Kerobi Plains

Located in Isinya, Kajiado County, approximately 20 km from Isinya Town, the property is served with a proper road network easily accessible from the Greater Southern Bypass road and it is about 5km from the Standard Gauge Railway line. It is also 10 Km from Konza Techno City. The property can also be accessed through Mombasa Road 15km away, the project is undertaken in partnership with the vendors of the Land.

### 5. Sidai Plains - **Sold Out.**

Sidai Plains is a 7 Acre property situated in Isinya, Kajiado County. Approximately 16 km from Isinya Town. The property is served with a proper road network easily accessible from the Greater Southern bypass and it is about 10km from the Standard Gauge Railway line.

The project was successfully sold out

**Batian VIEW**  
Your Nanyuki Address

**ABOUT THE PROPERTY**

**Location:** Nanyuki - Opposite Ol Pejeta Conservancy, Gate B

**Distance:** 20 Minutes Drive from Nanyuki Town

**Size:** 1/8 Acre Residential & Commercial plots

**Soil Type:** Black Cotton Soil

**Accessibility:** Via Nanyuki-Kumuruti Road – partly Tarmac & partly murrum

**Your Neighbours:** Ol Pejeta Conservancy, Mt. Kenya Wildlife Estate, Sirat Primary School, Proposed Laikipia University-Nanyuki Campus, PCEA Shilo church, Maasai Luxury Homes, British Army Training Unit & the proposed Enaa Golf Estate

**1/8 Acre Plots**  
from  
**Kshs. 319,000**

**HOME AFRIKA**

Home Afrika Limited | @HomeAfrika | Home Afrika Limited

## TULIVU PHASE 2



## OTHER PROJECTS (CONTINUED)

### Entim Breeze - Sold Out.

These beautiful and affordable 1/8-acre plots are located in the Kimuka area of Ngong Kajiado County. Entim Breeze is located 25 minutes' drive from Ngong Town and 3km off the Ngong-Kibiko Suswa Road (Greater Southern Bypass) and near the Nairobi Malaba SGR and 10 KM from Kimuka Shopping Center. Works on the Nairobi-Malaba SGR link and on the greater Southern Bypass (both located in the Kibiko area right next to Kimuka have commenced in earnest.

This property avails proximity to Ngong town which avails supermarkets, banks, schools and

hospitals to the property owner. The road from Ngong Town to Entim Breeze is majorly tarmacked and partly murrum making access to the property easy regardless of weather. Amenities: Olosho Olbor Dispensary Kajado West Technical Institute Kibiko Primary School Kibiko Secondary School

### Tulivu Gardens Ph. 1 - Sold Out.

Last Year we signed our maiden project in Naivasha which consisted of 52 plots, the project was one of the best successful projects being sold out in a record one month.

Tulivu Gardens is located in Kinungi Naivasha, 7-minutes from Nakuru Highway (A104), 19-minutes from Naivasha Town



**Tulivu II Gardens**  
**1/8 ACRE PLOTS**  
**@KSH 350,000**  
With 12 months payment plan

**ABOUT THE PROPERTY**

**Location:** Kinungi, Naivasha

**Distance:** From the Nairobi - Naivasha Highway (A104) – 12 minutes  
From Naivasha town – 24 Minutes

**Type:** Buy and Build

**Size:** 1/8 Acre Residential Plots

**Soil Type:** Fertile loam soil

**Accessibility:** All-weather road to and from the Naivasha-Nakuru highway

**Water & Electricity:** 1.5 Kms away

**Security:** Police Station & Chief's camp are 3.5 Kms away from the property

HOME AFRIKA

@homeafrika



**1/8 Acre Plots**  
From Kshs. 444,000  
Up to 12 Monthly Installments

**Tulivu Gardens**  
Kinungi, Naivasha

**ABOUT THE PROPERTY**

**Location:** Kinungi, Naivasha

**Distance:** From the Naivasha- Nakuru Highway (A104) – 7 minutes  
From Naivasha town – 19 Minutes

**Type:** Buy and Build

**Size:** 1/8 Acre Residential & Commercial plots

**Soil Type:** Fertile loam soil

**Accessibility:** All-weather road to and from the Naivasha-Nakuru highway

**Water & Electricity:** 100 Mts & 50 Mts away, respectively

**Security:** Police Station & Chief's camp are 3 Km away from the property

HOME AFRIKA LIMITED

Home Afrika Limited @HomeAfrika Home Afrika Limited

## OTHER PROJECTS (CONTINUED)

### Tulivu Gardens Ph. 2

This was another success project seeded in the last quarter of the year, the project picked up quite well and we anticipate to close the project by February 2020

The project comprised of 52 plots



### Batian View

The Project was opened at the beginning of the Year and since it has picked up good momentum, we managed to push 60% of the project. This was a 30 Acre project located 15 Minutes from Nanyuki Town opposite Ol Pejeta Gate B

## Proposed Projects 2020

### 1. Komarock

The project is located in Joska Town comprising 15 Acres we are projecting to close of the project in May 2020

### 2. Tulivu Gardens Ph. 3

The project is located in Naivasha Kinungi area comprising of 6.5 Acres, we project to close the sales by June 2020

Other Area of interest include

- Konza
- Matuu
- Nakuru
- Juja

### 3. Affordable Housing Space

As part of the government's big four agenda, Home Afrika proposed to venture in this key pillar by providing land as an asset to drive the affordable housing space. We tendered our bid to contribute in the sector with the key asset of land.

| Payment Option                | Installment Price |
|-------------------------------|-------------------|
| Cash Payment (within 30 days) | KES 115,000       |
| 3 months                      | KES 329,000       |
| 6 months                      | KES 544,000       |
| 9 months                      | KES 754,000       |

**PAYMENT OPTIONS**

1. MPESA PAYBILL  
Business Number: 18780000  
Account Number: Client Name & Plot Number

2. Sweep payment via PDL machine

3. BANK DEPOSIT  
KCB Bank Limited  
Branch: Saint Gerard  
Account Number: 11148834681

**CONTACT US:**  
NAME: \_\_\_\_\_ PHONE NO: \_\_\_\_\_

A modern wooden house with large windows and a balcony overlooking a lake and mountains at sunset. The balcony features a large sofa with patterned cushions, a coffee table with a glass top, and a potted plant. The view from the balcony shows a lake, mountains, and a small town in the distance.

**“The wise traveller  
leaves his heart at  
home.”**

---

*African Proverb*



## Report

### 2019 Marketing KPIs

- Forge partnerships with various institutions i.e. banks and SACCOs to offer financial support to our clients as we build a strong brand name.
- Increase digital marketing channels and improve tact so as to achieve the set targets through creation of innovative content.
- Excite the market through innovative and non-conventional marketing and communication material that appeals to the target market.
- Build believability through leadership and brand awareness through extensive PR activities.
- Stakeholders satisfaction through promoting continuous and constant communication and feedback.

### Website

Home Afrika Group has a series of 3 websites that supports each product and last year we revamped the sites as per the outlined stress points of our users. Having reviewed

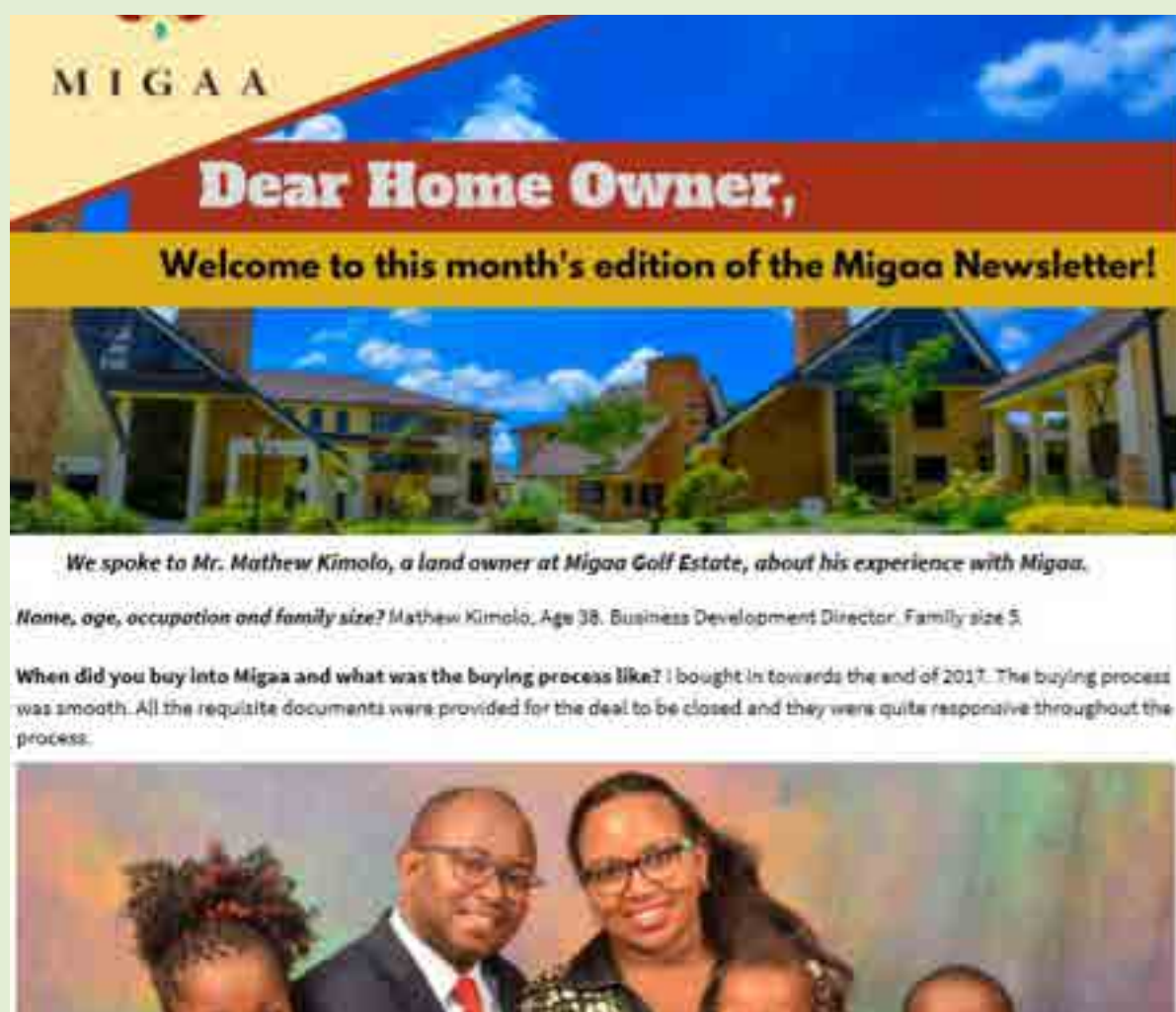
the websites, we noted that there is need to redo some of them so as to incorporate the following:

- Optimize the website for SEO
- Decrease load time
- Live feeds from social media
- User-friendly interface
- An improved chatbot (more humane than robotic)



### HALWebsite

## MARKETING REPORT (CONTINUED)



### Migaa Monthly Newsletter

## MARKETING REPORT (CONTINUED)

### Partnerships & Networking

#### Ventures

In 2019 we were more involved in growing the brand and overall sales through a series of networking events that were quite impactful. We also incorporated door to door marketing distributing flyers and marketing material to organizations around Kilimani, Hurlingham, Dennis

Pritt road, Lenana road, Kindaruma road, Argwings Kodhek Road, Ngong road and this got us quality leads who have in return given us repeat business.

Offline partnerships & networking events include:

- Breakfast corporate presentations
- In house open days
- Industry-specific presentations
- Real Estate Expos
- Project site visits
- Corporate activations
- Mall Activations
- Grounds for hire
- Golf Tournaments



Golf weekends at Migaa



Wedding Bells



## DIGITAL SUPPORT

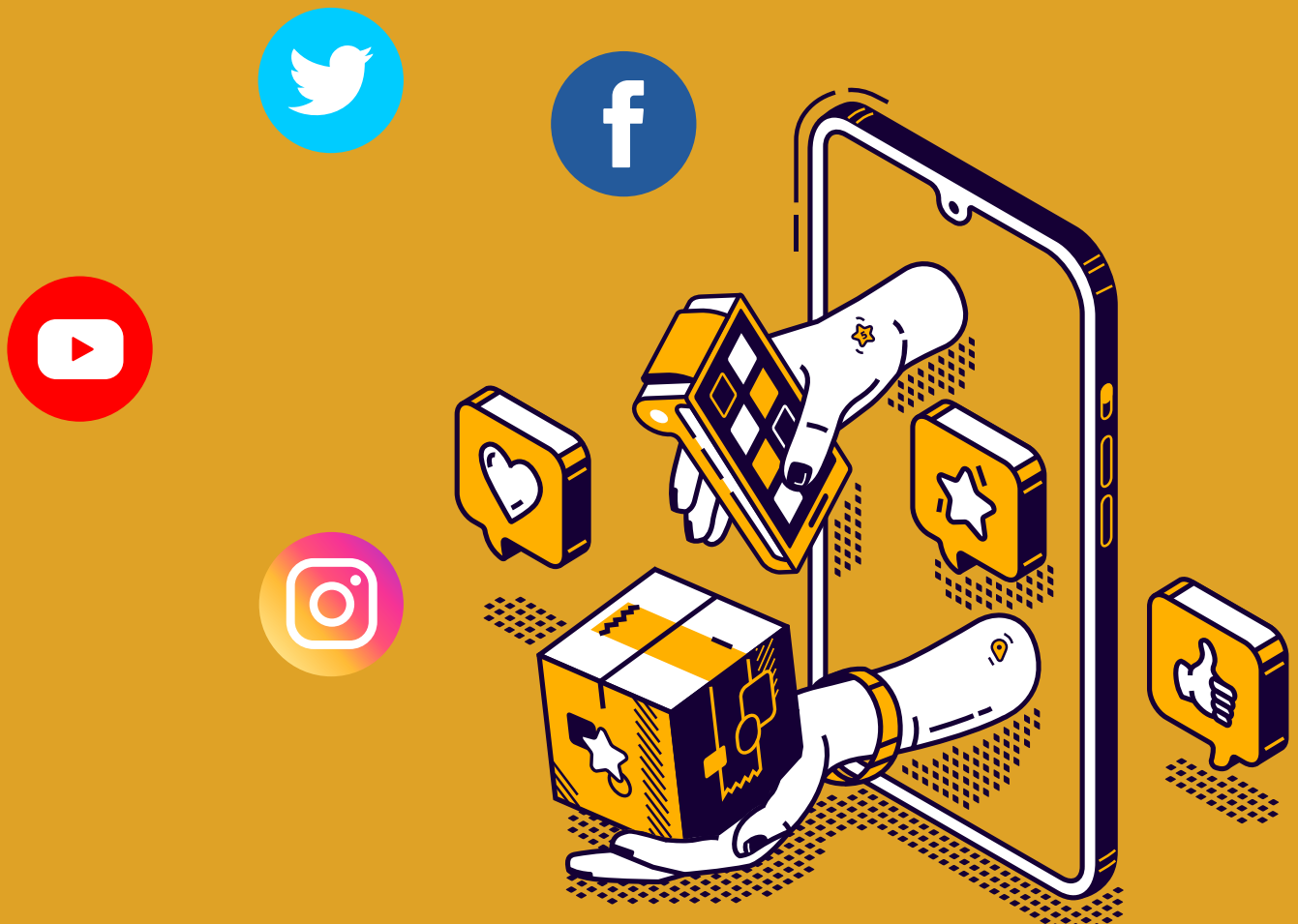
As Home Afrika Group we utilized our social media platforms in order to generate leads for our core businesses mainly plots, houses and office space. Our main social media platforms are Facebook, Twitter, LinkedIn, Youtube and Instagram.

We saw an increase in engagement (views,likes, shares and comments) on our social media handles and

overall reach of our posts. In generating leads for our businesses we incorporated low cost and high impact ads, which saw to it that we optimized our budgets and got a significant amount of leads MOM.

As digital marketing evolves daily and the uptake of the internet in Kenya stands at 90%. According to the latest statistics by the Kenya

Communications Authority (KCA), it's quite clear there's still room for our brands : Home Afrika Limited, Migaa and Morningside Management to grow. By continuously A/B testing, keeping up with digital trends and week on week analysis the brands are better placed to make informed decisions based on what our numbers tell us.



## BRANDING

We doubled-up on both staff and company branding by improving on the design artworks for our flyers and banners (both online and offline). In addition, we also pushed for employees to serve as brand ambassadors by always being branded when attending any company-related events. We increased our outdoor branded materials to serve any and all concurrent activities.



## PRINT & ELECTRONIC MEDIA APPEARANCES - PR



**HEADLINE:** Home Afrika Real Estate Magnate on a rebound

**WEBLINK:** [https://www.youtube.com/watch?v=gV\\_L4pmi0MY](https://www.youtube.com/watch?v=gV_L4pmi0MY)

**DATE:** Dec 6th, 2019



## RE: INTRODUCING MORNINGSIDE BUSINESS HUB

---

I would like to take this opportunity to introduce Morning side Business Hub to you and highlight some of our value products which I'm sure will be of interest to you and your immediate network. Morningside Business Hub was established to help entrepreneurs grow their businesses by minimizing their costs. We understand that a major challenge that entrepreneurs face is raising capital that will be adequate to cover set up costs and several months operational costs.

Therefore, having a package for our executive office suites which comprises a fully furnished, fully serviced office and other business support services, effectively covers setup costs and some of the business' operational costs thus making the entrepreneurial dream realizable. Through the package our clients have been able to move in and start operations immediately and focus on growing their businesses as we take care of the other services they may need.

In addition, we have an impressive conference space where our executive office suites clients, or any other person who requires such a space - be it for a formal business meeting or a social event - can access. We can also organize for any catering or additional item that the client may require to make their meeting or social event a bigger success.

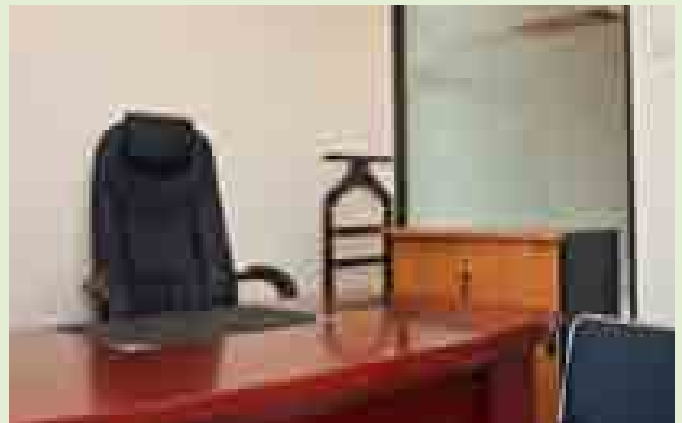
We purpose to help our clients grow their ventures and have the best experience in our conference facility. Each time that happens, as it has been, we know our job is done.

We are offering services on printing, binding, laminating, photocopying, scanning and Conference hires at Morningside Business Hub, 6th floor. We will work hard to provide you with the best services that will assist you in the smooth running of your operations at a very pocket friendly price.

## MORNINGSIDE PARK OFFICES



Serviced Offices



Conference Room



## SERVICED OFFICES (CONTINUED)



Birthday Dinner



Rooftop Images



**WORTHINGTON**

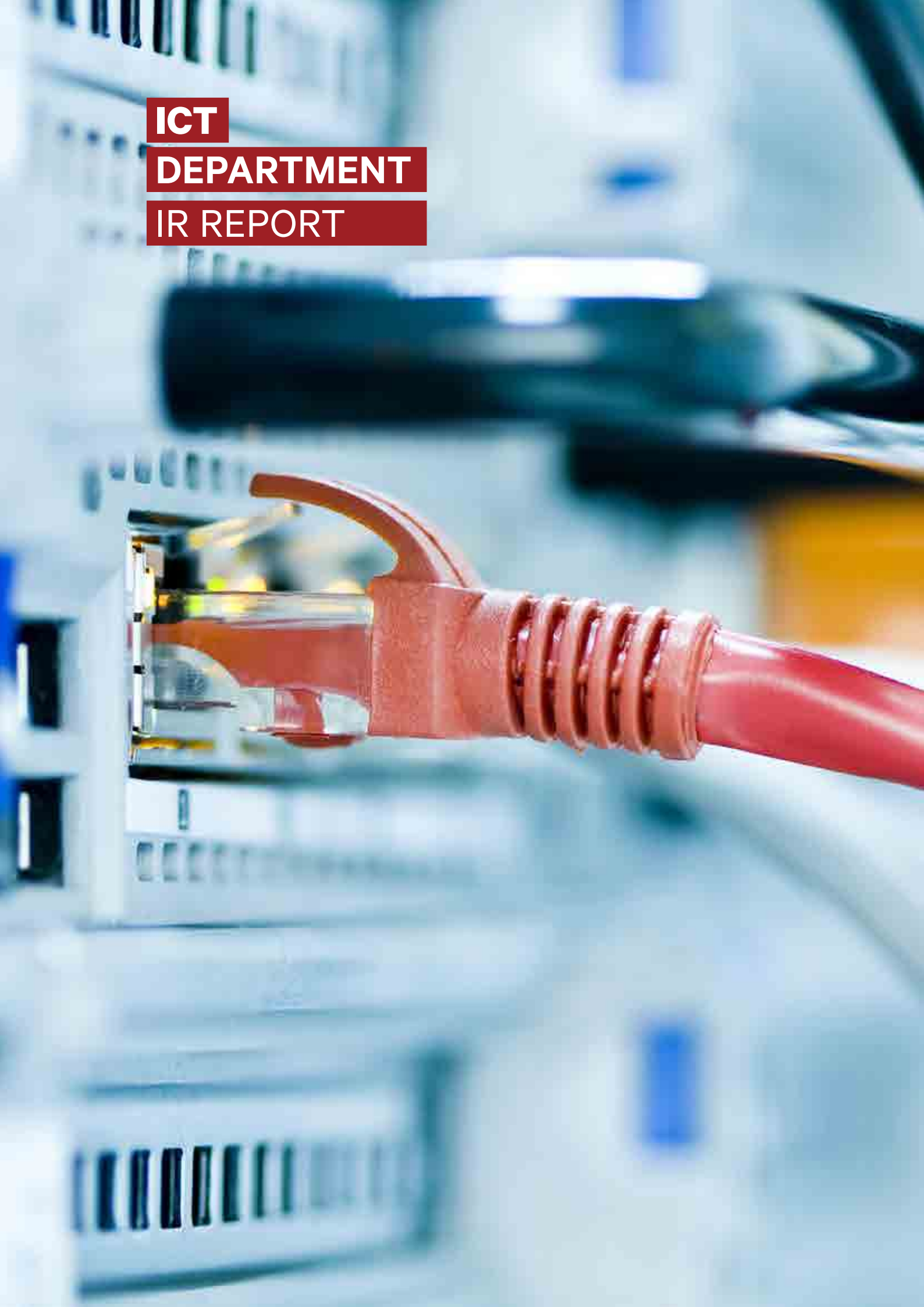
**MEETINGS & BUSINESS**  
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**CONFERENCE TIRES AND  
SERVICED OFFICES FOR RENT**  
(Serving the Greater Nairobi Area)

**Serviced Offices From  
Ksh. 35,000 +VAT**

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or call 011 5581123

**ICT**  
**DEPARTMENT**  
**IR REPORT**



## ICT DEPARTMENT IR REPORT

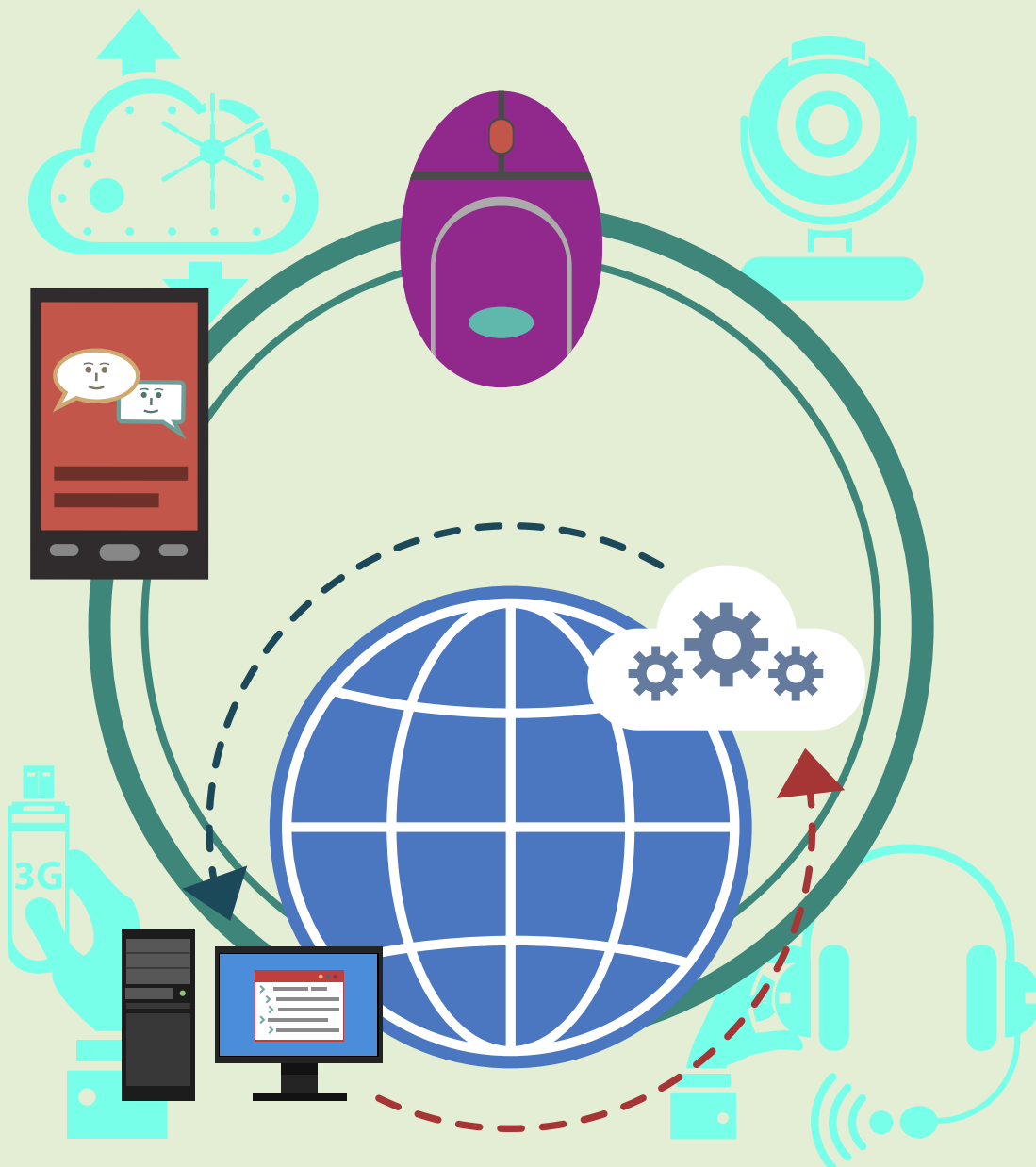
### Introduction

Information Technology is currently viewed as an organizational core competency that is necessary for organizations to survive and prosper in rapidly-changing, competitive, business environments. Today, the real estate sector is grappling with a number of challenges such as shortage of skilled manpower, escalating project cost, prolonged construction period, lack of

proper record keeping strategies, competition, loss of files, duplication of data, slow access to information and use of outdated ways of analyzing and storing data.

Technology holds the key to not only address some of these issues, but also a promise for the sector to react to the changing market conditions more effectively and efficiently. ICT

has greatly diversified the real estate products, as companies structure their operations to remain relevant in the digital age. ICT provides a 360-degree approach in the real estate markets through provision of information on property, analysis and trends. Home Afrika takes ICT not as a support function but as business driving function.



## THE COMMUNICATION FUNCTION

This is one of the most important IT roles in the group as well as other organizations. It has now become possible to contact anyone no matter what part of the world they are in. When it comes to business, this capability is quite useful. To achieve this, we have been using and continue to use multiple channels such as emails, collaboration software, social media & video conferencing.

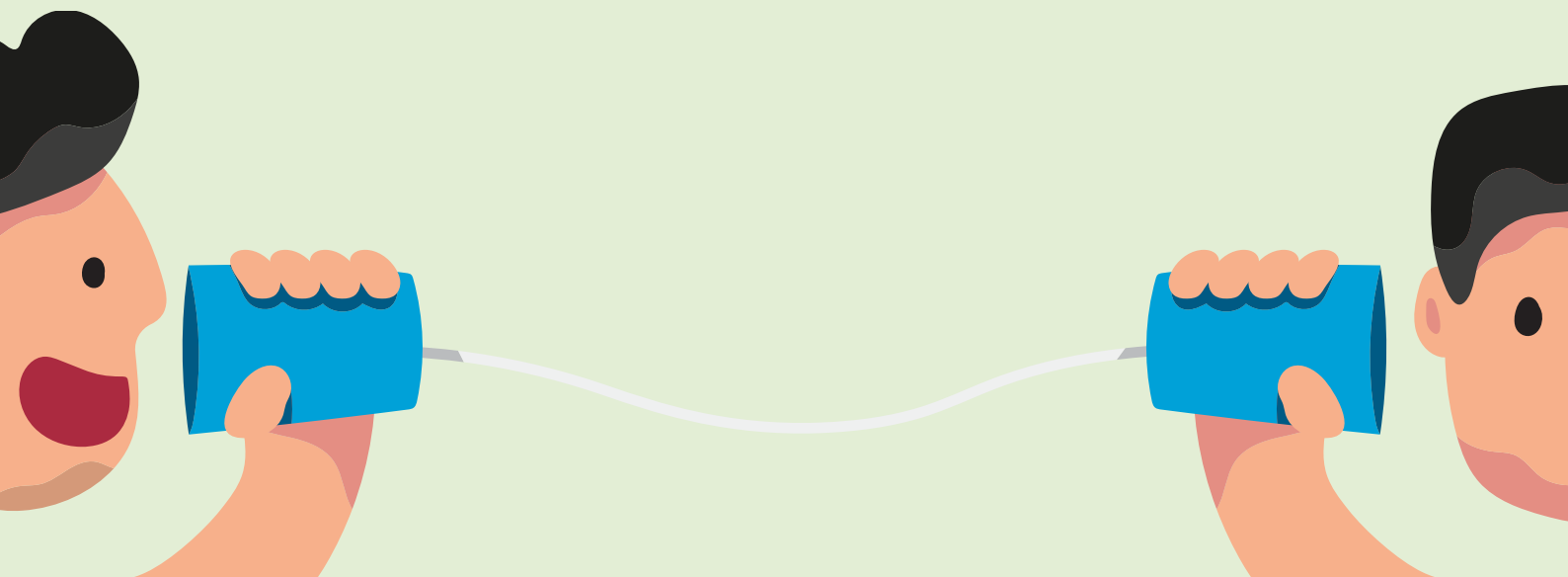
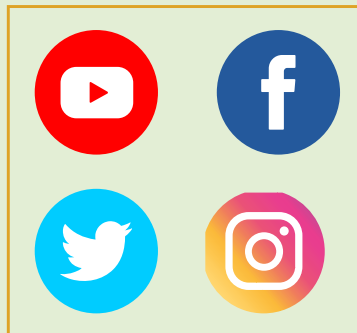
**For Collaborations we are on the Trello platform.** Trello is a collaboration tool that organizes your projects into boards. In one glance, The group uses trello to help know what's being worked on, who's working on what, and where something is in a process. This goes a long way in the accomplishment of various tasks



For Emails we are on the Google Suite platform which is a cloud platform ensure email availability everywhere and anywhere as long as the internet is present.

For social media we are on various platforms so as to communicate better to the outside world. To the group social media is of benefit, as it helps us reach out to their customers and to gain the attention of more people/potential customers.

For video conferencing we have zoom as the platform. We use the platform for various conferencing meetings with diaspora clients, staff on a different branch and suppliers as well.



## THE SUPPORT FUNCTION

ICT has become an additional organ in the body of any business, allowing the business to achieve much greater things than it otherwise could without the help of IT. The IT department

is an important department, complementing and supplementing the others in numerous ways. The Group appreciates the department as one that supports and drives

business. In support we have implemented various tools that enable us serve the end users better. We do both system and network support the tools used are as follows:

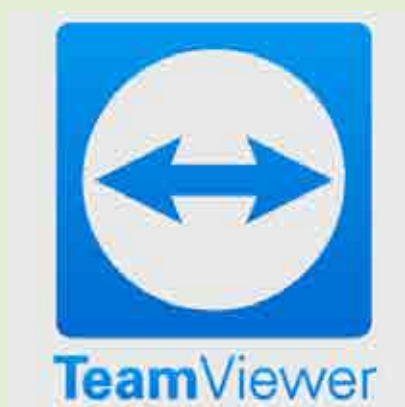
### Helpdesk support tool:

We have a helpdesk support tool known as Spiceworks. Which we use to address all our support related issues be it system or network.



### Remote support tools

Also, for remote support we also use various remote support tool namely TeamViewer and any desk support tools.



## THE DATA & NETWORK MANAGEMENT FUNCTION

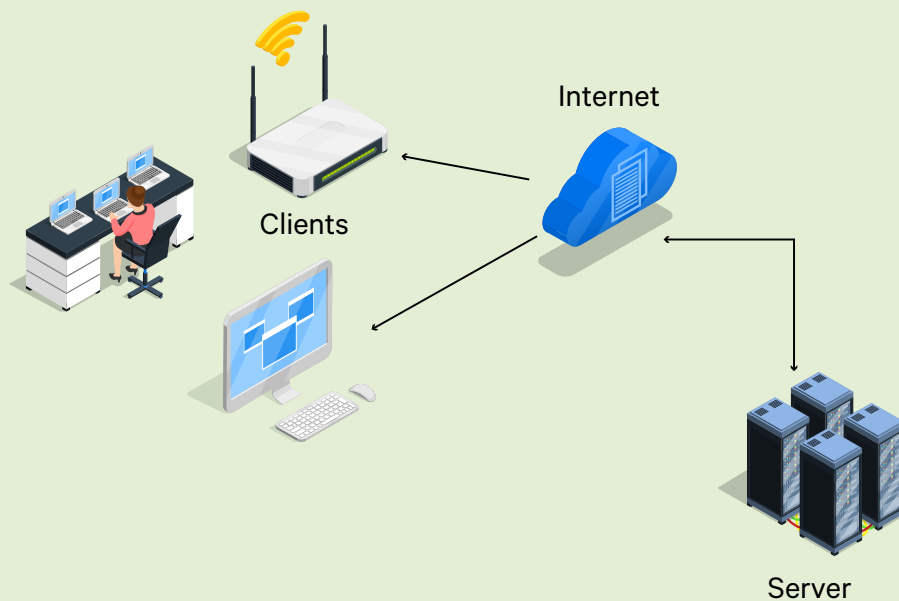
With the increasing complexity of the world of business comes an increasing amount of data that businesses have to deal with. This data also comes in multiple dimensions. A business will see traffic in many different kinds of data, including text data, audio data, and video data, among others. In order to control this data, we have

databases that help us store manage and access company data.

We have a client server Network architecture hence all our data are in a dedicated server and we have implemented a domain system for better resource sharing and centralized data storage. This is

an onsite data storage and backup mechanism.

We also have a cloud backup solution which ensure business continuity in case of any loss of service onsite hence better reliability and availability of data.



### Project Connectivity

Home Afrika's Main project is known as Migaa it's a golf estate seating on 774 Acres of land. ICT infrastructure

was part of infrastructure deliverables. At Migaa we were able to run a fiber back bone from the main gate all the

way to the Mitini Scapes which is a development within Migaa.



## THE SALES AUTOMATION & MARKETING FUNCTION

With the rise of computers and the internet, marketing campaigns are becoming increasingly digital. The IT department helps the group with the sales and marketing functions of the business in numerous ways.

### Website

We Have a customer centric approach to business,

and we have a User-friendly website to provide good customer experience. We are currently redesigning it to create a better customer experience. The website function as core marketing tool hence helping us to drive business.

This is a snippet of the Migaa our project website

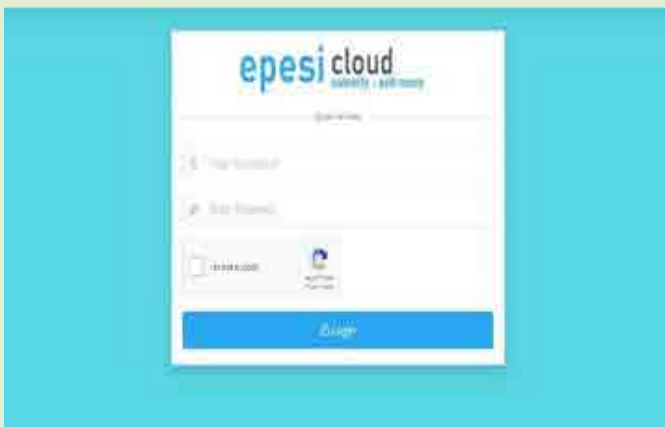


### CRM:



The Group was able to implement CRMS tailored to suit our real-estate needs. It functions to improve both our sales and marketing process. For Sales the CRM helps in lead acquisition and scoring. It helps capture all sales activities and processes. Within the same CRM

is a marketing functionality that includes marketing campaigns creator as well email marketing module. Status of all activities are also available in the CRM reporting function which helps in sales forecasting and management.



## THE ENTERPRISE RESOURCE PLANNING FUNCTION

We have implemented an ERP (SAP) that supports our accounting function. The ERP package is designed to support and integrate almost every functional area of our business process such as procurement of goods and services, sale and distribution, finance and accountings.



For the Human resource we have implemented a Hrmis App for the same.



## HUMAN CAPITAL

Home Afrika Ltd aims at having skilled, experienced and diverse human capital. Our people are fundamental to our growth and our ability to create value. Their skills and expertise are critical to creating and executing strategies, and their

service orientation and commitment to excellence help to deliver results, build relationships and secure our reputation.

We had a workforce of 49 permanent employees and 113 casual

employees. Our ambition was to be the most sought-after employer where colleagues feel engaged and empowered to achieve their best in order to deliver the best for our clients.



## OUR CULTURE

**What we do:** Disciplined focus on results



**How we do it:** Empowering innovation and teamwork



### Demographics and diversity

In our pursuit to ensure a well-balanced working environment we have ensured diversity in all areas possible. We are a fully multi ethnic organization with all regions of the country well represented. Our workforce encompasses a multi -generational profile, which ensures skills are well spread and opportunities for succession are provided. Diversity and inclusion

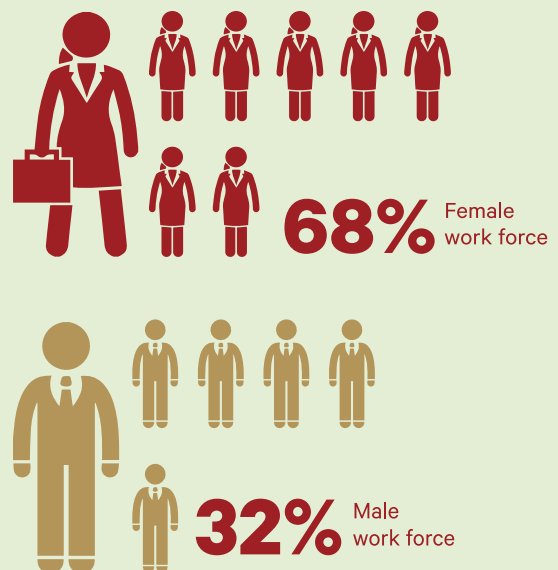
are key to our sustainability strategy, ensuring talent continuity and broadening the company's appeal to employees in various market segments. This will allow us to continue attracting and retaining employees who positively contribute to our success.

We have a female work force of 68% and a male work force of 32%.

In order to meet the needs of our

customers and the requirements of our regulators, we are focused on having the right people with the right skills, in the right roles. To ensure we hire highly competent, customer centric employees, we are also changing how we recruit with a focus on a more diverse set of skills in addition to specific role expertise.

We have gone big on Internal promotions and headhunting to ensure we have the best talent.



## ATTRACTING THE BEST TALENT

In order to meet the needs of our customers and the requirements of our regulators, we are focused on having the right people with the right skills, in the right roles. To ensure we hire highly competent, customer centric employees, we are also changing how we recruit with a

focus on a more diverse set of skills in addition to specific role expertise.

We have gone big on Internal promotions and head-hunting to ensure we have the best talent.



## Performance Management

We remain committed towards driving a high performance culture. We make use of the Key Performance Indicator

approach to measure employee performance. Our model of appraisal is the 360 degrees appraisal system which enables employees to get all rounded feedback.



## ATTRACTING THE BEST TALENT (CONTINUED)

### Reward Management

Home Afrika Limited believes in rewarding employees who perform exceptionally well. There are reward systems in place and thus employees are motivated to perform.

Recognition and praise is vital as it motivates the employees to work towards achieving and surpassing their set targets.

One staff member received a car as a prize for good performance.



A car gifted to one of our staff for good performance



A member of staff receiving a 1 million shillings cheque for good performance.



## TRAINING AND DEVELOPMENT

At Home Afrika Ltd, we believe in improving skills for our employees and this is mainly done through training and development. Customer Service training



**Cyber Security training**



**Guards undergoing training**



**Guards receiving a certificate after undergoing training by BABS security**



**Staff receiving certificates after training by the International Training Institute.**

## EMPLOYEE WELFARE AND WELLNESS

Our commitment is to continuously have initiatives that guarantee our employees wellbeing and a well-balanced lifestyle.

We aim to have a great working environment by having the following:-

### Medical

The Company meets the medical expenses of the employees and their nuclear family for all the permanent employees. The company pays full premium for the medical cover. The cover which is by a private company caters for all rounded medical needs.

### WIBA (Work Injuries & Benefits Act)

Cover for occupational Injuries or death within the workplace.

### NITA compliance

The group is NITA compliant thus promoting more training opportunities for staff.

### Team buildings and end of year parties:

This promotes good relations among employees as they are also able to interact outside the normal working environment.



## MILESTONES

In 2019 we: -

- Established the Land Surveying department which handles survey and beaconing of projects, online and mobile inventory, static inventory and created a geodatabase for all projects.
- Introduction and implementation of a HRMIS system that has made delivery of HR functions better.

## FINANCIAL STRENGTH

### A) SOURCES OF FINANCE

Home Afrika LTD has currently employed a mix of different sources of finance for its projects. Equity: These are the shareholders contributions. The company is also listed in the NSE GEMS section.

#### **Debt:**

Due to the company's stability and futuristic outlook, the company has been able to acquire loans from financial institutions to fund its project in Migaa & Mitini.

#### **Strategic Investors:**

The Company is currently in the market looking for Strategic investors. The outcome has been encouraging with several potential investors expressing interest and are currently undertaking due diligence so as to invest with Home Afrika.

### B) COSTS OF FINANCING

Currently the company is servicing interest on loans sourced from I&M Bank and Eco - Bank. Interest forms the main component of the finance costs.

### C) RETURN ON INVESTMENT

The company employs a framework to determine return on investment on all of the projects it undertakes that gives a return on investment of 25%. The strategies involves project and pricing committees that employs research oriented matrix. This helps in,

1. Feasibility study
2. Carrying out due diligence,
3. Pricing
4. Cost analysis/Budget monitoring

### D) DEVELOP BUYER FINANCE MODEL

A key challenge that often accompanies housing developments is the failure to link the ideal of a quality social housing project with the affordability realities of the target market. A further constraint highlighted by some critics is the limited availability of mortgage finance. The opportunity, therefore, is to bring together affordable housing delivery with affordable, appropriate finance. The company has strategically partnered with financial institution to assist potential client to be able to get financing for it products.



## PERFORMANCE AGAINST STRATEGY

| STRATEGIC OBJECTIVES                                                                                                                                                                                | STRATEGIC INITIATIVE                                                                                                                                                                                                                                                          | KEY PERFORMANCE INDICATORS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>OBJECTIVE 1. LAND</b><br>Acquire Land with the following objectives: <ul style="list-style-type: none"> <li>Land banking.</li> <li>Subdivision and sale</li> <li>Property development</li> </ul> | <ul style="list-style-type: none"> <li>Joint venture.</li> <li>Government Partnerships</li> <li>Seed financing</li> </ul>                                                                                                                                                     | <ul style="list-style-type: none"> <li>Joint Ventures: Developing strategic partnerships and rollout JV partnerships. In 2018 Moran ridge was actualized.</li> <li>Land banking; Acquired 19 acres of land in the year 2018.</li> <li>Originated &amp; signed 2 smart plots projects in the year 2018</li> </ul>                                                                                                                                                                                                                                                                                                                                                                              |
| <b>OBJECTIVE 2. EXPANSION</b><br>To grow sales and Revenue                                                                                                                                          | <ul style="list-style-type: none"> <li>Go county plan.</li> <li>Corporate Rebranding.</li> <li>Diversification of products and services</li> </ul>                                                                                                                            | <ul style="list-style-type: none"> <li>Project Origination: Undertake 2 Internal staff training per quarter for originations</li> <li>Property letting and management-KU Unicity</li> <li>Go county plan: Set up regional offices in Nanyuki finalized.</li> <li>Developed a pipeline of 14 properties for management in the year 2018.</li> </ul>                                                                                                                                                                                                                                                                                                                                            |
| <b>OBJECTIVE 3. INNOVATION AND TECHNOLOGY</b><br>Reduce cost of construction through technology.                                                                                                    | <ul style="list-style-type: none"> <li>Appropriate technology.</li> <li>Research and development.</li> <li>ERP Systems.</li> <li>Partnerships with educational institutions.</li> </ul>                                                                                       | <ul style="list-style-type: none"> <li>Ongoing research and development on low cost housing.</li> <li>Improved website that is user friendly and customer focused. Our properties are easily accessible thanks to the CRM add-on that automatically updates the company's property page.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>OBJECTIVE 4. SERVICE EXCELLENCE</b><br>World class real estate service.                                                                                                                          | <ul style="list-style-type: none"> <li>Establishment of quality standards framework.</li> <li>Benchmark against best practice.</li> <li>Planning and quality assurance.</li> <li>Customer Relationship Management (CRM) tool.</li> </ul>                                      | <ul style="list-style-type: none"> <li>Establishment of statutory quality standards framework.</li> <li>Digital move (Smart homes)</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>OBJECTIVE 5. HUMAN CAPITAL</b><br>Identify, nurture and grow human capital that will increase the value of Home Afrika.                                                                          | <ul style="list-style-type: none"> <li>Talent Acquisition and retention.</li> <li>Performance management.</li> <li>Organizational structure.</li> <li>Succession planning</li> <li>Creating the right business culture.</li> <li>Onboarding</li> <li>Compensation.</li> </ul> | <ul style="list-style-type: none"> <li>In the year 2018 Home Afrika identified, acquired and retained highly qualified staff members.</li> <li>Staff were regularly reviewed and awarded accordingly in terms of commissions, international and local trips, land etc.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>OBJECTIVE 6. FINANCIAL STRENGTH</b><br>Increase Home Afrika's financial stability.                                                                                                               | <ul style="list-style-type: none"> <li>Source of finance.</li> <li>Cost of financing.</li> <li>Return of Investment.</li> <li>Development of buyer financing model.</li> <li>Development of project financing model.</li> </ul>                                               | <ul style="list-style-type: none"> <li>Home Afrika diversified their source of finance by fundraising, property management etc.</li> <li>Carrying out due diligence on potential investors before engaging them.</li> <li>Having payment plans with our buyers.</li> <li>Cost of financing: Currently the company is servicing interest on loans sourced from I&amp;M Bank.</li> <li>Return on investments: The company employs a framework to determine return on investments on all the projects it undertakes that gives a return on investment of 25%</li> </ul>                                                                                                                          |
| <b>OBJECTIVE 7. PARTNERSHIPS</b><br>Revenue generation                                                                                                                                              | <ul style="list-style-type: none"> <li>Outsourcing of processes.</li> <li>Strategic partnerships.</li> <li>Business model partnership.</li> </ul>                                                                                                                             | <ul style="list-style-type: none"> <li>Diversified income streams.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>OBJECTIVE 8. MARKETING</b><br>Increased stake holder engagement.                                                                                                                                 | <ul style="list-style-type: none"> <li>Website</li> <li>Social media</li> <li>Branding and signages</li> <li>Networking.</li> <li>Electronic Mail.</li> <li>Ad Placement</li> <li>Public relations</li> <li>Website.</li> </ul>                                               | <ul style="list-style-type: none"> <li>Engaged with various institutions (banks, SACCOs, Diaspora association, membership clubs, travel agencies etc.) to build brand awareness.</li> <li>We have excited the market through innovative and non-conventional offline and online activities to aid in lead generation.</li> <li>Increased digital engagement and achieved our targets leads through creating innovative content.</li> <li>We have built thought leadership and brand awareness through extensive PR activities.</li> <li>We have excited the market through innovative and non-conventional marketing and communication material that appeals to the target market.</li> </ul> |

## REPORT FROM CFO

### 2019 KEY HIGHLIGHTS

The group reported a significant growth in revenue for the year ending 31st December 2019 as compared to the same period in the year 2018 growing from KSh. 109 million to KSh. 363 million, noting an improvement of 233% growth. Whereas the group has increased its revenue in 2019, it has also reported a loss for the period ending December 31st 2019 of KSh. 887 million compared to KSh. 392 million posted in 2018. The loss in 2019, KSh.391 million was from an asset valuation impairment. Depressed valuation of the company's inventory in the form of land and houses which are still under development was the main course for the performance in 2019.

The group absolute sales (unadjusted for project stage of completion) grew from KSh. 582 million in 2018 to KSh. 645 million in 2019. This means that the group managed to sell more property than it did in 2018 even in the wake of a depressed economic environment. The selling and marketing expenses increased in line with these increased selling activities.

The sales from smart plots are booked as deposits for plots in the balance sheet. As the purchaser completes the payments and is issued the titles, these deposits will progressively be reported as revenue in the profit and loss statement.

The group improved its percentage of completion at its Migaa Golf Estate project, the premier golf estate development in Kiambu County, to 48% in 2019 from 46% in 2018. The average projects' percentage of completion determines how much deferred revenue is booked as sales. Migaa Golf Estate, being a long-term project, is expected to realize its profitability towards the end of the project in 3 – 4 years' time.

The deferred revenue & deposits from the sale of plots grew from Ksh 2.6B in 2018 to Ksh 3B in 2019. In line with our accounting policy, these amounts are carried as current liability in the balance sheet but will over time be converted into revenue as we increase the investment in the project and thereby increase the rate of percentage of completion.

All expenses are usually expensed in the current period.

The group book value of sellable land and other inventory stood at KSh.3.5 billion in 2019 while total Assets stood at Ksh 4.3 billion for the same period. We continue investing into the various projects with an effort to bring them to completion which will result in improved market value.

We continue to introduce the concept of affordable smart plots to improve the company liquidity. In 2019, we launched two smart plot projects being; Tulivu Gardens Ph.1 & Tulivu Gardens Ph.2 (In Kinungi, Naivasha) both of which were sold out within a short period of time.

### REPORTING AND COMPLIANCE

The company's strategy on corporate governance is mainly focused on three agendas, these are; compliance with laws and regulations, promotion of growth in a sustainable manner and the improvement of shareholder value. During the year, we were in compliance with the various requirements expected of us by the regulators as a listed company.

The Board of Directors remains committed to overseeing the implementation of sound corporate governance practices and structures. In 2019, in compliance with the Capital Markets Authority (CMA), Code of Corporate Governance Practices for the Issuers of Securities to the Public 2015, the company successfully undertook a Corporate Governance Audit (detail report in page 83 - 87). Furthermore, the company enacted various updated company policies to regulate business practices and activities. These include the ICT Policy, Finance and procurement policy, Business Conduct manual, Directors' Remuneration Policy, Risk Management Policy. These and more policies can be found in the company website [www.homeafrika.com](http://www.homeafrika.com).

The Nomination, Governance, HR & Administration Committee has been delegated by the Board which is mainly

tasked with ensuring compliance with regulatory standards and effects this through the Company Secretary in conjunction with the Chief Finance Officer and the Legal Officer.

In 2019, the company acquired a Customer Relationship Management IT Platform tailored to suite our real-estate commercial business needs. Its main functions are to improve both our sales and marketing processes. For sales, the CRM helps in lead acquisition and scoring. It also helps capture all sales activities from lead origination, lead monitoring, lead closing, invoice processing and to collections. The system also has a marketing functionality that includes marketing campaigns creator as well as email marketing module. Status of all activities are available in the CRM reporting function which helps in sales forecasting and management.

In 2020, we look forward to leverage our market position as the only real estate developer listed on the Nairobi Securities Exchange and focus on our business model and aggressive cost management measures to create value for our stakeholders.

**CPA Jayne Nyokabi**  
CHIEF FINANCE OFFICER



## SUSTAINABILITY REPORT

### CHAIRMAN'S REPORT



"We believe this expansive and inclusive view of value creation helps maximize our potential as a business to grow, create economic value"

Sustainability is a priority for the Board of Directors and the company's executive leaders, starting with Our chairman Mr Peter Nduati. Ultimately, we believe this expansive and inclusive view of value creation helps maximize our potential as a business to grow, create economic value and make a lasting positive difference for communities and our world.

The Board and Management of Home Afrika Limited. ("HAL" or the "Company") are committed to maintaining a high standard of corporate governance practices

within the Group. We have devoted deliberate effort to identify and formalize best practices in corporate governance. The Board believes that sound and effective corporate practices are fundamental to the smooth, effective and transparent operation of any company and its ability to attract investment, protect the rights of shareholders and stakeholders, as well as enhancing shareholder value. Accordingly, the Board has ensured that the Company's policies and guidelines are in line with the existing regulatory framework of the Capital Markets Authority, the Companies Act 2015, and the Kenyan Constitution 2010.

At Home Afrika Limited the way we lead, work and behave is

driven by our core values. These values influence the way we meet client needs while respecting the regulatory requirements and the way we promote ethically sound practices within Home Afrika. Sustainability is integral to the company's business strategy, for Home Afrika Limited, this means delivering both short-term and long-term value for shareholders and all other stakeholders, because today's profits are essential to fund tomorrow's growth.

We are committed to integrating responsible and sustainable business practices across our operations. It is our policy to act responsibly in our day-to-day activities in order to sustain the relationships with our customers, suppliers, employees and communities. We have modelled our policies after some of the provisions of the Constitution of Kenya (2010), United Nations Sustainable Development Goals (SDGs), the UN Declaration of Human Rights and all applicable provisions of Kenyan legislation.

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**Peter Nduati**  
HOME AFRIKA LIMITED, CHAIRMAN

## SUSTAINABILITY AT HOME AFRIKA LIMITED

There are a number of critical factors leading to successful sustainability strategy. These are both internal and external. Internally, the determinants are corporate governance and stakeholder (external parties) engagement while external determinants include the legal system in the country and the cultural and social factors.

### 1. External Factors.

Externally, to improve the sustainability of operations. We explore how the complexity associated with defining, coordinating and interacting with stakeholders in their work on integrating sustainability into the business operations increases substantially. Furthermore, sustainability also introduces considerations relating to the natural environment and social issues, for example, consideration of the interaction between economic consideration with social and environmental issues. These changes from external factors require management to not only address new issues, but also to substantially change existing practices and create new management systems. Externally we ensure that the clients we pursue are engaged our clients and investors as a way to maintain reputational risk;

### Stakeholder Engagement

This refers to all groups of people who are affected directly or indirectly by our company decisions, policies and operations. They are divided into two distinct groups – primary and secondary stakeholders. Primary stakeholders consist of employees, shareholders, service providers, creditors and competitors. Secondary stakeholders are all the communities that our business has presence in.

Home Afrika Limited is cognizant of the fact that it takes all of us working together to truly have an impact. As such, we partner with organizations

in the communities where we live and work to improve lives and society as a whole – by engaging in activities such as community service, philanthropy, and support for small, minority, women, and disadvantaged businesses. Home Afrika Limited deals with Stakeholder Engagement in the following way;



#### i) Community engagement

As part of the wider community in which we operate, the company collaborates with various stakeholders involved in advancement of education and financial services and various other activities addressing local challenges. Some of the Activities that HAL engaged in 2019 Included; Paying school fees at certain schools to include at Goi Bei High school, Kiambu High school, Chania Boys & Girls.



#### ii) Environment

Home Afrika Limited respects the environment and recognizes a shared responsibility to protect our planet. Although our facilities and operations have a small ecological footprint, we reduce the environmental impact of our business through preservation, conservation, and waste reduction practices.

In order to reduce waste, Home Afrika has over the years proactively adopted the 3Rs Model of Retain, Recycle and Reuse of waste i.e. By having the recycle bins placed in the company's office, the concept of "everything is useful to somebody else" is well applicable in Home Afrika for example used papers & used envelopes are re-used internally and detailed list of assets i.e. laptops are maintained to facilitate internal shifting to stations where they are shortages instead of procuring new ones. These include Limitation on paper, electricity and water usage in the day to day operations of the office and our Migaa project where there is water supply and reticulation.

Some of the energy saving measures being championed by the team include:

- Use of standby and power saving modes on computers and monitors and switching off these machines at the end of the day and at other times when they are not in use.
- Selection of appropriate print quality for example low quality to be used for all internal documents, color printing to be used only in specified circumstances.
- Printing in batches and use of the two-side flip option wherever possible to reduce the amount of paper wastage.
- Optimizing photocopying and printing to reduce wastage.

## SUSTAINABILITY AT HOME AFRIKA LIMITED (CONTINUED)

### 2. Internal Factors

Internally, organization and governance are reflected in the structures that firms use to monitor and control complexity decisions throughout all stages of business operations. Practices related to sustainability include the;

#### 1. Management Decisions

Our Company's adoption of a strategy is influenced by management decisions. Management mindset thus plays an important role in the sustainability strategy adoption. The integration of sustainability requires consideration on policy, competitive environment and strategy. Due to the closed-system nature of sustainability, opportunities to modify operations or changes in tactics can have substantial effects on policy, firm strategy and the competitive environment. Management's attitude towards the sustainable development and responsibility of business is one of the key drivers in applying sustainability development strategies. Various researchers have studied the social orientation and

perceptions of social corporate sustainability and relating concepts from the management perspective. Leaders of those companies which have a well-articulated set of guiding principles

#### 2. Company Structure and Policies:

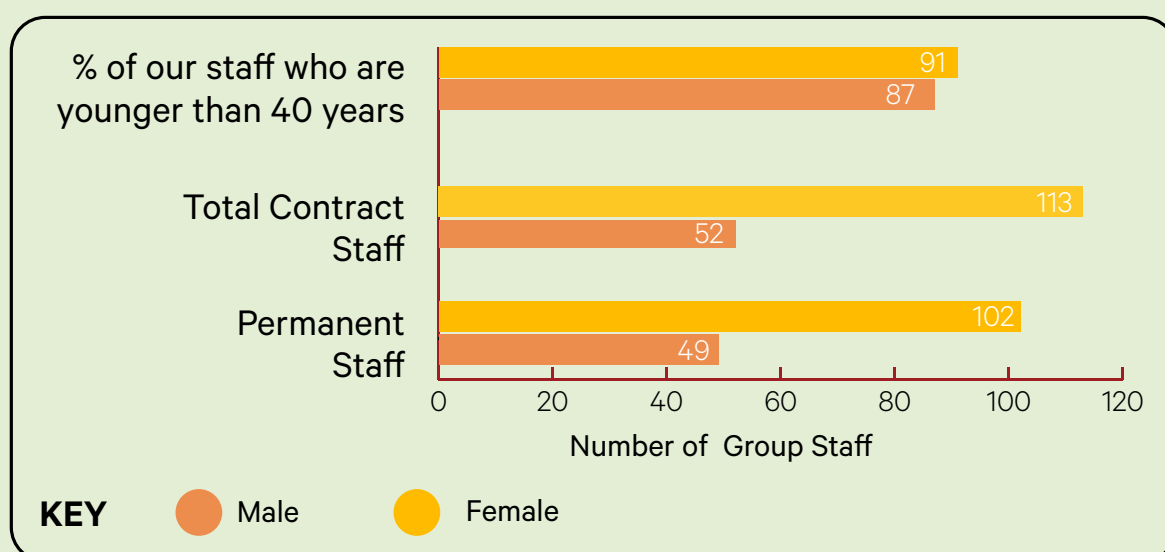
The company Policies that govern the company, ensure that ethics are well adhered to i.e.

The Board has an approved a Code of Conduct, which requires that staff uphold the utmost value to maintaining trust and abide by all relevant laws and regulations, uphold high ethical standards and act fairly and sincerely in the best interests for sustainability of the company.

Home Afrika applies employee diversity, the company strives to achieve gender and cultural diversity in our employments and takes pride as an equal opportunity employer for all qualified persons. This has created an inclusive environment where it maximizes on individual potential and excels in the overall performance of Home Afrika Limited. By way of

internal staff forums, the company raises employees' understanding of strength in diversity and ascertains the spirit of patriotism and oneness to maintain all -round staff wellbeing. We are determined to make HAL a great place to work, to encourage people to bring out the best of themselves in work and in helping each other realize their full potential. We invest in out - of -office staff activities such as team -building and CSR activities in reflection of our deep commitment to staff wellbeing.

Our duty to accommodate involves taking steps to eliminate disadvantage to employees, prospective employees or clients resulting from a rule, practice or physical barrier that has or may have an adverse impact on any individual or groups. This includes the hiring process which is properly done to ensure that all employees are well trained and qualified for the various positions as well as accommodating an individual once they are hired. We closed 2019 with a staff complement of 133 employees that encompasses the breadth and depth of our diversity as illustrated below;



## CORPORATE SOCIAL RESPONSIBILITY

At Home Afrika, we understand that we have a responsibility to our society and we have made corporate social Responsibility (CSR) an integral part of our business culture. We encourage our employees to volunteer for environmental causes in the community in various ways.

We strive to make a difference in people's lives by focusing on two key areas:

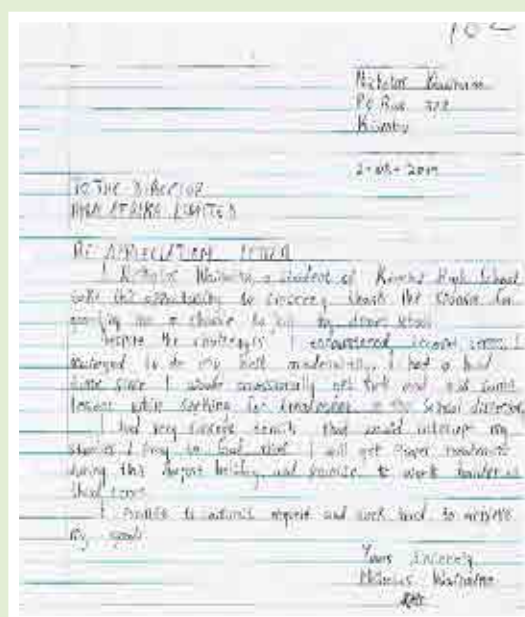
- Education
- Environment

Education is the backbone of development in a country and therefore Home Afrika has sponsored students from MorningStar Ministries.



The Students are from Goibei High School, Kiambu High School, Chania Boys and Girls High School.

Below are some of the students' appreciation letters.



## ENVIRONMENT

Migaa Green Goal!- 1 acre of trees for every acre of build!

### Tree Planting at Migaa

Trees are fundamental to the ambience of any residential estate, in essence, define its very nature. We see trees as the basis. Indigenous landscaping of wealth, character and integrity of Migaa. In addition to the 18-hole golf course and green spaces that take up a total of approximately 350 acres we continue to add on to the green by planting a selection of indigenous species, we expect to attract and feed birds throughout the year. And through this, we anticipate that the property will take on new and interesting dimensions.

Migaa's goal is to plant 20,000 trees by 2021.

### Tree Planting at Migaa



### Wangari Mathai Memorial Golf Day at Muthaiga Country Club



We have made our commitment to the environment and community engagement an integral part of our CSR strategy. Our team attended the Wangari Mathaai Memorial Golf Day which was held on the 4th and 5th of October 2019 at the Muthaiga Golf club.

## CORPORATE GOVERNANCE

### Statement on compliance Corporate Governance

At Home Afrika, the Board is ultimately responsible for the overall increase in value to our shareholders and the company's achievement of the company's strategic, corporate governance and sustainable business goals. The Board provides leadership by delegating its functions to the Committees and executive management.

#### OUR BOARD Composition

The simplest way to achieve success in business is to have the right people in the right positions, Board members are all persons of integrity, grit and expertise. In 2019, there were seven (7) directors drawn from various professional fields; Six

(6) of them are non-executive and the MD (Managing Director) is the executive director in the Board. The Chairman and the Managing Director offices are held by different persons, this ensures that there is balance of power and authority at the company. As guided by the Board Charter, the Chairman provides leadership of the Board, whereas the MD is responsible for the implementation of the Company's strategic and operational agenda and execution of the Board's resolutions and policies.

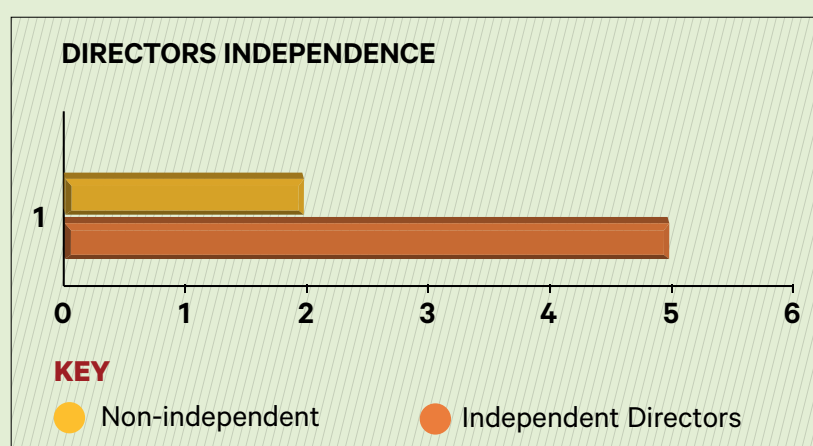
#### Appointments & Retirements

In 2019, the Chairman Linus Gitahi, Ketan Shah and Rachel Mbai retired from the Board. In their place, Peter Nduati ascended to Board Chair,

Luke Kinoti, Peter Mungai and Kendi Ogamba were selected as Directors. Their appointments were guided by the company's Board Charter and the Companies' Act 2015, in addition it took into account their professional expertise, integrity and their ability to add value to the Board.

#### Independence

The Board is made up of a majority of independent and non-executive Directors, two (2) are non-independent, whereas Five (5) are independent. Board independence is a key facet for ensuring clarity and accountability of Directors' conduct and decision-making processes. Board Independence is illustrated below and details Directors' respective shareholdings appear thereafter:



#### Directors' Respective Shareholdings

| No. | Director             | Number of shares held | Independent /Non- Independent |
|-----|----------------------|-----------------------|-------------------------------|
| 1.  | Peter Nduati         | None                  | Independent                   |
| 2.  | Caroline Jebet Kigen | None                  | Independent                   |
| 3.  | Kendi Ogamba         | None                  | Independent                   |
| 4.  | Peter Mungai         | None                  | Independent                   |
| 5.  | Mbugua Gecaga        | None                  | Independent                   |
| 6.  | Luke Kinoti          | 110,000               | Non - independent             |
| 7.  | Dan Ochieng Awendo   | 542,000               | Non - Independent             |

## CORPORATE GOVERNANCE (CONTINUED)

### Skills, Experience & Diversity

All the Directors possess over 15 years of experience each and cumulatively bring over 150 years of knowledge and professional skills.

This is of particular importance to the company because the strategy and business direction rely on the Directors' utilization of their

respective industry knowledge. The Directors are drawn from various fields of expertise as illustrated below:



**ECONOMICS**



**AUDIT,  
TAXATION**



**BUSINESS  
MANAGEMENT**



**PROJECT  
MANAGEMENT  
& FINANCING**



**LAW**



**ENTREPRENEURSHIP**



**FINANCE  
MANAGEMENT**



**ACCOUNTING**

In addition to skills and experience, diversity plays an important role in determining the suitability of a candidate for Directorship. In 2019, one (1) female director and two (2) male directors retired. They were replaced by Kendi Ogamba, Luke Kinoti and Peter Mungai. This ensured there was gender diversity in the Board as illustrated below:



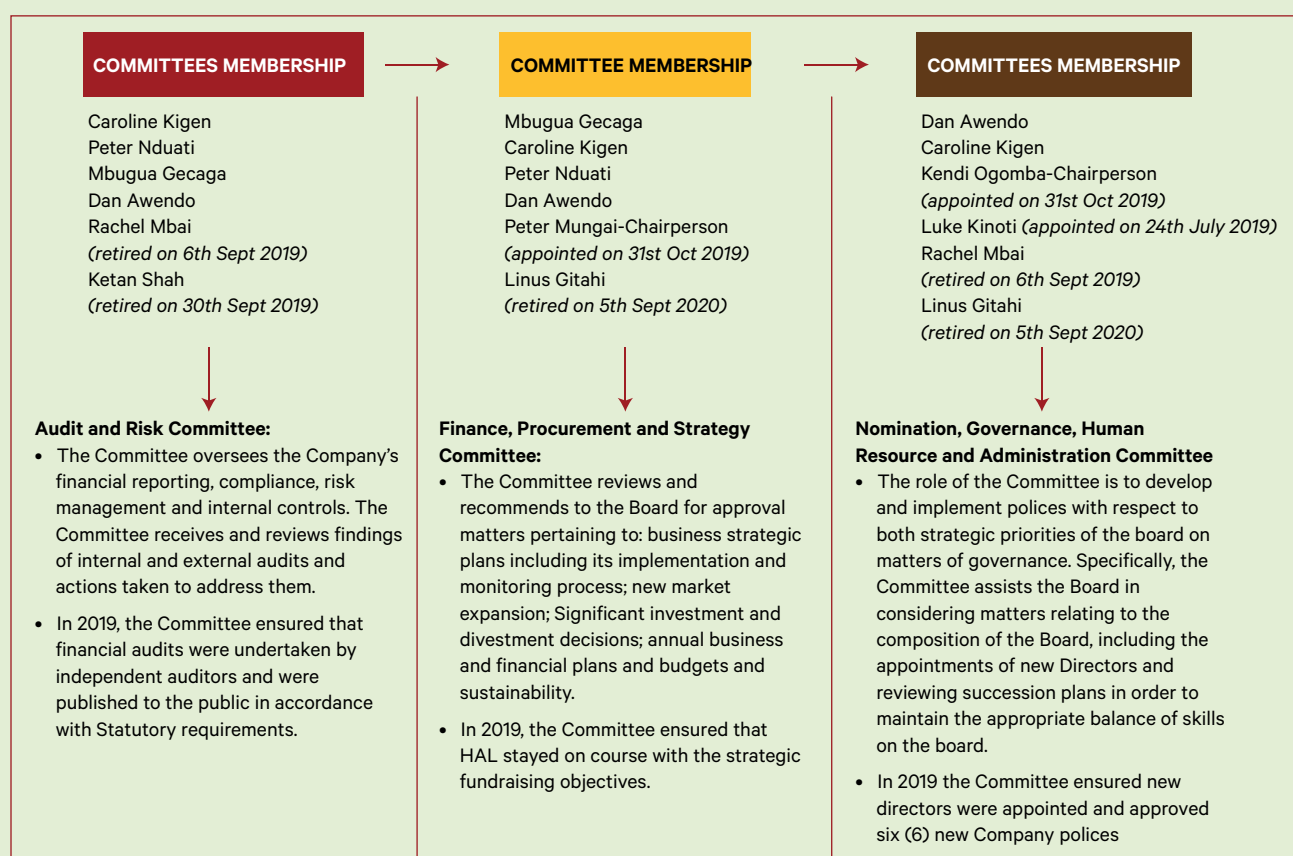
## CORPORATE GOVERNANCE (CONTINUED)

### BOARD COMMITTEES

The Board retains effective control over the Company's operations and has established three (3) committees to assist in providing detailed attention to specific areas.

The Board and committees are supplied with relevant, accurate and timely information to enable them to discharge their responsibilities. In addition, their mandates ensure unrestricted access to company

information and the ability to obtain expert advice, at the Company's expense, whenever necessary. Board Committees' mandates and achievements in 2019 and meeting attendance are illustrated below:



### Remuneration

The Board is committed to ensuring that remuneration is fair and responsible in the context of overall employees, disclosure is in the remuneration report.

### The Company Secretary

The Board is ably supported by a suitably qualified company secretary who is a member of the Institute of Certified Public Secretaries of Kenya in good standing. The Company Secretary plays an important role in supporting the Board by ensuring adherence to Board policies and procedures. Each Director has direct access to the Company Secretary. The Company Secretary also facilitates effective communication between the Company and the shareholders.

## CORPORATE GOVERNANCE (CONTINUED)

### COMPLIANCE

The Board through the Nominations Governance & HR Committee ensured that the company complied with all statutory requirements. In compliance with the Capital Markets Authority Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015, the company submitted the Self-Assessment Corporate Governance tracker which illustrated remarkable improvement. In addition, the company undertook governance audit that was facilitated by an ICS registered governance Auditor. The Board remains steadfast in its commitment to good corporate governance through compliance and continuous self-regulation. Company is always guided by policies that promote ethical and sustainable business standards, as detailed below.

#### Board Charter

All Board activities are guided by the Board Charter that outlines the role of the Board of Directors in the business structure and operations of the Company. It further provides that the Board shall conduct itself by using the highest standards of ethics and at all times proceed in accordance with the applicable laws, for the best interests of the Company's Shareholders and stakeholders.

#### Conflict of Interest

Conflict of interest refers to any

situation that has the potential to undermine the impartiality of a person because of the possibility of a clash between the person's self-interest and professional interest or public interest. In this context, all Directors, senior management and all employees must avoid any situation which might give rise to a conflict, real or perceived, between their personal interest and that of the Company. Any Director, senior management and employees with a material personal interest in any matter being considered during any Board or Committee meeting will not, as the case may be, vote on the matter or be present when the matter is being discussed and considered. In addition, any conflict of interest by a director is noted in the conflict of interest register that is maintained by the company secretary. The Board Charter and the Human Resource Management Policy implements the controls and lays down guidelines for how any arising conflict of interest at employee and director level are to be dealt with. Incidences of Directors' conflict of interest are recorded in the register maintained by the Company Secretary.

#### Insider Trading

The Company has a policy on insider trading which aims at preventing the improper communication of material undisclosed information regarding the Company as well as trading in securities of the Company, by

establishing procedures to guide the Company's Directors and Employees in understanding and complying with their obligations relating to insider trading. A Director who deals in any of the Company's securities shall notify the Company Secretary in writing of all dealings and the timings, the number and the value of the securities involved. The Company Secretary shall prepare quarterly reports of all transactions undertaken by a Director dealing in the Company's securities for presentation to the Board of Directors. Staff made the requisite disclosures in 2019.

#### Whistleblowing

Home Afrika has zero tolerance for corruption, criminality or any form of wrongdoing. To deal with these, a Whistle blowing Policy is in place to set the standards for protection of would be informers as well as reinforce the culture of honesty and discipline. The policy applies to all internal and external stakeholders and established the Board as the body responsible for enforcement. To ensure the Chairman is the designated Ombudsperson to be contacted on email [ombudsperson@homeafrika.com](mailto:ombudsperson@homeafrika.com). The whistleblowing Policy is available online at [www.homeafrika.com](http://www.homeafrika.com).

## CORPORATE GOVERNANCE (CONTINUED)

### HOME AFRIKA LIMITED OWNERSHIP STRUCTURE AS AT 31 -12-2019 SHAREHOLDER CATEGORY

| RANK | FOREIGN INVESTOR                                       | SHARES HELD       | % HELD      |
|------|--------------------------------------------------------|-------------------|-------------|
| 1    | MR ZEYUN YANG                                          | 13,245,600        | 3.27        |
| 2    | RASHID SSENYONGA                                       | 5,000,000         | 1.23        |
| 3    | MR IKEOTUONYE ALBAN IKE                                | 500,000           | 0.12        |
| 4    | KANAIYALAL MANSUKHLAL SHAH & LALITABEN KANAIYALAL SHAH | 311,500           | 0.08        |
| 5    | CYRILLE TRAKIZA MUTSINZI                               | 295,900           | 0.07        |
| 6    | HAROON SERULI                                          | 161,200           | 0.04        |
| 7    | VENICHAND WAGHJI GOSRANI                               | 100,000           | 0.02        |
|      | <b>TOTAL</b>                                           | <b>19,614,200</b> | <b>4.83</b> |

| RANK | LOCAL INDIVIDUALS INVESTORS                       | SHARES HELD       | % HELD      |
|------|---------------------------------------------------|-------------------|-------------|
| 1    | NYAGAH BOORE KITHINJI & LILIAN WANJIKU KITHINJI   | 10,062,600        | 2.48        |
| 2    | HIRJI KHIMJI BHIMJI SEYANI & KARSAN KHIMJI SEYANI | 10,000,000        | 2.47        |
| 3    | FRANCIS CHEGE GATHITU                             | 9,003,400         | 2.22        |
| 4    | HIRANI NARAN KHIMJI                               | 8,105,700         | 2.00        |
| 5    | PAUL WANDERI NDUNGU                               | 6,856,600         | 1.69        |
| 6    | PATRICK RICHARD DIVINE                            | 6,000,000         | 1.48        |
| 7    | LEE GITUTO KARURI & CONSOLATA NJERI GITUTO        | 5,522,000         | 1.36        |
| 8    | NARAN KHIMJI AND VIRJI KHIMJI HIRANI              | 4,579,200         | 1.13        |
| 9    | EUNICE MORAA MARANYA                              | 4,071,000         | 1.00        |
| 10   | SANJEEV JYOTI SHARMA                              | 4,000,000         | 0.99        |
|      | <b>TOTAL</b>                                      | <b>68,200,500</b> | <b>14.6</b> |

## DIRECTORS REMUNERATION REPORT

### Introduction

The members of the Board Nominations & Remunerations Committee during the year were, Rachel Mbai (Committee Chairperson), Linus Wangombe Gitahi, Caroline Kigen and Dan Awendo (Managing Director). All members except Dan Awendo are Non-Executive Directors.

The Schedule of attendance of BNRC meetings held during the year were as follows: -

### Nominations & Remunerations Committee

|                                  | 12-Feb | 23-Apr | Total Meetings Attended |
|----------------------------------|--------|--------|-------------------------|
| Rachel Mbai - Chairpeson         | ✓      | ✓      | 2                       |
| Linus Gitahi                     | ✓      | ✓      | 2                       |
| Caroline Kigen                   | ✗      | ✗      | 0                       |
| Dan Awendo                       | ✓      | ✓      | 2                       |
| <b>KEY</b><br>✓ Present ✗ Absent |        |        |                         |

The BNRC's responsibilities have been set by the Board and are outlined in the Board Charter and the Committees terms of reference. The BNRC takes into account the need to recruit and retain valuable Directors in a challenging market environment.

The BNRC believes that the Company complies with the main provisions of the Code of Corporate Governance for public listed companies. This is the inaugural report under the new Companies Act 2015 and the regulations. Accordingly, the Company is presenting the existing remuneration policy with this report. In subsequent reports, the Company will be required to seek a vote on the Remuneration policy where the policy is changed (or an advisory vote on the implementation is not passed).

The Directors' remuneration report is unaudited except where otherwise stated.

### Regulatory Changes

The Regulatory landscape in Kenya has witnessed a number of changes that have had an impact on the remuneration of Directors and the associated reporting.

In March 2016, the Capital Markets Authority ("CMA") issued the Capital Markets Code for Issuers of Securities ("The Code") which became operational after a year. The Code has outlined various compliance requirements in relation to Directors' Remuneration.

The new Companies Act 2015 was enacted in September 2015 and became operational in June 2016. According to the new Act, the Company is now required to table a Directors' Remuneration Report to its shareholders as part of its audited financial statements.

The Board has adopted a Board Charter and aligned it with the provisions of the Code and the new Companies Act. The Board Charter outlines a guideline on the Directors' Remuneration and Expense Policy.

### Remuneration for Non-Executive Directors

The Company's Non-Executive Directors' (NEDs) were issued with Directors' Service Contracts in compliance with the requirements of the new Act. These are contracts for service and not contracts for employment. The NEDs are

compensated in the form of meeting attendance fees but are not entitled to any pension, bonus or long-term incentive plans

Remuneration for Managing Directors

In order to remain an attractive employer, the Group ("Home Afrika") annually reviews its competitiveness against prevailing market practices.

The Company adjusted Salaries for inflation by 7% for the year 2019. This is In line with the contract for employment and the internal performance structure for the Managing director.

The Managing Director's terms of employment were within the Companies HR policies.

### Link to Strategy

The 2019 to 2021 Strategic plan which intends to transform the group and to achieve an integrated approach to reward, linking Company strategy in the form of the achievement of corporate objectives and individual performance to salary increases and bonus awards.

## DIRECTORS REMUNERATION REPORT (CONTINUED)

### Link to Strategy (continued)

The major objective of the Group remuneration policy is to ensure that there is a clear link between each employee's individual level of performance and their reward. These, along with other factors such as market positioning and the overall reward budget, go into the annual salary and bonus review process for all employees including the executive team.

This ensures that a coordinated and consistent approach is taken - encouraging and supporting a high-performance culture whilst ensuring fairness and transparency across the Group.

To this end, an Integrated Performance Management Framework was rolled out with effect from January 2017.

### Pension Entitlements

Only the Managing Director is entitled to participate in the Group's Pension Plan. Participation is restricted to defined monthly contributions that are applicable to permanent employees within the Group. The company is yet to adopt this.

### Share options and long-term incentive scheme

All Directors are not entitled to any

share option arrangement or long term share incentive schemes.

### Payments to past Directors

There was no payment of Directors' fees to past directors during the year.

The following table shows single figure remuneration for the Executive Director, Chairman and Non- Executive Directors in respect of qualifying services for the year ended 31 Dec 2019 together with the comparative figures for 2018 for Home Afrika Group.

**DIRECTORS REMUNERATION REPORT (CONTINUED)****a) Home Afrika Group****YEAR ENDED 31 DECEMBER 2019**

| NO.          | NAME                                           | SALARY<br>Shs.    | MEETING<br>ATTENDANCE FEES<br>Sh. | TOTAL<br>Shs.     |
|--------------|------------------------------------------------|-------------------|-----------------------------------|-------------------|
| 1            | Linus Gitahi -Chairperson Up to September 2019 | -                 | 200,000                           | 200,000           |
| 2            | Ketan Shah                                     | -                 | 325,000                           | 325,000           |
| 3            | Mbugua Gecaga                                  | -                 | 400,000                           | 400,000           |
| 4            | Rachel Mbai                                    | -                 | 225,000                           | 225,000           |
| 5            | Caroline Kigen                                 | -                 | 150,000                           | 150,000           |
| 6            | Peter Nduati – Chairperson from October 2019   | -                 | 450,000                           | 450,000           |
| 7            | Luke Kinoti                                    | -                 | 150,000                           | 150,000           |
| 8            | Kendi Ogamba                                   | -                 | 50,000                            | 50,000            |
| 9            | Peter Mungai                                   | -                 | 50,000                            | 50,000            |
| 7            | Dan Awendo                                     | 19,635,216        | -                                 | 19,635,216        |
| <b>TOTAL</b> |                                                | <b>19,635,216</b> | <b>2,000,000</b>                  | <b>21,635,216</b> |

**YEAR ENDED 31 DECEMBER 2018**

| NO.          | NAME                      | SALARY<br>Shs.    | MEETING<br>ATTENDANCE FEES<br>Sh. | TOTAL<br>Shs.     |
|--------------|---------------------------|-------------------|-----------------------------------|-------------------|
| 1            | Linus Gitahi -Chairperson | -                 | 500,000                           | 500,000           |
| 2            | Ketan Shah                | -                 | 300,000                           | 300,000           |
| 3            | Mbugua Gecaga             | -                 | 350,000                           | 350,000           |
| 4            | Rachel Mbai               | -                 | 500,000                           | 500,000           |
| 5            | Caroline Kigen            | -                 | 450,000                           | 450,000           |
| 6            | Peter Nduati              | -                 | 450,000                           | 450,000           |
| 7            | Dan Awendo                | 18,444,800        | -                                 | 18,444,800        |
| <b>TOTAL</b> |                           | <b>18,444,800</b> | <b>2,550,000</b>                  | <b>20,998,800</b> |

## DIRECTORS REMUNERATION REPORT (CONTINUED)

### b) Mitini Scapes Development Limited

#### YEAR ENDED 31 DECEMBER 2019

| NO.          | NAME                         | SALARY<br>Shs | MEETING<br>ATTENDANCE FEES<br>Shs. | TOTAL<br>Shs   |
|--------------|------------------------------|---------------|------------------------------------|----------------|
| 1            | Boniface Kamau - Chairperson | -             | 225,000                            | 225,000        |
| 2            | Susan Kasinga                | -             | -                                  | -              |
| 3            | Geoffrey Kamau               | -             | 150,000                            | 150,000        |
| 4            | Jack Waihenya                | -             | 150,000                            | 150,000        |
| 5            | Barth Ragalo                 | -             | -                                  | -              |
| 6            | Connie Gakonyo               | -             | -                                  | -              |
| 7            | Mbugua Gecaga                | -             | 150,000                            | 150,000        |
| 8            | Winnie Ngumi                 | -             | 50,000                             | 50,000         |
| <b>TOTAL</b> |                              | <b>-</b>      | <b>725,000</b>                     | <b>725,000</b> |

#### YEAR ENDED 31 DECEMBER 2018

| NO.          | NAME                         | SALARY<br>Shs | MEETING<br>ATTENDANCE FEES<br>Shs. | TOTAL<br>Shs   |
|--------------|------------------------------|---------------|------------------------------------|----------------|
| 1            | Boniface Kamau - Chairperson | -             | 225,000                            | 225,000        |
| 2            | Susan Kasinga                | -             | -                                  | -              |
| 3            | Geoffrey Kamau               | -             | 100,000                            | 100,000        |
| 4            | Jack Waihenya                | -             | 150,000                            | 150,000        |
| 5            | Barth Ragalo                 | -             | 50,000                             | 50,000         |
| 6            | Connie Gakonyo               | -             | -                                  | -              |
| 7            | Mbugua Gecaga                | -             | 150,000                            | 150,000        |
| 8            | Winnie Ngumi                 | -             | 100,000                            | 100,000        |
| <b>TOTAL</b> |                              | <b>-</b>      | <b>775,000</b>                     | <b>775,000</b> |

## DIRECTORS REMUNERATION REPORT (CONTINUED)

### c) Home Afrika Communities Limited

#### YEAR ENDED 31 DECEMBER 2019

| NO.          | NAME                           | SALARY<br>Shs | MEETING<br>ATTENDANCE FEES<br>Shs. | TOTAL<br>Shs     |
|--------------|--------------------------------|---------------|------------------------------------|------------------|
| 1            | Mike Robert Karanja - Chairman | -             | 1,200,000                          | 1,200,000        |
| 2            | Robert Muchoki                 | -             | 900,000                            | 900,000          |
| 3            | Stephen Gichohi                | -             | 900,00                             | 900,000          |
| 4            | Linus Gitahi                   | -             | 900,000                            | 900,000          |
| 5            | Anne Muchoki                   | -             | 900,000                            | 900,000          |
| 6            | Michael Matimu                 | -             | 900,000                            | 900,000          |
| <b>TOTAL</b> |                                | <b>-</b>      | <b>5,700,000</b>                   | <b>5,700,000</b> |

#### YEAR ENDED 31 DECEMBER 2018

| NO.          | NAME                           | SALARY<br>Shs | MEETING<br>ATTENDANCE FEES<br>Shs. | TOTAL<br>Shs     |
|--------------|--------------------------------|---------------|------------------------------------|------------------|
| 1            | Mike Robert Karanja - Chairman | -             | 1,200,000                          | 1,200,000        |
| 2            | Robert Muchoki                 | -             | 900,000                            | 900,000          |
| 3            | Stephen Gichohi                | -             | 900,00                             | 900,000          |
| 4            | Linus Gitahi                   | -             | 900,000                            | 900,000          |
| 5            | Anne Muchoki                   | -             | 900,000                            | 900,000          |
| 6            | Michael Matimu                 | -             | 900,000                            | 900,000          |
| <b>TOTAL</b> |                                | <b>-</b>      | <b>5,700,000</b>                   | <b>5,700,000</b> |

## DIRECTORS REMUNERATION REPORT (CONTINUED)

### d) Suburban Limited

#### YEAR ENDED 31 DECEMBER 2019

| NO.          | NAME                           | SALARY<br>Shs | MEETING<br>ATTENDANCE FEES<br>Shs. | TOTAL<br>Shs   |
|--------------|--------------------------------|---------------|------------------------------------|----------------|
| 1            | Dr. Mbira Gikonyo- Chairperson | -             | 780,714                            | 780,714        |
| 2            | Dan Awendo                     | -             | 225,714                            | 225,714        |
| 3            | Geoffrey Luseno                | -             | 780,714                            | 780,714        |
| <b>TOTAL</b> |                                | <b>-</b>      | <b>725,000</b>                     | <b>725,000</b> |

#### YEAR ENDED 31 DECEMBER 2018

| NO.          | NAME                           | SALARY<br>Shs | MEETING<br>ATTENDANCE FEES<br>Shs. | TOTAL<br>Shs     |
|--------------|--------------------------------|---------------|------------------------------------|------------------|
| 1            | Dr. Mbira Gikonyo- Chairperson | -             | 571,428                            | 571,428          |
| 2            | Dan Awendo                     | -             | 571,428                            | 571,428          |
| 3            | Geoffrey Luseno                | -             | 571,428                            | 571,428          |
| <b>TOTAL</b> |                                | <b>-</b>      | <b>1,714,284</b>                   | <b>1,714,284</b> |

This section of the Remuneration Report describes the current policy for Directors' remuneration. It can be summarized as follows:-

### a) Managing Director

#### Base Salary:

##### *Purpose/Link to Corporate:*

Part of a basic competitive package to retain individuals of the necessary caliber to execute the Company's business strategy

##### *Operation:*

The Managing Director is entitled to a Salary & Director's fees on the main board meetings. No separate Directors' fees are paid. The salary is reviewed annually in line with the Company's Human Resources plan.

##### *Opportunity:*

Salary reviews are based on market comparisons and increases to other

Group staff. Increases in Managing Director salary is aligned to the average staff increase in the Group.

#### Pension:

##### *Purpose / Link to Corporate:*

To provide Directors with a long-term savings opportunity; the pension forms part of a basic competitive package to recruit and retain.

##### *Strategy Operation:*

A Defined Contribution plan for all Managing Directors.

##### *Opportunity:*

Company contribution as percentage of basic salary up to 7.5%, MD upto 7.5%.

#### Benefits

##### *Purpose / Link to Corporate:*

Insured benefits are included to provide employee protection for the benefit of the employee and Company

##### *Strategy Operation:*

Insured benefits provided as part of Group schemes.

##### *Opportunity:*

Group Medical Insurance Group Life Assurance Critical illness cover

Club membership for business and personal use.

## DIRECTORS REMUNERATION REPORT (CONTINUED)

### Annual Bonus Plan

#### *Purpose / Link to Corporate:*

The bonus payment is implemented in accordance with an approved Compensation Policy

#### *Strategy:*

The objective is to incentivize and focus attention on Company KPIs; to reward the achievement of financial, operational and individual targets and provide a competitive performance-related annual earnings opportunity.

#### *Operation:*

Profitability Target making up 50% of the bonus. The bonus will be calculated as 5% of net profit after tax for profits up to the amount of profit that was targeted and approved at the beginning of the year. For any profits over and above the profits that were targeted and approved at the beginning of the year, 25% of net profit after tax will be payable into the management bonus pool;

Share Value Target making up the balance 50% of the bonus will be at 2% of the differential between company market capitalization between financial year periods. Base price is value per share as at Jan 1st 2018; and

The above bonus pools will subsequently be shared amongst management and staff subject to performance criteria established by management year on year. Performance criteria will be based on: -

Meeting of KPIs; and Longevity of stay in the company participating in attaining the results s.

#### *Opportunity:*

The Managing Director's terms of employment were within the Companies HR policies.

#### *Performance Metrics:*

Company element based on challenging corporate, operational and financial KPIs. Measures, targets and weightings are set in respect of each financial year.

Personal elements based on performance measures set each financial year relevant to the individual's role and accountabilities. Details of the corporate performance measures applicable in the current financial year are contained in the Group Variable Pay pay-out policy. All bonus payments are at the discretion of the Board.

#### *Executive Share Option Plans*

The Company has not introduced Executive Share Option Plans. No plan has been recommended for the next financial year.

### **b) Non-Executive Directors Meeting attendance fees**

#### *Purpose / Link to Corporate:*

Competitive fee to recruit and retain.

#### *Strategy Operation:*

The NED fee is a meeting attendance fee that is paid quarterly in arrears.

#### *Opportunity:*

Fees are determined in accordance with market practice. The Remuneration Committee recommends the fees payable to the Chairman and other NEDs.

## DIRECTORS REMUNERATION REPORT (CONTINUED)

- Meeting attendance fees applies to attendance at Board meetings, Annual General Meeting, Board Committee meetings, Strategic Planning Workshop and Board Training Workshops;
- The fee structure will pay the Board Chair and the Board Committee Chairs a higher meeting attendance fee than that paid to other Directors in attendance.
- Directors attending out-of-country Board meetings will be entitled to receive an additional allowance.
- No additional fees/allowances will be paid over and above the retainer and meeting attendance fees

### *Performance Metrics:*

None

### **Performance Share plan**

The Company has not introduced any Executive and Non-Executive Performance Share plans.

### **Other Key Policies influencing Directors' Remuneration**

#### *a) Recruitment policy*

The Company's philosophy is that all Managing Directors should be remunerated at an appropriate level based on Home Afrika's remuneration policy and taking into account the experience and caliber of the individual. Managing directors are entitled to a salary and Main board meeting attendance fees and not the meeting attendance fees on other committees

A new non- Managing Director will be entitled to the applicable meeting attendance fees as per the existing compensation schedule on sitting allowance.

#### *b) Policy on payment for loss of office*

The Managing Director's employment contract provides for a maximum of 12 months' notice.

On termination of a Managing Director's service contract, the Company's policy is to pay the salary and benefits to which the executive is contractually entitled. There is no contractual entitlement to receive any bonus but depending on the circumstances, the Company may decide to make a bonus payment in respect of the period up to the termination date. It is not the Company's policy to make payments in respect of bonus if the Company is entitled to dismiss a Director for cause.

The letters of appointment for Non-Executive Directors do not provide for any notice period. However, the appointment ceases immediately upon termination by resignation, a resolution of the Board or shareholders and no further remuneration accrues to the Director thereafter.

#### *c) Obligations in Service contracts*

There are no obligations to individuals in Directors' Service contracts or Letter of Employment which give rise to entitlement beyond that described in the policy table and the policy on payment for loss of office.

#### *d) Discretions retained by the Remuneration Committee*

The Company does not operate any long-term incentive plan such as Share Option Plan, Share Performance plan, etc. Accordingly, there no areas of discretion to disclose.

The BNRC and the Board feel confident that the remuneration policy continues to be appropriate for the Company and will support the implementation of the Group's short term and long-term objectives.

The regulations relating to the Directors' Remuneration Report were gazetted on 15 September 2017. The BNRC plans to develop a Remuneration policy that addresses the requirements set out in the regulations.

**ANNUAL REPORT AND CONSOLIDATED  
FINANCIAL STATEMENTS FOR THE YEAR  
ENDED 31 DECEMBER 2019**



**HOME AFRIKA LIMITED**  
**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS**  
**FOR THE YEAR ENDED 31 DECEMBER 2019**

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## COMPANY INFORMATION

### BOARD OF DIRECTORS

:Peter Nduati  
 :Dan Ochieng Awendo  
 :Mbugua Gecaga  
 :Caroline Jebet Kigen  
 :Luke Mwiti Kinoti (Appointed 24 July 2019)  
 :Peter Mungai Ndung'u (Appointed 31 October 2019)  
 :Kendi Ogamba (Appointed 31 October 2019)  
 :Linus Gitahi (Resigned 05 September 2019)  
 :Ketan Shah (Resigned 30 September 2019)  
 :Rachel Mbai (Resigned 07 October 2019)

### REGISTRAR OFFICE

Cooperative Bank Registrars Services  
 CIC Plaza, Upper Hill, Wing 2, 1st Floor  
 P.O. Box 48231, 00100  
 NAIROBI

### PRINCIPAL PLACE OF BUSINESS

Morningside Office Park  
 Ngong Road  
 P.O. Box 6254, 00100  
 NAIROBI

### INDEPENDENT AUDITOR

PKF Kenya LLP  
 Certified Public Accountants  
 P.O. Box 14077, 00800  
 NAIROBI

### PRINCIPAL BANKERS

Kenya Commercial Bank Limited  
 NAIROBI  
 I&M Bank Limited  
 NAIROBI  
 Cooperative Bank (Kenya) Limited  
 NAIROBI  
 Eco Bank Kenya Limited  
 NAIROBI  
 Equity Bank Kenya Limited  
 NAIROBI

### LEGAL ADVISORS

Muriu Mungai & Company Advocates  
 NAIROBI  
 Wainaina Ireri & Co. Advocates  
 NAIROBI  
 Robson Harris & Company Advocates  
 NAIROBI

**HOME AFRIKA LIMITED**  
**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS**  
**FOR THE YEAR ENDED 31 DECEMBER 2019**

## REPORT OF THE DIRECTORS

The directors submit their report and the audited financial statements for the year ended 31 December 2019, which disclose the state of affairs of the group and the company.

### PRINCIPAL ACTIVITY

The principal activity of the group is that of real estate development in housing and commercial properties.

### BUSINESS REVIEW

During the year 2019 the total turnover of the group increased from Shs. 109,038,521 to Shs. 362,979,327. This is attributed to more plots sales made in the current year compared to prior year and increase in percentage of completion. The loss for the year increased from Shs. 346,205,088 to Shs. 888,808,078.

As at 31 December 2019, the net liability position of the group was Shs. 1,941,178,255 compared to Shs. 1,052,370,177 as at 31 December 2018.

| Key performance indicators     | Group                  |                        | Company                |                      |
|--------------------------------|------------------------|------------------------|------------------------|----------------------|
|                                | 2019<br>Shs            | 2018<br>Shs            | 2019<br>Shs            | 2018<br>Shs          |
| Turnover (Shs)                 | 362,979,327            | 109,038,521            | 9,670,000              | 15,181,000           |
| Gross profit (Shs)             | 3,632,299              | 26,757,483             | 7,206,305              | 6,122,272            |
| Gross profit margin (%)        | 1%                     | 25%                    | 75%                    | 40%                  |
| EBITDA                         | (624,533,103)          | (231,227,263)          | (128,568,991)          | (115,231,405)        |
| (Loss) for the year (Shs)      | (888,808,078)          | (346,205,088)          | (188,588,603)          | (130,115,287)        |
| <b>Net (liabilities) (Shs)</b> | <b>(1,941,178,255)</b> | <b>(1,052,370,177)</b> | <b>(1,079,778,169)</b> | <b>(891,189,566)</b> |

### PRINCIPAL RISKS AND UNCERTAINTIES

The overall business environment continues to remain challenging and this has a resultant effect on overall demand of the company's products and services. The company's strategic focus is to enhance sales growth whilst maintaining profit margins, the success of which remains dependent on overall market conditions.

Other factors such as the impact of the recent coronavirus outbreak pose a challenge to the business. Whilst at this stage it is too early to predict the full potential impact of this outbreak on the company's operations, the directors continue to monitor this situation closely with a view to assessing and mitigating its impact on the company.

In addition to the business risk(s) discussed above, the company's activities expose it to a number of financial risks which are described in detail in Note 29 to the financial statements.

### DIVIDEND

The directors do not recommend the declaration of a dividend for the year (2019: Nil).

### DIRECTORS

The directors who held office during the year and to the date of this report are shown on page 1.

In accordance with the company's Articles of Association, no director is due for retirement by rotation.

**HOME AFRIKA LIMITED**  
**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS**  
**FOR THE YEAR ENDED 31 DECEMBER 2019**

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## **REPORT OF THE DIRECTORS (CONTINUED)**

### **STATEMENT AS TO DISCLOSURE TO THE COMPANY'S AUDITOR**

With respect to each director at the time this report was approved:

- (a.) there is, so far as the person is aware, no relevant audit information of which the company's auditor is unaware; and
- (b.) the person has taken all the steps that the person ought to have taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of that information.

### **TERMS OF APPOINTMENT OF THE AUDITOR**

PKF Kenya, a partnership, was on 10 March 2020 converted to PKF Kenya LLP, a Limited Liability Partnership under the Limited Liability Partnership Act, 2011. The company's auditor, PKF Kenya LLP, has indicated willingness to continue in office in accordance with the company's Articles of Association and Section 719 of the Kenyan Companies Act, 2015. The directors monitor the effectiveness, objectivity and independence of the auditor. The directors also approve the annual audit engagement contract which sets out the terms of the auditor's appointment and the related fees.

### **BY ORDER OF THE BOARD**



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**DIRECTOR**

**30th May 2020**

**HOME AFRIKA LIMITED**  
**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS**  
**FOR THE YEAR ENDED 31 DECEMBER 2019**

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## STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act, 2015 requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and of the company as at the end of the financial year and of the group's and company's profit or loss for that year. It also requires the directors to ensure that the company keeps proper accounting records that are sufficient to show and explain the transactions of the group and the company; that disclose, with reasonable accuracy, the financial position of the group and company and group and that enable them to prepare financial statements of the group and the company that comply with International Financial Reporting Standards and the requirements of the Kenya Companies Act, 2015. The directors are also responsible for safeguarding the assets of the company and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

- (i.) Designing, implementing and maintaining such internal control as they determine necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error;
- (ii.) Selecting and applying appropriate accounting policies; and
- (iii.) Making accounting estimates and judgements that are reasonable in the circumstances.

The Directors are of the opinion that the financial statements give a true and fair view of the financial position of the group and of the company as at 31 December 2019 and of the group's and company's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015.

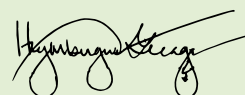
In preparing these financial statements the directors have assessed the group's and company's ability to continue as a going concern as set out in Note 1(a) to the financial statements. The directors are of the opinion that the group and its subsidiaries will remain a going concern for at least the next twelve months from the date of this statement based on the factors described in Note 1(a).

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the board of directors on **30th May 2020** signed on its behalf by :



**DIRECTOR**



**DIRECTOR**

**HOME AFRIKA LIMITED**  
**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS**  
**FOR THE YEAR ENDED 31 DECEMBER 2019**

**REPORT OF THE INDEPENDENT AUDITOR**  
**TO THE MEMBERS OF HOME AFRIKA LIMITED**



**Disclaimer of Opinion**

We were engaged to audit the financial statements of Home Afrika Limited (the “company”) and its subsidiaries (collectively referred to as the “consolidated financial statements” and “group”) set out pages **105** to **146**, which comprise the consolidated and company statements of financial position as December 2019, and the consolidated and company statement of profit or loss and other comprehensive income, consolidated and company statement of changes in equity and consolidated and company statement of cash flows for the year then ended, and notes to the consolidated and company financial statements, including a summary of significant accounting policies.

We do not express an opinion on the accompanying consolidated financial statements of the group. Because of the significance of the matters described in the Basis for Disclaimer of Opinion section report, we have not been able to obtain sufficient appropriate audit evidence to provide a basis for audit opinion on these consolidated financial statements.

**Basis for disclaimer of Opinion**

The following matters form the basis for our disclaimer of opinion:

- (i.) The financial statements indicate that the group incurred a net loss of Shs. 888,808,078 for the ended 31 December 2019, and as of that date, the group had net current liabilities of Shs. 2,333,637,768 and a deficiency in shareholders funds of Shs. 1,941,178,255. These conditions indicate that a material uncertainty exists which may cast significant doubt on the group’s ability to continue as a going concern. The directors have prepared these financial statements on a going concern basis as described in Note 1. We have not obtained sufficient appropriate audit evidence in respect of the basis and assumptions used by the directors to prepare the financial statements on a going concern basis as the discussions and negotiations with existing lenders and prospective investors as well as transactions related to sale of inventories have not been concluded as of the date of our audit opinion. As a result we were unable to determine whether the use of the going concern assumption is appropriate and, if applicable, to determine whether any adjustments might have been necessary to the amounts reported in the financial statements should the going concern not be appropriate.
- (ii.) Included within trade and other receivables are amounts receivable from related parties amounting to Shs. 343,520,531 which arose on the sale of certain inventory to the related party (recognised a revenue of Shs. 177,050,481 and deferred income of Shs. 166,470,049). We have not obtained sufficient appropriate audit evidence in respect of the measurement and recoverability of these transactions and balances.

**Key Audit Matters**

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements. Because of the significance of the matters described in the basis for disclaimer of opinion section, and our consequential disclaimer of opinion, we have not reported on these.

**HOME AFRIKA LIMITED**  
**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS**  
**FOR THE YEAR ENDED 31 DECEMBER 2019**

**REPORT OF THE INDEPENDENT AUDITOR**  
**TO THE MEMBERS OF HOME AFRIKA LIMITED (CONTINUED)**



**Responsibilities of Directors for the Financial Statements**

The directors are responsible for the preparation of the consolidated and company financial statements that give a true and fair view in accordance with IFRSs and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and company financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and company financial statements, the directors are responsible for assessing the Group's and the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

**Auditor's Responsibilities for the Audit of the Consolidated and Company Financial Statements**

Our responsibility is to conduct an audit of the Company's financial statements in accordance with International Standards on Auditing and to issue an auditor's report. However, because of the matter described in the Basis for Disclaimer of Opinion section of our report, we were not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these financial statements.

We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in Kenya, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code.

**Report on other matters prescribed by the Kenyan Companies Act, 2015**

As required by the Kenyan Companies Act, 2015, we report to you that subject to the matters referred to in the basis for disclaimer of opinion section of our report on page **102**:

- the company and group has kept adequate accounting records and the company's and group's financial statements are in agreement with the accounting records;
- in our opinion the information given in the report of the directors on pages 3 to 4 is consistent with the financial statements; and
- that the auditable part of the directors remuneration report on pages 5 to 13 has been properly prepared in accordance with the Kenyan Companies Act, 2015.

*PKF Kenya*

Certified Public Accountants  
 Nairobi

**CPA Chaudhry Mohammed Asif, Practicing Certificate No P/2059**  
**Signing Partner Responsible for the independent audit**

**30th May 2020**

**HOME AFRIKA LIMITED**  
**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS**  
**FOR THE YEAR ENDED 31 DECEMBER 2019**

**CONSOLIDATED STATEMENT OF PROFIT OR LOSS**  
**AND OTHER COMPREHENSIVE INCOME**

|                                                |              | <b>2019</b>          | <b>2018</b>          |
|------------------------------------------------|--------------|----------------------|----------------------|
|                                                | <b>Notes</b> | <b>Shs</b>           | <b>Shs</b>           |
| Revenue from contracts with customers          | 3            | 362,979,327          | 109,038,521          |
| Cost of sales                                  |              | (359,347,028)        | (82,281,038)         |
| <b>Gross profit</b>                            |              | <b>3,632,299</b>     | <b>26,757,483</b>    |
| Other operating income                         | 4            | 18,068,523           | 7,857,784            |
| Selling and distribution expenses              |              | (30,207,196)         | (13,081,028)         |
| Administrative expenses                        |              | (201,250,081)        | (222,994,367)        |
| Other operating expenses                       |              | (31,678,727)         | (29,767,135)         |
| Impairment provision on inventories            | 15           | (390,531,081)        | -                    |
| <b>Operating (loss)</b>                        | <b>5</b>     | <b>(631,966,263)</b> | <b>(231,227,263)</b> |
| Finance costs                                  | 7            | (254,635,675)        | (160,677,492)        |
| <b>(Loss) before tax</b>                       |              | <b>(886,601,938)</b> | <b>(391,904,755)</b> |
| Tax credit                                     | 8            | (2,206,140)          | 45,699,667           |
| <b>(Loss) for the year</b>                     |              | <b>(888,808,078)</b> | <b>(346,205,088)</b> |
| <b>Total comprehensive (loss) for the year</b> |              | <b>(888,808,078)</b> | <b>(346,205,088)</b> |
| <b>(Loss) attributable to:</b>                 |              |                      |                      |
| -Owners of the parent                          |              | (625,855,602)        | (276,019,820)        |
| -Non-controlling interest                      |              | (262,952,476)        | (70,185,268)         |
|                                                |              | <u>(888,808,078)</u> | <u>(346,205,088)</u> |
| <b>(Loss) per share (Shs)</b>                  |              |                      |                      |
| - basic and diluted                            | 9            | <u>(1.54)</u>        | <u>(0.68)</u>        |

The notes on pages **112** to **146** form an integral part of these financial statements. Report of the independent auditor - pages **102** and **103**.

**HOME AFRIKA LIMITED**  
**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS**  
**FOR THE YEAR ENDED 31 DECEMBER 2019**

**COMPANY STATEMENT OF PROFIT OR LOSS**  
**AND OTHER COMPREHENSIVE INCOME**

|                                                |              | <b>2019</b>          | <b>2018</b>          |
|------------------------------------------------|--------------|----------------------|----------------------|
|                                                | <b>Notes</b> | <b>Shs</b>           | <b>Shs</b>           |
| Revenue from contracts with customers          | 3            | 9,670,000            | 15,181,000           |
| Cost of sales                                  |              | (2,463,695)          | (9,058,728)          |
| <b>Gross profit</b>                            |              | <b>7,206,305</b>     | <b>6,122,272</b>     |
| Other operating income                         | 4            | 5,194,791            | 810,000              |
| Selling and distribution                       |              | (18,685,316)         | (4,451,990)          |
| Administrative expenses                        |              | (117,350,190)        | (108,256,763)        |
| Other operating expenses                       |              | (9,838,480)          | (9,454,924)          |
| <b>Operating (loss)</b>                        |              | <b>(133,472,891)</b> | <b>(115,231,405)</b> |
| Finance costs                                  | 7            | (55,115,712)         | (14,259,243)         |
| <b>(Loss) before tax</b>                       |              | <b>(188,588,603)</b> | <b>(129,490,648)</b> |
| Tax (charge)                                   | 8            | -                    | (624,639)            |
| <b>(Loss) for the year</b>                     |              | <b>(188,588,603)</b> | <b>(130,115,287)</b> |
| <b>Total comprehensive (loss) for the year</b> |              | <b>(188,588,603)</b> | <b>(130,115,287)</b> |
| (Loss) per share                               |              |                      |                      |
| <b>- Basic</b>                                 | <b>9</b>     | <b>(0.47)</b>        | <b>(0.30)</b>        |

The notes on pages **112** to **146** form an integral part of these financial statements. Report of the independent auditor - pages **102** and **103**.

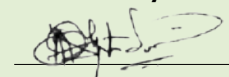
**HOME AFRIKA LIMITED**  
**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS**  
**FOR THE YEAR ENDED 31 DECEMBER 2019**

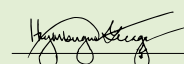
**CONSOLIDATED STATEMENT OF FINANCIAL POSITION**

As at 31st December

|                                                   |       | 2019                   | 2018                   |
|---------------------------------------------------|-------|------------------------|------------------------|
|                                                   | Notes | Shs                    | Shs                    |
| <b>Non-current assets</b>                         |       |                        |                        |
| Property and equipment                            | 10    | 51,834,069             | 53,055,372             |
| Investment property                               | 11    | 338,741,824            | 624,504,231            |
| Intangible assets                                 | 12    | 1,881,620              | 2,570,588              |
| Financial assets                                  | 14    | 2,000                  | 2,000                  |
| <b>Current assets</b>                             |       | <b>392,459,513</b>     | <b>680,132,191</b>     |
| Inventories                                       | 15    | 3,536,340,008          | 3,742,984,754          |
| Trade and other receivables                       | 16    | 408,020,235            | 70,007,183             |
| Cash and cash equivalents                         | 17    | 10,988,166             | 9,338,188              |
|                                                   |       | 3,955,348,409          | 3,822,330,125          |
| <b>Total assets</b>                               |       | <b>4,347,807,922</b>   | <b>4,502,462,316</b>   |
| <b>Current liabilities</b>                        |       |                        |                        |
| Deferred income                                   | 18    | 1,222,850,867          | 998,427,582            |
| Trade and other payables                          | 19    | 1,630,155,699          | 1,440,783,140          |
| Deposit from sale of plots and units              | 19    | 1,839,483,416          | 1,632,533,384          |
| Borrowings                                        | 20    | 921,560,824            | 803,049,894            |
| Private placement bond                            | 21    | 500,000,000            | 500,000,000            |
| Deposit for shares                                | 22    | 168,972,272            | 174,808,522            |
| Current tax                                       |       | 5,963,099              | 5,229,971              |
|                                                   |       | 6,288,986,177          | 5,554,832,493          |
| <b>Net current (liabilities)</b>                  |       | <b>(2,333,637,768)</b> | <b>(1,732,502,368)</b> |
| <b>Total liabilities</b>                          |       | <b>6,288,986,177</b>   | <b>5,554,832,493</b>   |
| <b>Net (liabilities)</b>                          |       | <b>(1,941,178,255)</b> | <b>(1,052,370,177)</b> |
| <b>EQUITY</b>                                     |       |                        |                        |
| Share capital                                     | 24    | 405,255,320            | 405,255,320            |
| Share premium                                     | 25    | 68,842,038             | 68,842,038             |
| Accumulated deficit                               |       | (1,990,613,137)        | (1,364,757,535)        |
| <b>Equity attributed to owners of the company</b> |       | <b>(1,516,515,779)</b> | <b>(890,660,177)</b>   |
| Non-controlling interest                          |       | (424,662,476)          | (161,710,000)          |
| <b>Total equity</b>                               |       | <b>(1,941,178,255)</b> | <b>(1,052,370,177)</b> |

The financial statements on pages **105** to **146** were approved and authorised for issue by the Board of Directors on **30th May 2020** and were signed on its behalf by:

 DIRECTOR

 DIRECTOR

The notes on pages **112** to **146** form an integral part of these financial statements. Report of the independent auditor - pages **102** and **103**.

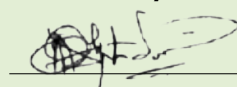
**HOME AFRIKA LIMITED**  
**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS**  
**FOR THE YEAR ENDED 31 DECEMBER 2019**

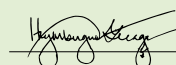
**COMPANY STATEMENT OF FINANCIAL POSITION**

As at 31st December

|                                      | Notes | 2019<br>Shs                   | 2018<br>Shs                   |
|--------------------------------------|-------|-------------------------------|-------------------------------|
| <b>Non-current assets</b>            |       |                               |                               |
| Property and equipment               | 10    | 55,319,959                    | 56,309,192                    |
| Intangible assets                    | 12    | 1,881,620                     | 2,570,588                     |
| Investment in subsidiaries           | 13    | 76,986,247                    | 76,986,247                    |
| Financial assets                     | 14    | 2,000                         | 2,000                         |
|                                      |       | <u>134,189,826</u>            | <u>135,868,027</u>            |
| <b>Current assets</b>                |       |                               |                               |
| Inventories                          | 15    | 262,457,335                   | 186,535,767                   |
| Trade and other receivables          | 16    | 33,310,445                    | 31,637,488                    |
| Cash and cash equivalents            | 17    | 8,759,337                     | 2,771,118                     |
|                                      |       | <u>304,527,117</u>            | <u>220,944,373</u>            |
| <b>Total assets</b>                  |       | <b><u>438,716,943</u></b>     | <b><u>356,812,400</u></b>     |
| <b>Current liabilities</b>           |       |                               |                               |
| Trade and other payables             | 19    | 595,150,131                   | 533,441,584                   |
| Deposit from sale of plots and units | 19    | 423,072,400                   | 214,287,801                   |
| Private placement bond               | 21    | 500,000,000                   | 500,000,000                   |
| Current tax                          |       | 272,581                       | 272,581                       |
|                                      |       | <u>1,518,495,112</u>          | <u>1,248,001,966</u>          |
| <b>Net current (liabilities)</b>     |       | <b><u>(1,213,967,995)</u></b> | <b><u>(1,027,057,593)</u></b> |
| <b>Net assets</b>                    |       | <b><u>(1,079,778,169)</u></b> | <b><u>(891,189,566)</u></b>   |
| <b>EQUITY</b>                        |       |                               |                               |
| Share capital                        | 25    | 405,255,320                   | 405,255,320                   |
| Share premium                        | 26    | 68,842,038                    | 68,842,038                    |
| Accumulated deficit                  |       | <u>(1,553,875,527)</u>        | <u>(1,365,286,924)</u>        |
| <b>Total equity</b>                  |       | <b><u>(1,079,778,169)</u></b> | <b><u>(891,189,566)</u></b>   |

The financial statements on pages **105** to **146** were approved and authorised for issue by the Board of Directors on **30th May 2020** and were signed on its behalf by:

 DIRECTOR

 DIRECTOR

The notes on pages **112** to **146** form an integral part of these financial statements. Report of the independent auditor - pages **102** and **103**.

## CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

|                                 | Share<br>capital<br>Shs | Share<br>premium<br>Shs | Retained<br>earnings<br>Shs | Total<br>Shs           | Non<br>controlling<br>interests<br>Shs | Total<br>equity<br>Shs |
|---------------------------------|-------------------------|-------------------------|-----------------------------|------------------------|----------------------------------------|------------------------|
| <b>ded 31 December 2018</b>     |                         |                         |                             |                        |                                        |                        |
| of year                         | 405,255,320             | 68,842,038              | (1,088,737,715)             | (614,640,357)          | (91,524,732)                           | (706,165,089)          |
| mprehensive (loss) for the year | -                       | -                       | (276,019,820)               | (276,019,820)          | (70,185,268)                           | (346,205,088)          |
| of year                         | <u>405,255,320</u>      | <u>68,842,038</u>       | <u>(1,364,757,535)</u>      | <u>(890,660,177)</u>   | <u>(161,710,000)</u>                   | <u>(1,052,370,177)</u> |
| <b>ded 31 December 2019</b>     |                         |                         |                             |                        |                                        |                        |
| of year                         | 405,255,320             | 68,842,038              | (1,364,757,535)             | (890,660,177)          | (161,710,000)                          | (1,052,370,177)        |
| mprehensive (loss) for the year | -                       | -                       | (625,855,602)               | (625,855,602)          | 262,952,476)                           | (888,808,078)          |
| of year                         | <u>405,255,320</u>      | <u>68,842,038</u>       | <u>(1,990,613,137)</u>      | <u>(1,516,515,779)</u> | <u>(424,662,476)</u>                   | <u>(1,941,178,255)</u> |

es on pages **112** to **146** form an integral part of these financial statements. Report of the independent auditor - pages **102** and **103**.

**HOME AFRIKA LIMITED**  
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**FOR THE YEAR ENDED 31 DECEMBER 2019**

**COMPANY STATEMENT OF CHANGES IN EQUITY**

|                                         | Share<br>capital<br>Shs | Share<br>premium<br>Shs | Retained<br>earnings<br>Shs | Total<br>Shs           |
|-----------------------------------------|-------------------------|-------------------------|-----------------------------|------------------------|
| At start of year                        | 405,255,320             | 68,842,038              | (1,235,171,637)             | (761,074,279)          |
| Total comprehensive (loss) for the year | -                       | -                       | (130,115,287)               | (130,115,287)          |
| At end of year                          | <u>405,255,320</u>      | <u>68,842,038</u>       | <u>(1,365,286,924)</u>      | <u>(891,189,566)</u>   |
| <b>Year ended 31 December 2019</b>      |                         |                         |                             |                        |
| At start of year                        | 405,255,320             | 68,842,038              | (1,365,286,924)             | (891,189,566)          |
| Total comprehensive (loss) for the year | -                       | -                       | (188,588,603)               | (188,588,603)          |
| At end of year                          | <u>405,255,320</u>      | <u>68,842,038</u>       | <u>(1,553,875,527)</u>      | <u>(1,079,778,169)</u> |

The notes on pages **112** to **146** form an integral part of these financial statements. Report of the independent auditor - pages **102** and **103**.

**HOME AFRIKA LIMITED**  
**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS**  
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## CONSOLIDATED STATEMENT OF CASH FLOWS

|                                                  | Notes     | 2019<br>Shs              | 2018<br>Shs             |
|--------------------------------------------------|-----------|--------------------------|-------------------------|
| <b>Operating activities</b>                      |           |                          |                         |
| Cash from operations                             | 26        | 316,148,465              | 71,198,168              |
| Interest paid                                    | 27        | (254,635,675)            | (11,644,764)            |
| Tax paid                                         |           | (1,473,012)              | (1,497,150)             |
| Net cash from operating activities               |           | <u>60,039,778</u>        | <u>58,056,254</u>       |
| <b>Investing activities</b>                      |           |                          |                         |
| Cash paid for purchase of property and equipment | 10        | (5,285,089)              | (2,950,114)             |
| Additions to investment property                 | 11        | (6,651,721)              | (1,323,896)             |
| Cash paid for purchase of intangible assets      | 12        | (237,800)                | (3,836,699)             |
| Proceeds from disposal of property and equipment |           | -                        | 540,000                 |
| Net cash (used in) investing activities          |           | <u>(12,174,610)</u>      | <u>(7,570,709)</u>      |
| <b>Financing activities</b>                      |           |                          |                         |
| Repayment:                                       |           |                          |                         |
| - borrowings                                     |           | (40,378,939)             | (53,007,637)            |
| - deposits for shares                            |           | (5,836,250)              | (7,780,000)             |
| Net cash (used in) financing activities          | 28        | <u>(46,215,189)</u>      | <u>(60,787,637)</u>     |
| Increase/(decrease) in cash and cash equivalents |           | <u>1,649,978</u>         | <u>(10,302,092)</u>     |
| <b>Movements in cash and cash equivalents</b>    |           |                          |                         |
| At start of year                                 |           | 9,338,188                | 19,640,279              |
| Increase/(decrease)                              |           | 1,649,978                | (10,302,092)            |
| <b>At end of year</b>                            | <b>17</b> | <b><u>10,988,166</u></b> | <b><u>9,338,188</u></b> |

The notes on pages **112** to **146** form an integral part of these financial statements. Report of the independent auditor - pages **102** and **103**.

**HOME AFRIKA LIMITED**  
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## COMPANY STATEMENT OF CASH FLOWS

|                                                  |           | 2019             | 2018             |
|--------------------------------------------------|-----------|------------------|------------------|
|                                                  | Notes     | Shs              | Shs              |
| <b>Operating activities</b>                      |           |                  |                  |
| Cash from operations                             | 26        | 64,329,630       | 12,745,689       |
| Interest paid                                    | 27        | (55,115,712)     | (14,259,243)     |
| Tax paid                                         |           | -                | (238,095)        |
| Net cash from/(used in) operating activities     |           | 9,213,918        | (1,751,649)      |
| <b>Investing activities</b>                      |           |                  |                  |
| Cash paid for purchase of property and equipment | 10        | (2,987,899)      | (2,298,979)      |
| Cash paid for purchase of intangible assets      | 12        | (237,800)        | (3,836,699)      |
| Proceeds from disposal of property and equipment |           | -                | 540,000          |
| Net cash (used in) investing activities          |           | (3,225,699)      | (5,595,678)      |
| Increase/(decrease) in cash and cash equivalents |           | 5,988,219        | (7,347,327)      |
| <b>Movements in cash and cash equivalents</b>    |           |                  |                  |
| At start of year                                 |           | 2,771,118        | 10,118,445       |
| Increase/(decrease)                              |           | 5,988,219        | (7,347,327)      |
| <b>At end of year</b>                            | <b>17</b> | <b>8,759,337</b> | <b>2,771,118</b> |

The notes on pages **112** to **146** form an integral part of these financial statements. Report of the independent auditor - pages **102** and **103**.

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## NOTES

### 1. Significant Accounting Policies (continued)

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

These financial statements comply with the requirements of the Kenyan Companies Act, 2015. The statement of profit or loss and statement of comprehensive income represent the profit and loss account referred to in the Act.

The statement of financial position represents the balance sheet referred to in the Act.

#### a. Basis of preparation

The consolidated financial statements have been prepared under the historical cost convention, except as indicated otherwise below and are in accordance with International Financial Reporting Standards (IFRS). The historical cost convention is generally based on the fair value of the consideration given in exchange of assets. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or liability, the group takes into account the characteristics of the asset or liability if market participants would take those characteristics into when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these consolidated financial statements is determined on such a basis, except for measurements that have some similarities to fair value but are not fair value, such as net realisable value in IAS 2 or value in use in IAS 36.

In addition, for financial reporting purposes, fair value measurements are categorised into level 1, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which are described as follows:

- Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 inputs are inputs, other than quoted prices included within Level 1, that are observable for the asset or liability, either directly or indirectly; and
- Level 3 inputs are unobservable inputs for the asset or liability.

Transfer between levels of the fair value hierarchy are recognised by the directors at the end of the reporting period during which the change occurred.

#### *Going concern*

The financial performance of the group is set out in the Director's report and in the statement of profit or loss and the other comprehensive income. The financial position of the group is set out in the statement of financial position. Disclosures in respect of risk management and capital management are set out in notes 30 and 31 to the financial statements.

During the year ended 31 December 2019, the group recognised a net loss of Shs. 889 million (2018: Shs. 346 million). The statement of financial position also indicates a deficiency in shareholders' funds of Shs. 1.941 billion (2018: Shs. 1.052 billion) and net current liabilities of Shs. 2.333 billion (2018: Shs. 1.732 billion). However, included in the current liabilities are deposits for sale of plots and units as well as deferred income of Shs. 1.839 billion and Shs. 1.222 billion respectively. There is little likelihood of these liabilities being paid out. Indications are that they will translate to revenues as the level of project completion improves.

The directors are currently engaging with the group lenders on restructuring of the current borrowing facilities and also with prospective investors to raise additional funds.

Based on the anticipated success of the negotiations above, the directors consider it appropriate to prepare the financial statements of the group and company on a going concern basis.

**HOME AFRIKA LIMITED**  
**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS**  
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## NOTES (CONTINUED)

### 1. Significant Accounting Policies (continued)

#### a. Basis of preparation (continued)

##### *New standards, amendments and interpretations adopted by the group*

All new and amended standards and interpretations that have become effective for the first time in the financial year beginning 1 January 2019 have been adopted by the group. Of those, none had a material effect on the group's financial statements.

##### *International Financial Reporting Standard 16 (IFRS 16): Leases*

The following, which became effective from 1 January 2019, have been adopted but have not had a significant impact on the group's financial statements.

- From 1 January 2019, to comply with IFRS 16, Leases, which replaced IAS 17, Leases, the group now recognises lease liabilities relating to leases for assets (other than those that are held with a view to resale in the ordinary course of business) under which the group is the lessee that had previously been classified as operating leases (other than leases with less than 12 months to run from 1 January 2019 and leases of low value items). The adoption of this standard had no significant impact to the financial statements.
- Amendments to IAS 12 'Income Taxes' effective for annual periods beginning on or after 1 January 2019 clarifying on the recognition of income tax consequences of dividends.
- Amendments to IAS 19 'Employee Benefits' effective for annual periods beginning on or after 1 January 2019 clarifying the effects of a retirement benefit plan amendment, curtailment or settlement.
- Amendments to IAS 23 'Borrowing Costs' effective for annual periods beginning on or after 1 January 2019 clarifying that specific borrowings remaining unpaid at the time the related asset is ready for its intended use or sale will comprise general borrowings.
- Amendments to IAS 28 'Investments in Associates and Joint Ventures' effective for annual periods beginning on or after 1 January 2019 clarifying that IFRS 9 is only applicable to investments to which the equity method is not applied.
- Amendments to IFRS 3 'Business Combinations' and IFRS 11 'Joint Arrangements' effective for annual periods beginning on or after 1 January 2019 in relation to remeasurement of previously held interests on a joint operation on obtaining control.
- Amendments to IFRS 9 'Financial Instruments' effective for annual periods beginning on or after 1 January 2019 clarifying that the existence of prepayment features with negative compensation will not in itself cause the instrument to fail the amortised cost classification.
- Amendments to IFRS 11 'Joint Arrangements' effective for annual periods beginning on or after 1 January 2019, clarify that when an entity obtains joint control of a business that is a joint operation, it does not remeasure its previously held interests.
- IFRIC 23 'Uncertainty over Income Tax Treatments' (issued June 2017) effective for annual periods beginning on or after 1 January 2019 clarifies the accounting for uncertainties in income taxes.

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## **NOTES (CONTINUED)**

### **1. Significant Accounting Policies (continued)**

#### **a. Basis of preparation (continued)**

##### *New standards, amendments and interpretations issued but not effective (continued)*

At the date of authorisation of these financial statements the following standards and interpretations which have not been applied in these financial statements were in issue but not yet effective for the year presented:

- Amendments to IFRS 10 and IAS 28 'Sale or Contribution of Assets between an Investor and its Associate or Joint Venture' (issued in September 2014) applicable from a date yet to be determined, address a current conflict between the two standards and clarify that a gain or loss should be recognized fully when the transaction involves a business, and partially if it involves assets that do not constitute a business.
- IFRS 17 'Insurance Contracts' (issued in May 2017) effective for annual periods beginning on or after 1 January 2023 establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts issued. It also requires similar principles to be applied to reinsurance contracts held and investment contracts with discretionary participation features issued. The objective is to ensure that entities provide relevant information in a way that faithfully represents those contracts. The Group does not issue insurance contracts.
- Amendments to IFRS 3 'Definition of a Business' (issued in October 2018) applicable to business combinations for 1 which the acquisition date is on or after the beginning of the first annual reporting period beginning on or after 1 January 2020 and to asset acquisitions that occur on or after the beginning of that period, clarify the definition of a business, with the objective of assisting entities to determine whether a transaction should be accounted for as a business combination or as an asset acquisition.
- Amendments to IAS 1 and IAS 8 'Definition of Material' (issued in October 2018) applicable to annual periods beginning on or after 1 January 2020, clarify the definition of material and how it should be applied by including in the definition guidance that previously featured elsewhere in IFRS.

The directors do not expect that adoption of these standards and interpretations will have a material impact on the financial statements in future periods. The group plans to apply the changes above from their effective dates.

#### **b. Critical accounting estimates and judgements**

In the application of the accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other relevant factors. Such estimates and assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

The directors have made the following assumptions that have a significant risk of resulting in a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The assumptions and judgements set-out below do not consider the full potential impact of the recent coronavirus outbreak as it is too early at this stage to predict the full potential impact of this on the financial statements of the company.

**HOME AFRIKA LIMITED**  
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## NOTES (CONTINUED)

### 1. Significant Accounting Policies (continued)

#### b. Critical accounting estimates and judgements (continued)

- **Measurement of expected credit losses (ECL):**

The measurement of the expected credit loss allowance for financial assets measured at amortised cost is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour.

A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as:

- Determining criteria for significant increase in credit risk;
- Choosing appropriate models and assumptions for the measurement of ECL;
- Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and associated ECL; and
- Establishing groups of similar financial assets for the purposes of measuring ECL

ECLs are measured as the probability-weighted present value of expected cash shortfalls over the remaining expected life of the financial instrument.

The measurement of ECLs are based primarily on the product of the instrument's Probability of Default (PD), Loss Given Default (LGD), and Exposure At Default (EAD).

The ECL model applied for financial assets other than trade receivables contains a three-stage approach that is based on the change in the credit quality of assets since initial recognition.

- **Stage 1** - If, at the reporting date, the credit risk of non-impaired financial instruments has not increased significantly since initial recognition, these financial instruments are classified in Stage 1, and a loss allowance that is measured, at each reporting date, at an amount equal to 12-month expected credit losses is recorded.
- **Stage 2** - When there is a significant increase in credit risk since initial recognition, these

non-impaired financial instruments are migrated to Stage 2, and a loss allowance that is measured, at each reporting date, at an amount equal to lifetime expected credit losses is recorded. In subsequent reporting periods, if the credit

risk of the financial instrument improves such that there is no longer a significant increase in credit risk since initial recognition, the ECL model requires reverting to recognition of 12-month expected credit losses.

- When one or more events that have a detrimental impact on the estimated future cash flows of a financial asset have occurred, the financial asset is considered credit-impaired and is migrated to Stage 3, and an allowance equal to lifetime expected losses continues to be recorded or the financial asset is written off.

**Assessment of significant increase in credit risk:** The determination of a significant increase in credit risk takes into account many different factors including a comparison of a financial instruments credit risk or PD at the reporting date and the credit or PD at the date of initial recognition. IFRS 9 however includes rebuttable presumptions that contractual payments are overdue by more than 30 days will represent a significant increase in credit risk (stage 2) and contractual payments that are more than 90 days overdue will represent credit impairment (stage 3). The company uses these guidelines in determining the staging of its assets unless there is persuasive evidence available to rebut these presumptions

For trade receivables, the company has applied the simplified model under IFRS 9 where lifetime expected credit loss allowance is recognised on the basis of a provisioning matrix.

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## NOTES (CONTINUED)

### 1. Significant Accounting Policies (continued)

#### b) Critical accounting estimates and judgement (continued)

- **Useful lives of property, plant and equipment and intangible assets.**

Management reviews the useful lives and residual values of the items of property, plant and equipment on a regular basis. During the financial year, the directors determined no significant changes in the useful lives and residual values.

- **Investment property**

The company holds land that is for designated development and sale and land that is as of the balance sheet date not designated for any specific future use. Under the requirement of IAS 40 on Investment Property, land that is held without any designated future use is classified as Investment Property and measured at fair value in accordance with the accounting policy set-out below.

- **Impairment of trade receivables**

The company reviews their portfolio of trade receivables on an annual basis. In determining whether receivables are impaired, the management makes judgement as to whether there is any evidence indicating that there is a measurable decrease in the estimated future cash flows expected.

- **Fair value measurement and valuation process**

In estimating the fair value of an asset or a liability, the group uses market-observable data to the extent it is available. Where level 1 inputs are not available, the group makes use of financial models or engages third party qualified values to perform the valuation and provide inputs to the model. issue.

#### c) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the sale of property and provision of services in the ordinary course of business and is stated net of rebates and discounts.

The company recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the entity and when the specific criteria have been met for each of the company's activities as described below. The amount of revenue is not considered to be reliably measured until all contingencies relating to the sale have been resolved.

The company evaluates each transaction to determine whether there are any separately identified components. Revenue is recognised as follows:

- Revenue from sale of land is recognised when the transaction with the buyer is substantially complete which coincides with the transfer to the buyer of the significant risks and rewards of ownership and the entity retaining neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the land. Remaining revenue relating to infrastructure construction is recognised using the percentage of completion method.
- Interest income is accrued by reference to time in relation to the principal outstanding and the effective interest rate applicable.
- Dividend income is recognised when the shareholders right to receive payment has been established
- Rental income is accrued by reference to time on a straight line basis over the lease term

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## NOTES (CONTINUED)

### 1. Significant Accounting Policies (continued)

#### d) Investment in subsidiaries/Consolidation

Subsidiaries are all entities (including special purpose entities) over which the group has the power to govern the financial and operating policies. Control is achieved when the company; has power over the trustee; is exposed or has right to variable returns from its involvement with the investee and has the ability to use its power to affect its returns.

The group also assesses the existence of control where it does not have a majority of the voting rights power but is able to govern the financial and operating policies of a subsidiary. Control may arise in certain circumstances where including the size of the group's voting rights relative to the size and dispersion of

holdings of other shareholders give the group the power to govern the financial and operating policies, where potential voting rights are held by the company and rights from other contractual arrangements etc.

Intra-group balances, income and expenses on transactions between group companies are eliminated. Profits and losses resulting from inter-company transactions that are recognised in assets are also eliminated. Accounting policies of subsidiaries have been changed where necessary adjustments are made to financial statements of subsidiary to bring their accounting policies into line with the groups accounting policy.

#### e) Property and equipment

All property and equipment is initially recorded at cost and thereafter stated at historical cost less depreciation. Historical cost comprises expenditure initially incurred to bring the asset to its location and condition ready for its intended use.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the company and the cost can be reliably measured. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to profit or loss during the financial year in which they are incurred.

Depreciation on assets is calculated on the reducing balance basis method to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life using the following annual rates:

|                        | <b>Rate %</b>        |
|------------------------|----------------------|
| Buildings              | 2.50 (straight line) |
| Motor vehicles         | 25.00                |
| Tractor                | 37.50                |
| Computer equipment     | 30.00                |
| Office equipment       | 12.50                |
| Furniture and fittings | 12.50                |

The assets residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of property and equipment are determined by comparing the proceeds with the carrying amount and are taken into account in determining operating profit/loss.

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## **NOTES (CONTINUED)**

### **1. Significant Accounting Policies (continued)**

#### **f) Investment property**

Investment property is long-term investments in land that are not occupied substantially for own use. Land held with an undetermined future use is also classified as investment property. Investment property is initially recognised at cost and subsequently carried at fair value representing open market value at the reporting date. Changes in fair value are recorded in profit or loss based on the percentage of completion as described in note (c) above.

Subsequent expenditure on investment property where such expenditure increases the future economic value in excess of the original assessed standard of performance is added to the carrying amount of the investment property. All other expenditure is recognised as an expense in the year which it is incurred.

Gains and losses on disposal of investment property is determined by reference to their carrying amount and are taken into account in determining operating profit/(loss).

#### **g) Intangible assets**

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

##### **• Computer software**

Computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised over their estimated useful lives which are estimated to be 5 years.

Costs associated with developing or maintaining computer software programmes are recognised as an expense as incurred. Costs that are directly associated with the production of identifiable and unique software products controlled by the company, and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets.

#### **h) Financial instruments**

Financial instruments are recognised when, and only when, the company becomes party to the contractual provisions of the instrument. All financial assets are recognised initially using the trade date accounting which is the date the company commits itself to the purchase or sale.

##### **• Financial assets**

The company classifies its financial assets into the following categories:

##### **i) Amortised cost;**

Financial assets that are held within a business model whose objective is to hold assets in order to collect contractual cash flows, and for which the contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on

the principal amount outstanding and are not designated at Fair Value Through Profit or Loss (FVTPL), are classified and measured at amortised cost; The carrying amount of these assets is adjusted by any expected credit loss allowance recognised and measured.

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## NOTES (CONTINUED)

### 1. Significant Accounting Policies (continued)

#### h). Financial instruments (continued)

##### ii) Fair Value Through Other Comprehensive Income (FVTOCI):

Financial assets that are held for collection of contractual cash flows where these cash flows comprise SPPI and also for liquidating the assets depending on liquidity needs and that are not designated at FVTPL, are classified and measured at value through other comprehensive income (FVTOCI). Movements in the carrying amount are taken through OCI, except for recognition of impairment gain or losses, interest revenue and foreign exchange gain and losses. Gains and losses previously recognised in OCI are reclassified from equity to profit or loss on disposal of such instruments. Gains and losses related to equity instruments are not reclassified.

##### iii) Fair Value Through Profit or Loss (FVTPL):

Financial assets that do not meet the criteria for amortised cost or FVTOCI are measured at FVTPL. A gain or loss on a debt investment that is subsequently measure at fair value through profit or loss and is not part of a hedging relationship is recognised in profit or loss and presented in the profit or loss statement.

##### iii) Fair Value Through Profit or Loss (FVTPL) ( continued)

Notwithstanding the above, the company may:

- on initial recognition of an equity investment that is not held for trading, irrevocably elect to classify and measure it at fair value through other comprehensive income
- on initial recognition of a debt instrument, irrevocably designate it as classified and measured at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency.

The loss allowance is measured at an amount equal to the lifetime expected credit losses for trade receivables and for financial instruments for which:

- the credit risk has increased significantly since initial recognition; or
- there is observable evidence of impairment (a credit-impaired financial asset).

If, at the reporting date, the credit risk on a financial asset other than a trade receivable has not increased significantly since initial recognition, the loss allowance is measured for that financial instrument at an amount equal to 12-month expected credit losses. All changes in the loss allowance are recognised in profit or loss as impairment gains or losses.

Lifetime expected credit losses represent the expected credit losses that result from all possible default events over the expected life of a financial instrument. 12-month expected credit losses represent the portion of lifetime expected credit losses that result from default events on a financial asset that are possible within 12 months after the reporting date.

Expected credit losses are measured in a way that reflects an unbiased and probability-weighted amount determined by evaluating a range of possible outcomes, the time value of money, and reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

All financial assets are classified as non-current except those that are held for trading, those with maturities of less than 12 months from the balance sheet date, those which management has the express intention of holding for less than 12 months from the reporting date or those that are required to be sold to raise operating capital, in which case they are classified as current assets.

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## **NOTES (CONTINUED)**

### **1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

#### **h). Financial instruments (continued)**

##### **Financial liabilities**

Financial liabilities that are held for trading (including derivatives), financial guarantee contracts, or commitments to provide a loan at a below-market interest rate are classified and measured at fair value through profit or loss. The company may also, on initial recognition, irrevocably designate a financial liability as at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency.

All other financial liabilities are classified and measured at amortised cost.

##### **i) Inventories**

Inventories comprise of land and developments held for sale and is stated at the lower of cost and net realisable value. Cost is determined by the first-in-first-out (FIFO) basis and comprises all costs attributable to purchase of the land and direct cost for the development of common amenities and related service costs including finance costs.

##### **j) Cash and cash equivalents**

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand and deposits held at call with banks.

##### **k) Share capital**

Ordinary shares are classified as equity. Mandatorily redeemable preference shares are classified as liabilities.

##### **l) Share premium**

Share premium represents the amount received by the company over the par value of the ordinary shares issued.

Deposits received for ordinary and preference shares are also classified as liabilities. On allotment of ordinary shares, the amounts are reclassified to equity.

##### **m) Dividend**

Proposed dividends are disclosed as a separate component of equity until declared.

Dividends are recognised as a liability in the period in which they are approved by the group's shareholders.

##### **n) Taxation**

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in the comprehensive income or in equity.

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## **NOTES (CONTINUED)**

### **1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

#### **n) Taxation (continued)**

##### **Current tax**

Current tax is provided on the results for the year, adjusted in accordance with tax legislation.

##### **Deferred tax**

Deferred tax is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes.

Currently enacted tax rates are used to determine deferred tax. Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilised.

#### **o) Accounting for leases**

##### **The group as lessee**

On the commencement date of each lease (excluding leases with a term, on commencement, of 12 months or less and leases for which the underlying asset is of low value) the group recognises a right-of-use asset and a lease liability. Also excluded from such measurement are leases of land held as inventory for sale in the ordinary course of business which are carried as inventory and revenue therefrom accounted for under revenue accounting policy.

The lease liability is measured at the present value of the lease payments that are not paid on that date. The lease payments include fixed payments, variable payments that depend on an index or a rate, amounts expected to be payable under residual value guarantees, and the exercise price of a purchase option if the group is reasonably certain to exercise that option. The lease payments are discounted at the interest rate implicit in the lease. If that rate cannot be readily determined, the group's incremental borrowing rate is used.

For leases that contain non-lease components, the group allocates the consideration payable to the lease and non-lease components based on their relative stand-alone components.

The right-of-use asset is initially measured at cost comprising the initial measurement of the lease liability, any lease payments made on or before the commencement date, any initial direct costs incurred, and an estimate of the costs of restoring the underlying asset to the condition required under the terms of the lease.

Subsequently the lease liability is measured at amortised cost, subject to remeasurement to reflect any reassessment, lease modifications, or revised fixed lease payments.

For leases with a term, on commencement, of 12 months or less and leases for which the underlying asset is of low value, the total lease payments are recognised in profit or loss on a straight-line basis over the lease period.

#### **p) Retirement benefit obligations**

The group and its employees contribute to the National Social Security Fund (NSSF), a statutory defined contribution scheme registered under the NSSF Act. The company's contributions to

the defined contribution scheme are charged to profit or loss in the year to which they relate. The company has no further obligation once the contributions have been paid.

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## **NOTES (CONTINUED)**

### **q) Borrowing costs**

Borrowing costs that are attributable to acquisition, construction or production of a qualifying asset are capitalised as part of the asset based either on actual cost on specific borrowings or, in the case of general borrowings, based on a weighted average cost.

Capitalisation of borrowing costs ceases when all activities necessary to prepare the asset for its intended use or sale are complete. All other borrowing costs are recognised in profit or loss.

### **r) Comparatives**

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

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## NOTES (CONTINUED)

### 2. Segmental reporting

The group is engaged in the business of development and sale of real estate and related activities. This business is conducted through different subsidiaries representing separate projects of the group. The basis of reporting the performance of the group for resource allocation purposes to the board of directors (which represents the chief operating decision maker for the purposes of segmental reporting) is on a company by company basis.

While certain group companies are involved in post real-estate development activities such as provision of services to occupiers etc, these activities are not material to the group as a whole and therefore not separately disclosable.

In respect of the primary operations of real estate development and sale, all activities of the group are carried out within a single economic area being Kenya and are therefore subject to common economic characteristics. These operations are therefore aggregated together, along with the immaterial related activities discussed in the preceding paragraph such that the group's activities comprises a single operating segment. The financial results for the operations of the group are presented to the board are the same as the measures of operating profit and profit before tax as presented in the statement of profit or loss and other comprehensive income. All the assets and liabilities of the group represent the single overall aggregated segment.

As its geographic operations are confined to a single country, no disclosures by geography are applicable. All revenue, costs, assets and liabilities arise and are held in Kenya.

During the year, the company recognised revenue relating to a related party of Shs. 177,050,481. No other single customer represents more than 10% of the total group turnover (2018: Nil).

### 3. Revenue from contracts with customers

|                       | Group              |                    | Company          |                   |
|-----------------------|--------------------|--------------------|------------------|-------------------|
| 2019                  | 2019               | 2018               | 2019             | 2018              |
| Recognised over time: | Shs                | Shs                | Shs              | Shs               |
|                       | <b>362,979,327</b> | <b>109,038,521</b> | <b>9,670,000</b> | <b>15,181,000</b> |

### 4. Other operating income

|               |                   |                  |                  |                |
|---------------|-------------------|------------------|------------------|----------------|
| Rental income | 7,353,800         | 5,336,534        | -                | -              |
| Other income  | 10,714,723        | 2,521,250        | 5,194,791        | 810,000        |
|               | <b>18,068,523</b> | <b>7,857,784</b> | <b>5,194,791</b> | <b>810,000</b> |

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**NOTES (CONTINUED)**

**5. Operating (loss)**

|                                                                        | <b>Group</b>        |                     | <b>Company</b>      |                     |
|------------------------------------------------------------------------|---------------------|---------------------|---------------------|---------------------|
|                                                                        | <b>2019<br/>Shs</b> | <b>2018<br/>Shs</b> | <b>2019<br/>Shs</b> | <b>2018<br/>Shs</b> |
| The following items have been charged in arriving at operating (loss): |                     |                     |                     |                     |
| Depreciation on property and equipment (Note 10)                       | 6,506,392           | 6,874,919           | 3,977,132           | 3,962,764           |
| Amortisation of intangible assets (Note 12)                            | -                   | 1,266,111           | -                   | 1,266,111           |
| Auditors' remuneration                                                 |                     |                     |                     |                     |
| - current year                                                         | 2,905,000           | 3,686,000           | 650,000             | 600,000             |
| - under provision in prior years                                       | 18,200              | 311,944             | -                   | -                   |
| Directors' emoluments                                                  | 9,087,142           | 31,985,228          | 2,000,000           | 2,550,000           |
| Staff costs (Note 6)                                                   | 105,634,835         | 112,875,518         | 70,786,750          | 64,914,239          |

**6. Staff Costs**

|                                 |             |             |            |            |
|---------------------------------|-------------|-------------|------------|------------|
| Salaries and wages              | 92,208,749  | 100,761,719 | 63,622,453 | 61,125,429 |
| Other staff costs               | 12,610,086  | 11,951,199  | 6,843,097  | 3,695,810  |
| Pension costs:                  |             |             |            |            |
| - National Social Security Fund | 816,000     | 162,600     | 321,200    | 93,000     |
|                                 | 105,634,835 | 112,875,518 | 70,786,750 | 64,914,239 |

|                                                                            | <b>Group</b>        |                     | <b>Company</b>      |                     |
|----------------------------------------------------------------------------|---------------------|---------------------|---------------------|---------------------|
|                                                                            | <b>2019<br/>Shs</b> | <b>2018<br/>Shs</b> | <b>2019<br/>Shs</b> | <b>2018<br/>Shs</b> |
| The average number of persons employed during the year, by category, were: |                     |                     |                     |                     |
| Sales and marketing                                                        | 48                  | 20                  | 42                  | 14                  |
| Projects                                                                   | 104                 | 14                  | 5                   | 4                   |
| Management and administration                                              | 27                  | 14                  | 18                  | 5                   |
| Total                                                                      | 179                 | 48                  | 65                  | 23                  |

**7. Finance Costs**

|                          |             |             |            |            |
|--------------------------|-------------|-------------|------------|------------|
| Interest expense:        | 159,089,353 | 144,614,649 | -          | -          |
| - bank borrowings        | 93,510,535  | 14,259,243  | 55,115,712 | 14,259,243 |
| - private placement bond | 2,035,787   | 1,803,600   | -          | -          |
| - deposit for shares     | 254,635,675 | 160,677,492 | 55,115,712 | 14,259,243 |

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## NOTES (CONTINUED)

### 8. Tax

|                                        | Group            |                     | Company     |                |
|----------------------------------------|------------------|---------------------|-------------|----------------|
|                                        | 2019<br>Shs      | 2018<br>Shs         | 2019<br>Shs | 2018<br>Shs    |
| Current tax                            | 2,206,140        | 1,177,907           | -           | -              |
| Deferred tax (credit)/charge (Note 24) | -                | (46,877,574)        | -           | 624,639        |
|                                        | <u>2,206,140</u> | <u>(45,699,667)</u> | <u>-</u>    | <u>624,639</u> |

The tax on the group's (loss) before tax differs from the theoretical amount that would arise using the basic rate as follows:

|                                                                                            |                  |                     |               |                |
|--------------------------------------------------------------------------------------------|------------------|---------------------|---------------|----------------|
| (Loss) before tax                                                                          | (886,601,938)    | (391,904,755)       | (188,588,603) | (129,490,648)  |
| Tax calculated at a tax rate of 30% (2018: 30%)                                            | (265,980,581)    | (117,571,427)       | (56,576,581)  | (38,847,194)   |
| Tax effect of:                                                                             |                  |                     |               |                |
| - income and expenses not taxable/allowable                                                | 154,830,964      | (22,675,689)        | 68,516        | 2,533,760      |
| - tax losses and other temporary differences on which deferred tax has not been recognised | 113,355,757      | 94,547,449          | 56,508,065    | 36,313,434     |
| - Deferred tax for prior year written off                                                  | -                | -                   | -             | 624,639        |
|                                                                                            | <u>2,206,140</u> | <u>(45,699,667)</u> | <u>-</u>      | <u>624,639</u> |

### 9. (Loss) Per Share

Basic group loss per share is calculated by dividing the loss attributable to equity holders of the company by the weighted average number of ordinary shares in issue during the year.

|                                            | Group              |                    | Company            |                    |
|--------------------------------------------|--------------------|--------------------|--------------------|--------------------|
|                                            | 2019<br>Shs        | 2018<br>Shs        | 2019<br>Shs        | 2018<br>Shs        |
| Net (loss) attributable to shareholders    | (625,855,602)      | (276,019,820)      | (188,588,603)      | (130,115,287)      |
| Weighted average number of ordinary shares | <u>405,255,320</u> | <u>405,255,320</u> | <u>405,255,320</u> | <u>405,255,320</u> |
| (Loss) per share - basic and diluted       | <u>(1.54)</u>      | <u>(0.68)</u>      | <u>(0.47)</u>      | <u>(0.32)</u>      |

## NOTES (CONTINUED)

### 10. Property and Equipment

| Group                              | Building<br>Shs   | Tractor<br>Shs   | Motor<br>vehicles<br>Shs | Computer<br>equipment<br>Shs | Furniture<br>and fittings<br>Shs | Office<br>equipment<br>Shs | Total<br>Shs      |
|------------------------------------|-------------------|------------------|--------------------------|------------------------------|----------------------------------|----------------------------|-------------------|
| <b>Year ended 31 December 2019</b> |                   |                  |                          |                              |                                  |                            |                   |
| <b>Cost</b>                        |                   |                  |                          |                              |                                  |                            |                   |
| At start of year                   | 33,138,104        | 4,457,686        | 7,937,624                | 8,033,440                    | 21,705,671                       | 30,390,455                 | 105,662,980       |
| Additions                          | -                 | 1,680,000        | 1,382,690                | 1,285,200                    | 249,700                          | 687,499                    | 5,285,089         |
| At end of year                     | 33,138,104        | 6,137,686        | 9,320,314                | 9,318,640                    | 21,955,371                       | 31,077,954                 | 110,948,069       |
| <b>Depreciation</b>                |                   |                  |                          |                              |                                  |                            |                   |
| At start of year                   | 10,096,931        | 4,191,987        | 7,083,092                | 5,625,511                    | 11,156,323                       | 14,453,764                 | 52,607,608        |
| Charge for the year                | 1,424,863         | 99,637           | 523,028                  | 1,061,818                    | 1,269,169                        | 2,127,876                  | 6,506,392         |
| At end of year                     | 11,521,794        | 4,291,624        | 7,606,120                | 6,687,329                    | 12,425,492                       | 16,581,640                 | 59,114,000        |
| <b>Net book value</b>              | <b>21,616,310</b> | <b>1,846,062</b> | <b>1,714,194</b>         | <b>2,631,311</b>             | <b>9,529,879</b>                 | <b>14,496,314</b>          | <b>51,834,069</b> |
| <b>Year ended 31 December 2018</b> |                   |                  |                          |                              |                                  |                            |                   |
| <b>Cost</b>                        |                   |                  |                          |                              |                                  |                            |                   |
| At start of year                   | 33,138,104        | 4,457,686        | 8,700,860                | 6,670,710                    | 20,339,601                       | 30,255,905                 | 103,562,866       |
| Additions                          | -                 | -                | 86,764                   | 1,362,730                    | 1,366,070                        | 134,550                    | 2,950,114         |
| Disposal                           | -                 | -                | (850,000)                | -                            | -                                | -                          | (850,000)         |
| At end of year                     | 33,138,104        | 4,457,686        | 7,937,624                | 8,033,440                    | 21,705,671                       | 30,390,455                 | 105,662,980       |
| <b>Depreciation</b>                |                   |                  |                          |                              |                                  |                            |                   |
| At start of year                   | 8,561,292         | 4,032,568        | 6,543,837                | 4,720,732                    | 9,754,855                        | 12,119,405                 | 45,732,689        |
| Charge for the year                | 1,535,639         | 159,419          | 539,255                  | 904,779                      | 1,401,468                        | 2,334,359                  | 6,874,919         |
| At end of year                     | 10,096,931        | 4,191,987        | 7,083,092                | 5,625,511                    | 11,156,323                       | 14,453,764                 | 52,607,608        |
| <b>Net book value</b>              | <b>23,041,173</b> | <b>265,699</b>   | <b>854,532</b>           | <b>2,407,929</b>             | <b>10,549,348</b>                | <b>15,936,691</b>          | <b>53,055,372</b> |

## NOTES (CONTINUED)

### 10. Property and Equipment (continued)

| Company                            | Building<br>Shs   | Motor<br>vehicles<br>Shs | Computer<br>equipment<br>Shs | Furniture<br>and fittings<br>Shs | Office<br>equipment<br>Shs | Total<br>Shs      |
|------------------------------------|-------------------|--------------------------|------------------------------|----------------------------------|----------------------------|-------------------|
| <b>Cost</b>                        |                   |                          |                              |                                  |                            |                   |
| At start of year                   | 56,994,527        | 3,681,624                | 5,308,025                    | 17,228,948                       | 5,026,516                  | 88,239,640        |
| Additions                          | -                 | 1,266,000                | 952,200                      | 82,200                           | 687,499                    | 2,987,899         |
| At end of year                     | 56,994,527        | 4,947,624                | 6,260,225                    | 17,311,148                       | 5,714,015                  | 91,227,539        |
| <b>Depreciation</b>                |                   |                          |                              |                                  |                            |                   |
| At start of year                   | 12,825,148        | 3,395,200                | 3,590,215                    | 9,239,935                        | 2,879,950                  | 31,930,448        |
| Charge for the year                | 1,424,863         | 388,106                  | 801,003                      | 1,008,902                        | 354,258                    | 3,977,132         |
| At end of year                     | 14,250,011        | 3,783,306                | 4,391,218                    | 10,248,837                       | 3,234,208                  | 35,907,580        |
| <b>Net book value</b>              | <b>42,744,516</b> | <b>1,164,318</b>         | <b>1,869,007</b>             | <b>7,062,311</b>                 | <b>2,479,807</b>           | <b>55,319,959</b> |
| <b>Year ended 31 December 2018</b> |                   |                          |                              |                                  |                            |                   |
| <b>Cost</b>                        |                   |                          |                              |                                  |                            |                   |
| At start of year                   | 56,994,527        | 4,444,860                | 4,119,295                    | 16,330,513                       | 4,901,466                  | 86,790,661        |
| Additions                          | -                 | 86,764                   | 1,188,730                    | 898,435                          | 125,050                    | 2,298,979         |
| Disposal                           | -                 | (850,000)                | -                            | -                                | -                          | (850,000)         |
| At end of year                     | 56,994,527        | 3,681,624                | 5,308,025                    | 17,228,948                       | 5,026,516                  | 88,239,640        |
| <b>Depreciation</b>                |                   |                          |                              |                                  |                            |                   |
| At start of year                   | 11,289,511        | 3,016,393                | 2,962,888                    | 8,125,595                        | 2,573,297                  | 27,967,684        |
| Charge for the year                | 1,535,637         | 378,807                  | 627,327                      | 1,114,340                        | 306,653                    | 3,962,764         |
| At end of year                     | 12,825,148        | 3,395,200                | 3,590,215                    | 9,239,935                        | 2,879,950                  | 31,930,448        |
| <b>Net book value</b>              | <b>44,169,379</b> | <b>286,424</b>           | <b>1,717,810</b>             | <b>7,989,013</b>                 | <b>2,146,566</b>           | <b>56,309,192</b> |

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## NOTES (CONTINUED)

### 11. Investment Property Group

#### Year ended 31 December 2019

|                                      | Land<br>Shs        | WIP<br>Shs        | Total<br>Shs       |
|--------------------------------------|--------------------|-------------------|--------------------|
| At start of year                     | 570,026,085        | 54,478,146        | 624,504,231        |
| Additions                            | -                  | 6,651,721         | 6,651,721          |
| Transfer to cost of sale on disposal | (164,809,732)      | (17,674,273)      | (182,484,005)      |
| Transfers to inventories             | (99,282,970)       | (10,647,153)      | (109,930,123)      |
| At end of year                       | <u>305,933,383</u> | <u>32,808,441</u> | <u>338,741,824</u> |

#### Year ended 31 December 2018

|                  |                    |                   |                    |
|------------------|--------------------|-------------------|--------------------|
| At start of year | 570,026,085        | 53,154,250        | 623,180,335        |
| Additions        | -                  | 1,323,896         | 1,323,896          |
| At end of year   | <u>570,026,085</u> | <u>54,478,146</u> | <u>624,504,231</u> |

The fair value of investment property comprising buildings was determined by reference to the market prices of similar properties of the type and in the area in which the property is situated. The valuation was carried out by an independent professional valuer with recent experience in the location and category of the investment property being valued.

The fair value of the group's land investment properties are determined periodically by an independent professionally qualified valuer adjusted by management to reflect the current stage of completion of the project. In determining the valuations the valuer refers to current market conditions including recent sales transactions of similar properties. In estimating the fair value of the properties, the highest and best use of the property is their use at the end of the project development adjusted by the completion factor to reflect the condition as of the balance sheet date. There has been no change in the valuation technique used during the year.

| Fair value hierarchy Group:      | Level 1<br>Shs | Level 2<br>Shs | Level 3<br>Shs     | Fair value<br>Shs  |
|----------------------------------|----------------|----------------|--------------------|--------------------|
| Land held as investment property | -              | -              | <u>338,741,824</u> | <u>338,741,824</u> |

The fair valuation of the investment property is included as a level 3 valuation based on a significant non-observable input being the stage of completion of the project development within which the investment property resides which therefore has a material impact on the fair valuation as of the date of the statement of financial position. The percentage of completion used for this valuation is 48.46% as at 31 December 2019 (46.74% as at 31 December 2018). Management does not expect there to be a material sensitivity to the value of the investment property as the percentage of completion is based on qualified professional assessments of the project development.

The table above presents the changes in the carrying value of the investment property arising from these fair valuation assessments.

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## NOTES (CONTINUED)

### 12. Intangible Assets

| Group                              | Computer<br>Software<br>Shs | Website<br>Cost<br>Shs | Total<br>Shs     |
|------------------------------------|-----------------------------|------------------------|------------------|
| <b>Year ended 31 December 2019</b> |                             |                        |                  |
| <b>Cost</b>                        |                             |                        |                  |
| At start of year                   | 10,271,036                  | 1,183,800              | 11,454,836       |
| Additions                          | 237,800                     | -                      | 237,800          |
| At end of year                     | 10,508,836                  | 1,183,800              | 11,692,636       |
| Amortisation                       |                             |                        |                  |
| At start of year                   | 7,700,448                   | 1,183,800              | 8,884,248        |
| Amortisation for the year          | 926,768                     | -                      | 926,768          |
| At end of year                     | 8,627,216                   | 1,183,800              | 9,811,016        |
| <b>Net book value</b>              | <b>1,881,620</b>            | <b>-</b>               | <b>1,881,620</b> |
| <b>Year ended 31 December 2018</b> |                             |                        |                  |
| <b>Cost</b>                        |                             |                        |                  |
| At start of year                   | 6,434,337                   | 1,183,800              | 7,618,137        |
| Additions                          | 3,836,699                   | -                      | 3,836,699        |
| At end of year                     | 10,271,036                  | 1,183,800              | 11,454,836       |
| Amortisation                       |                             |                        |                  |
| At start of year                   | 6,434,337                   | 1,183,800              | 7,618,137        |
| Amortisation for the year          | 1,266,111                   | -                      | 1,266,111        |
| At end of year                     | 7,700,448                   | 1,183,800              | 8,884,248        |
| <b>Net book value</b>              | <b>2,570,588</b>            | <b>-</b>               | <b>2,570,588</b> |
| <b>Company</b>                     | <b>Computer software</b>    |                        |                  |
| <b>Cost</b>                        | <b>2019<br/>Shs</b>         | <b>2018<br/>Shs</b>    |                  |
| At start of year                   | 10,271,036                  | 6,434,337              |                  |
| Additions                          | 237,800                     | 3,836,699              |                  |
| At end of year                     | 10,508,836                  | 10,271,036             |                  |
| <b>Amortisation</b>                |                             |                        |                  |
| At start of year                   | 7,700,448                   | 6,434,337              |                  |
| Amortisation for the year          | 926,768                     | 1,266,111              |                  |
| At end of year                     | 8,627,216                   | 7,700,448              |                  |
| <b>Net book value</b>              | <b>1,881,620</b>            | <b>2,570,588</b>       |                  |

## NOTES (CONTINUED)

### 13. Investments in Subsidiaries

#### Company

|                                      | Country of<br>incorporation | Holding | Company           |
|--------------------------------------|-----------------------------|---------|-------------------|
|                                      |                             | 2019    | 2018              |
|                                      |                             |         | Shs               |
| Suburban Limited                     | Kenya                       | 50%     | 74,334,247        |
| Mitini Scapes Development Limited    | Kenya                       | 100%    | 100,000           |
| Lakeview Heights Development Limited | Kenya                       | 100%    | 100,000           |
| Lango Development Limited            | Kenya                       | 100%    | 100,000           |
| Kikwetu Limited                      | Kenya                       | 100%    | 100,000           |
| Smart Plots Limited                  | Kenya                       | 100%    | 100,000           |
| Home Afrika Communities Limited      | Kenya                       | 60%     | 2,100,000         |
| Migaa Management Limited             | Kenya                       | 52%     | 52,000            |
|                                      |                             |         | <b>76,986,247</b> |

The composition of the group is as follows:

| Name                                 | Country of<br>incorporation | Proportion of<br>ownership interest | Proportion owned via<br>subsidiary companies | Principal Activities                | Wholly or non-<br>wholly owned<br>subsidiary |
|--------------------------------------|-----------------------------|-------------------------------------|----------------------------------------------|-------------------------------------|----------------------------------------------|
|                                      |                             | 2019                                | 2018                                         |                                     |                                              |
| Mitini Scapes Development Limited    | Kenya                       | 100%                                | -                                            | Development and sale of real estate | Wholly                                       |
| Lakeview Heights Development Limited | Kenya                       | 100%                                | -                                            | Development and sale of real estate | Wholly                                       |
| Lango Development Limited            | Kenya                       | 100%                                | -                                            | Development and sale of real estate | Wholly                                       |
| Kikwetu Limited                      | Kenya                       | 100%                                | -                                            | Development and sale of real estate | Wholly                                       |
| Smart Plots Limited                  | Kenya                       | 100%                                | -                                            | Development and sale of real estate | Wholly                                       |
| Home Afrika Communities Limited      | Kenya                       | 60%                                 | -                                            | Development and sale of real estate | Non-wholly                                   |
| Suburban Limited                     | Kenya                       | 50%                                 | -                                            | Development and sale of real estate | Non-wholly                                   |
| Migaa Management Limited             | Kenya                       | 52%                                 | -                                            | Development and sale of real estate | Non-wholly                                   |
| Moru Ridge Limited                   | Kenya                       | -                                   | 60%                                          | Development and sale of real estate | Non-wholly                                   |
| Kivuli Golf Limited                  | Kenya                       | -                                   | 60%                                          | Development and sale of real estate | Non-wholly                                   |
| Migaa PDS Limited                    | Kenya                       | -                                   | 60%                                          | Development and sale of real estate | Non-wholly                                   |

## NOTES (CONTINUED)

### 13. Investments in Subsidiaries (continued)

The group owns 50% equity shares of Suburban Limited. The remaining 50% is held by unrelated shareholders. An assessment of control was performed by the group based on whether the group has the practical ability to direct the relevant activities unilaterally and it was concluded that the group was involved in active day to day management and therefore had dominant powers to direct the relevant activities of Suburban Limited.

#### Summarised financial information

Summarised financial information in respect of each of the group's main subsidiaries that has a material non-controlling interests is set out below. The summarised financial information below represents amounts before intragroup eliminations.

|                           | Home Afrika     |                 | Suburban Limited |               | Moru Ridge Limited |                 |
|---------------------------|-----------------|-----------------|------------------|---------------|--------------------|-----------------|
|                           | 2019            | 2018            | 2019             | 2018          | 2019               | 2018            |
|                           | Shs             | Shs             | Shs              | Shs           | Shs                | Shs             |
| Current assets            | 2,232,237,932   | 1,740,807,363   | 70,731,029       | 72,250,972    | 910,233,184        | 1,300,764,225   |
| Non-current assets        | 351,322,741     | 636,798,321     | 452,242          | 531,649       | 9,647              | 13,782          |
| Current liabilities       | (2,836,549,698) | (2,436,538,749) | (123,745,062)    | (134,285,638) | (1,594,024,869)    | (1,460,045,588) |
| Non-controlling interests | (96,004,146)    | (38,781,763)    | (48,981,185)     | (53,451,799)  | (273,512,814)      | (63,707,032)    |

## NOTES (CONTINUED)

### 13. Investments in Subsidiaries (continued)

|                                                              | Home Afrika          |                      | Suburban Limited |                     | Moru Ridge Limited   |                      |
|--------------------------------------------------------------|----------------------|----------------------|------------------|---------------------|----------------------|----------------------|
|                                                              | 2019                 | 2018                 | 2019             | 2018                | 2019                 | 2018                 |
|                                                              | Shs                  | Shs                  | Shs              | Shs                 | Shs                  | Shs                  |
| Revenue                                                      | 267,968,595          | 51,787,308           | 16,068,016       | 3,328,800           | -                    | -                    |
| Expenses                                                     | (462,024,554)        | (181,240,152)        | (7,126,789)      | (22,503,959)        | (524,514,456)        | (114,036,250)        |
| <b>(Loss) or profit for the year</b>                         | <b>(194,055,959)</b> | <b>(129,452,844)</b> | <b>8,941,227</b> | <b>(19,175,159)</b> | <b>(524,514,456)</b> | <b>(114,036,250)</b> |
| Profit or loss attributable to the non-controlling interests | (57,222,384)         | (14,533,692)         | 4,470,614        | (9,516,275)         | (209,805,782)        | (45,614,500)         |
| Net cash (out)/in flow from operating activities             | 7,597,126            | 5,876,832            | 70,248           | (41,463)            | 39                   | (7,699)              |
| Net cash (out)/in flow from investing activities             | (8,727,631)          | (1,766,176)          | -                | -                   | -                    | -                    |
| Net cash (out)/in flow from financing activities             | (4,200,000)          | (1,500,000)          | -                | -                   | -                    | -                    |
| <b>Net cash (out)/ in flow</b>                               | <b>(5,330,505)</b>   | <b>2,610,656</b>     | <b>70,248</b>    | <b>(41,463)</b>     | <b>39</b>            | <b>(7,699)</b>       |

#### Significant restrictions

There are no significant restrictions on the company's or subsidiary's ability to access or use the assets and settle the liabilities of the group.

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## NOTES (CONTINUED)

### 14. Financial Assets

| Available-for-sale              | Incorporation | Group and Company |             |
|---------------------------------|---------------|-------------------|-------------|
|                                 |               | 2019<br>Shs       | 2018<br>Shs |
| Morningside Office Park Limited | Kenya 12%     | 2,000             | 2,000       |

The carrying amount of the investment above is not expected to be materially different from its fair value.

### 15. Inventories

|                            | Group                |                      | Company            |                    |
|----------------------------|----------------------|----------------------|--------------------|--------------------|
|                            | 2019<br>Shs          | 2018<br>Shs          | 2019<br>Shs        | 2018<br>Shs        |
| Plots held for sale        | 776,495,265          | 515,642,873          | 262,457,335        | 186,535,767        |
| Units held for sale        | 333,470,438          | 389,332,764          | -                  | -                  |
| Work in progress           | 2,816,905,386        | 2,838,009,117        | -                  | -                  |
| Less: impairment provision | (390,531,081)        | -                    | -                  | -                  |
|                            | <b>3,536,340,008</b> | <b>3,742,984,754</b> | <b>262,457,335</b> | <b>186,535,767</b> |

Inventory with a cost amounting to Shs. 106,878,163 have been pledged as security against deposit for preference shares as disclosed in Note 22.

Inventory with a cost amounting to Shs. 36,405,588 have been pledged as security against private placement bond as disclosed in Note 21. Borrowing costs (net of releases to cost of sales on completed and sold inventory) amounting to Shs. 51 million (2018: 83.5 million) have been capitalised to inventories during the year. The directors have assessed actual underlying development activity at the project sites as well as related administrative functions in determining the appropriateness of capitalisation of these borrowing costs. Direct development valued at Shs. 165 million (2018: Shs. 65 million) was undertaken at the project sites during the year.

Included in the inventories above are residential apartments constructed by a separate group entity, Moru Ridge Limited with cumulative costs amounting to Shs. 1.168 billion. The said residential apartments have been subject to repossession by the bank as a collateral to a bank loan. The bank was unsuccessful in its effort to get a buyer to buy the properties and they did not receive any offers that were close to the cumulative costs so far incurred in putting up the residential blocks. There is therefore indication of impairment of this inventories. The directors had an independent valuation performed by a qualified valuer, to establish the replacement cost of the residential apartments. An impairment loss of Shs. 390 million has been recognised in the financial statements to adjust the carrying value of the inventory to match the net realisable value as at 31 December 2019.

### 16. Trade and Other Receivables

| Current                                         | Group              |                   | Company           |                   |
|-------------------------------------------------|--------------------|-------------------|-------------------|-------------------|
|                                                 | 2019<br>Shs        | 2018<br>Shs       | 2019<br>Shs       | 2018<br>Shs       |
| Trade receivables                               | 25,880,001         | 24,000,000        | -                 | -                 |
| Less: impairment provision                      | (24,000,000)       | (24,000,000)      | -                 | -                 |
| Net trade receivables                           | 1,880,001          | -                 | -                 | -                 |
| Other receivables                               | 7,140,365          | 6,848,540         | 175,808           | 6,748,940         |
| Deposits and prepayments                        | 46,208,695         | 54,559,709        | 1,369,876         | 2,690,247         |
| Shareholders account                            | 500,000            | 500,000           | -                 | -                 |
| Receivables from related parties (Note 28(iii)) | 391,279,043        | 47,086,803        | 842,729,101       | 822,883,612       |
| Less: impairment provision                      | (38,987,869)       | (38,987,869)      | (810,964,340)     | (800,685,311)     |
|                                                 | <b>408,020,235</b> | <b>70,007,183</b> | <b>33,310,445</b> | <b>31,637,488</b> |

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## NOTES (CONTINUED)

### 16. Trade and Other Receivables (continued)

In the opinion of the directors, the carrying amounts of trade and other receivables approximate to their fair value. The carrying amounts of the group's/company's trade and other receivables are denominated in Kenya shillings.

### 17. Cash and cash equivalents

|                          | Group             |                  | Company          |                  |
|--------------------------|-------------------|------------------|------------------|------------------|
|                          | 2019<br>Shs       | 2018<br>Shs      | 2019<br>Shs      | 2018<br>Shs      |
| Cash at bank and in hand | <u>10,988,166</u> | <u>9,338,188</u> | <u>8,759,337</u> | <u>2,771,118</u> |

The company's cash and bank balances are held with major Kenyan financial institutions and, insofar as the directors are able to measure any credit risk to these assets, it is deemed to be limited.

The carrying amounts of the group's/company's cash and cash equivalents are denominated in Kenya shillings.

### 18. Deferred income

|                 | Group                |                    |
|-----------------|----------------------|--------------------|
|                 | 2019<br>Shs          | 2018<br>Shs        |
| Deferred income | <u>1,222,850,867</u> | <u>998,427,582</u> |

Deferred income represents unrecognised revenue on account of ongoing construction.

### 19. Trade and Other Payables

|                                          | Group                       |                             | Company                     |                           |
|------------------------------------------|-----------------------------|-----------------------------|-----------------------------|---------------------------|
| Current                                  | 2019<br>Shs                 | 2018<br>Shs                 | 2019<br>Shs                 | 2018<br>Shs               |
| Trade payables                           | 467,436,476                 | 442,517,935                 | 70,708,046                  | 100,971,781               |
| Accruals                                 | 680,252,103                 | 548,184,253                 | 224,246,483                 | 151,296,687               |
| Provision for other liabilities          | 286,268,422                 | 286,268,422                 | -                           | -                         |
| Deposit for service charge and shares    | 24,459,750                  | 21,219,750                  | -                           | -                         |
| Other payables                           | 87,380,845                  | 65,247,058                  | 40,356,409                  | 31,948,987                |
| Payable to related parties (Note 28(iv)) | 84,358,103                  | 77,345,722                  | 259,839,193                 | 249,224,129               |
|                                          | <u>1,630,155,699</u>        | <u>1,440,783,140</u>        | <u>595,150,131</u>          | <u>533,441,584</u>        |
| Deposit from sale of plots and units     | 1,839,483,416               | 1,632,533,384               | 423,072,400                 | 214,287,801               |
| <b>Total trade and other payables</b>    | <b><u>3,469,639,115</u></b> | <b><u>3,073,316,524</u></b> | <b><u>1,018,222,531</u></b> | <b><u>747,729,385</u></b> |

In the opinion of the directors, the carrying amounts of trade and other payables approximate to their fair value. The carrying amounts of the group's/company's trade and other payables are denominated in Kenya shillings.

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**NOTES (CONTINUED)**

**19. Trade and Other Payables (continued)**

The maturity analysis of the group's trade and other payables is as follows:

**Year ended 31 December 2019**

|                                       | <b>0 to 1<br/>month<br/>Shs</b> | <b>2 to 3<br/>month<br/>Shs</b> | <b>4 to 12<br/>month<br/>Shs</b> | <b>Total<br/>Shs</b> |
|---------------------------------------|---------------------------------|---------------------------------|----------------------------------|----------------------|
| Trade payables                        | 24,681,666                      | 200,664,469                     | 242,090,341                      | 467,436,476          |
| Accruals                              | 174,608,362                     | 215,666,323                     | 289,977,418                      | 680,252,103          |
| Provision for other liabilities       | -                               | -                               | 286,268,422                      | 286,268,422          |
| Deposit from sale of plots and units  | -                               | -                               | 1,839,483,416                    | 1,839,483,416        |
| Deposit for service charge and shares | -                               | 2,103,933                       | 85,276,912                       | 24,459,750           |
| Other payables                        | -                               | 12,395,646                      | 71,962,457                       | 87,380,845           |
| Payable to related parties            | -                               | -                               | 84,358,103                       | 84,358,103           |
|                                       | <b>199,290,028</b>              | <b>430,830,371</b>              | <b>2,899,417,069</b>             | <b>3,469,639,115</b> |

**Year ended 31 December 2018**

|                                       |                    |                    |                      |                      |
|---------------------------------------|--------------------|--------------------|----------------------|----------------------|
| Trade payables                        | 23,365,913         | 189,967,260        | 229,184,762          | 442,517,935          |
| Accruals                              | 140,708,943        | 173,795,688        | 233,679,622          | 548,184,253          |
| Provision for other liabilities       | -                  | -                  | 286,268,422          | 286,268,422          |
| Deposit from sale of plots and units  | -                  | 140,424,185        | 1,492,109,199        | 1,632,533,384        |
| Deposit for service charge and shares | -                  | 3,010,185          | 62,236,873           | 21,219,750           |
| Other payables                        | -                  | 10,984,535         | 66,361,187           | 65,247,058           |
| Payable to related parties            | 8,829,186          | -                  | 68,516,536           | 77,345,722           |
|                                       | <b>172,904,042</b> | <b>518,181,853</b> | <b>2,438,356,601</b> | <b>3,073,316,524</b> |

The maturity analysis of the company's trade and other payables is as follows:

|                            | <b>0 to 1<br/>month<br/>Shs</b> | <b>2 to 3<br/>month<br/>Shs</b> | <b>4 to 12<br/>month<br/>Shs</b> | <b>Total<br/>Shs</b> |
|----------------------------|---------------------------------|---------------------------------|----------------------------------|----------------------|
| Trade payables             | 40,840,912                      | 25,405,802                      | 4,461,332                        | 70,708,046           |
| Accruals                   | 27,240,668                      | 70,132,522                      | 126,873,293                      | 224,246,483          |
| Deposit from sale of plots | 56,447,728                      | 366,624,672                     | -                                | 423,072,400          |
| Other payables             | -                               | 3,580,449                       | 36,775,960                       | 40,356,409           |
| Payable to related parties | -                               | -                               | 259,839,193                      | 259,839,193          |
|                            | <b>124,529,308</b>              | <b>465,743,445</b>              | <b>427,949,778</b>               | <b>1,018,222,531</b> |

**Year ended 31 December 2018**

|                            | <b>0 to 1<br/>month<br/>Shs</b> | <b>2 to 3<br/>month<br/>Shs</b> | <b>4 to 12<br/>month<br/>Shs</b> | <b>Total<br/>Shs</b> |
|----------------------------|---------------------------------|---------------------------------|----------------------------------|----------------------|
| Trade payables             | 58,321,221                      | 36,279,734                      | 6,370,826                        | 100,971,781          |
| Accruals                   | 18,378,985                      | 47,317,657                      | 85,600,045                       | 151,296,687          |
| Deposit from sale of plots | 28,590,992                      | 185,696,809                     | -                                | 214,287,801          |
| Other payables             | -                               | 2,834,537                       | 29,114,450                       | 31,948,987           |
| Payable to related parties | -                               | -                               | 249,224,129                      | 249,224,129          |
|                            | <b>105,291,198</b>              | <b>272,128,737</b>              | <b>370,309,450</b>               | <b>747,729,385</b>   |

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## NOTES (CONTINUED)

### 20. Borrowings

The borrowings are made up as follows:

|                | Group              |                    | Company     |             |
|----------------|--------------------|--------------------|-------------|-------------|
|                | 2019<br>Shs        | 2018<br>Shs        | 2019<br>Shs | 2018<br>Shs |
| <b>Current</b> |                    |                    |             |             |
| Bank loans     | <u>921,560,824</u> | <u>803,094,894</u> | <u>-</u>    | <u>-</u>    |

The borrowings are secured by the following:

(i) I & M Bank Limited

- Joint and several personal guarantees and indemnities of an amount of Shs. 325,000,000 each by the directors of Mitini Scapes development Limited.
- Corporate guarantee and indemnity of Home Afrika Limited for an amount of Shs. 325,000,000.
- A fixed and floating debenture for an amount of Shs. 325,000,000 over all the assets of Mitini Scapes Development Limited.
- First legal charge/mortgage for an amount of Shs. 325,000,000 over the sublease unit PDS S03 on L.R. No. 29059, Nairobi registered in the name of Mitini Scapes Development Limited.

(ii) Eco Bank Kenya Limited

- Legal charge of Shs. 400,000,000 over property known as unit No. MO014 situated on L.R. No. 29059, Kiambu.
- Corporate guarantee and indemnity from Home Afrika Communities Limited, Home Afrika Limited, Tulip Trustee Limited and Linyanti Limited for an amount of Shs. 400,000,000.
- First loss payee in respect of all insurance proceeds payable to the company under an all risk insurance policy for the assets charged as security as well as any proceeds payable under the all risk contractor's policy taken out by the company in connection with the construction.

Weighted average effective interest rates at the reporting date were:

|                        | Group        |              |
|------------------------|--------------|--------------|
|                        | 2019<br>Shs  | 2018<br>Shs  |
| <b>Bank borrowings</b> | <u>18.5%</u> | <u>23.0%</u> |

In the opinion of the directors, the carrying amounts of borrowings and lease obligations approximate to their fair value.

The carrying amounts of the company's borrowings are denominated in Kenya shillings.

During the year, the group was in default of covenants under borrowing agreements by non repayment of the principal and interest and the details are as below:

i) I & M Bank Limited

Borrowings from this institution amounted to Shs. 167,411,219 (2018: Shs. 182,554,110) as at the reporting date. Interest payable of Shs. 15,779,640 (2018: Shs. 9,429,342) remained unpaid as at 31 December 2019. The management expects to meet all contractual obligations in the future

ii) Eco Bank Kenya Limited

Borrowings from this institution amounted to Shs. 754,149,605 (2018: Shs. 620,495,784) as at the reporting date. Interest payable of Shs. 242,310,125 (2018: Shs. 110,397,504) remained unpaid as at 31 December 2019. The management expects to meet all contractual obligations in the future.

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## Notes (continued)

### 21. Private Placement Bond

|                | Group and Company |             |
|----------------|-------------------|-------------|
|                | 2019              | 2018        |
|                | Shs               | Shs         |
| <b>Current</b> |                   |             |
| Bond           | 500,000,000       | 500,000,000 |

In 2014, the company raised Shs. 500,000,000 through the issue of a 5 year private placement bond. Interest on the corporate bond is at 17% per annum payable semi-annually in arrears. Interest payments on the bond were delayed as at 31 December 2018 and as a result, the bond has been classified as a current liability.

The notes are issued in denominations of Shs. 100,000. The final maturity of the Notes will be 16 December 2019. However, there is early redemption any time after 18 December 2017 by the issuer in whole or in part on any interest payment date on provision of a notice of no more than 90 days or less than 30 days.

The notes are partially secured by first legal charge on land, Unit Number PDS W01 situated on L.R. No 29059, Kiambu included within inventories.

During the year, the group was in default of covenants under borrowing agreements by non repayment of the principal and interest and the details are as below:

Borrowings from this institution amounted to Shs. 500,000,000 (2018: Shs. 500,000,000) as at the reporting date. Interest payable of Shs. 320,660,028 (2018: Shs. 194,384,288) remained unpaid as at 31 December 2019. The management expects to meet all contractual obligations in the future.

### 22. Deposit for Shares

|                                                  | Group and Company  |                    |
|--------------------------------------------------|--------------------|--------------------|
|                                                  | 2019               | 2018               |
|                                                  | Shs                | Shs                |
| <b>Current</b>                                   |                    |                    |
| • Deposits for ordinary shares pending allotment | 93,203,550         | 93,203,550         |
| • Deposits for preference shares pending issue   | 75,768,722         | 81,604,972         |
|                                                  | <u>168,972,272</u> | <u>174,808,522</u> |
|                                                  | <u>168,972,272</u> | <u>174,808,522</u> |

The deposits for preference shares pending issue relate to Home Afrika Communities Limited and Kikwetu Development Limited which are both subsidiaries of the parent company.

- (i) Deposits for preference shares pending issue - Home Afrika Communities Limited
  - The members passed an ordinary resolution on 24 June 2013 authorising the issue of 1,000 preference shares of Shs. 600,000 each.
  - The tenure of the preference shares shall be 3 years with the right to receive a cumulative dividend at a rate of 20.5% p.a. to be paid together with capital upon redemption and rank in priority over ordinary shares in repayment.
  - The preference shares are secured by a first legal charge over property unit L.R. No. 29059 PDS W01 (I.R. No.133694) measuring 25.31 acres valued at approximately Shs 650,000,000.
- (ii) Deposits for preference shares pending issue - Kikwetu Development Limited
  - The company intends to issue preference shares at a subscription price of Shs. 500,000 each.
  - The tenure of the preference shares shall be 3 years with the right to receive dividend at a rate of 18% per annum.
- (iii) Deposit for ordinary shares pending allotment relates to amounts received with respect to the reservation of shares to minority interest in the subsidiary companies. No shares had been allotted as at the statement of financial position date.

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## NOTES (CONTINUED)

### 23. Deferred Tax

Deferred tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2018: 30%). The movement on the deferred tax account is as follows:

|                                   | 2019<br>Shs | Group<br>2018<br>Shs |
|-----------------------------------|-------------|----------------------|
| <b>Current</b>                    |             |                      |
| At start of year                  | -           | 46,877,574           |
| Credit to profit or loss (Note 8) | -           | (46,877,574)         |
| At end of year                    | -           | -                    |
| <b>Group</b>                      |             |                      |

Deferred tax (assets) and liabilities, deferred tax charge/(credit) to other comprehensive income and deferred tax charge/(credit) in profit or loss are attributable to the following items:

|                                        | Charge/(credit)<br>At start<br>of year<br>Shs | to profit or<br>loss<br>Shs | At end<br>of year<br>Shs |
|----------------------------------------|-----------------------------------------------|-----------------------------|--------------------------|
| <b>Deferred tax liabilities</b>        |                                               |                             |                          |
| Fair value gain on investment property | 186,971,838                                   | (49,442,920)                | 137,528,918              |
| <b>Deferred tax assets</b>             |                                               |                             |                          |
| Property and equipment                 | (495,214)                                     | (56,648)                    | (551,862)                |
| Tax losses carried forward             | (306,555,378)                                 | (63,856,189)                | (370,411,567)            |
|                                        | (307,050,592)                                 | (63,912,838)                | (370,963,430)            |
| Net deferred tax asset                 | (120,078,754)                                 | (113,355,757)               | (233,434,511)            |
| Deferred tax assets not recognised     | 120,078,754                                   | 113,355,757                 | 233,434,511              |
|                                        | -                                             | -                           | -                        |

Deferred tax assets on tax losses carried forward are only recognised to the extent of certainty of availability of sufficient future taxable profits to utilise such losses against. Deferred tax assets amounting to Shs. 370,411,567 (2018: Shs. 306,555,378) in respect of tax losses carried forward amounting to Shs. 1,234,705,224 (2018: Shs. 1,021,851,261) that can be carried forward against future taxable profits have not been recognised. These tax losses expire as follows:

|                              | Shs         | Expiry           |
|------------------------------|-------------|------------------|
| • tax losses arising in 2012 | 16,205,533  | 31 December 2021 |
| • tax losses arising in 2013 | 85,589,927  | 31 December 2022 |
| • tax losses arising in 2014 | 35,339,120  | 31 December 2023 |
| • tax losses arising in 2015 | 302,031,430 | 31 December 2024 |
| • tax losses arising in 2016 | 116,532,264 | 31 December 2025 |
| • tax losses arising in 2017 | 176,542,796 | 31 December 2026 |
| • tax losses arising in 2018 | 289,610,191 | 31 December 2027 |
| • tax losses arising in 2019 | 212,853,964 | 31 December 2027 |

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## Notes (continued)

### 23. Deferred Tax (continued)

#### Company

|                                    |               | 2019<br>Shs     | 2018<br>Shs   |
|------------------------------------|---------------|-----------------|---------------|
| At start of year                   |               | -               | (624,639)     |
| (Credit)/charge to profit or loss  |               | -               | 624,639       |
| At end of year                     |               | -               | -             |
|                                    |               | (Credit)/charge |               |
|                                    | At start      | to profit       | At end        |
|                                    | of year       | or loss         | of year       |
| <b>Deferred tax (assets)</b>       | <b>Shs</b>    | <b>Shs</b>      | <b>Shs</b>    |
| Property and equipment             | (106,017)     | 457,570         | 351,553       |
| Intangible assets                  | (518,622)     | (20,204)        | (538,826)     |
| Tax losses carried forward         | (150,399,699) | (56,070,699)    | (206,470,398) |
| Net deferred tax asset             | (151,024,338) | (55,633,333)    | (206,657,671) |
| Deferred tax assets not recognised | 151,024,338   | 55,633,333      | 206,657,671   |
|                                    | -             | -               | -             |

Deferred tax assets amounting to Shs. 204,221,729 (2018: Shs. 150,399,699) in respect of tax losses carried forward amounting to Shs. 680,739,096 (2018: Shs. 501,332,329) that can be carried forward against future taxable profits have not been recognised as there is no certainty of recoverability of such losses. These tax losses expire as follows:

|                              | Shs         | Expiry           |
|------------------------------|-------------|------------------|
| • tax losses arising in 2014 | 56,993,897  | 31 December 2023 |
| • tax losses arising in 2015 | 113,378,831 | 31 December 2024 |
| • tax losses arising in 2016 | 79,600,553  | 31 December 2025 |
| • tax losses arising in 2017 | 131,643,016 | 31 December 2026 |
| • tax losses arising in 2018 | 119,716,033 | 31 December 2027 |
| • tax losses arising in 2019 | 186,902,329 | 31 December 2028 |

### 24. Share capital

|                                                                               | Group and Company<br>2019<br>Shs | 2018<br>Shs |
|-------------------------------------------------------------------------------|----------------------------------|-------------|
| <b>Authorised</b>                                                             |                                  |             |
| 500,000,000 (2018: 500,000,000) ordinary shares of shs. 1 (2018: Shs. 1) each | 500,000,000                      | 500,000,000 |
| <b>Issued and fully paid:</b>                                                 |                                  |             |
| 405,255,320 (2018: 405,255,320) ordinary shares of Shs. 1 (2018: shs. 1) each | 405,255,320                      | 405,255,320 |

### 25. Share Premium

|                              | Group and Company<br>2019<br>Shs | 2018<br>Shs |
|------------------------------|----------------------------------|-------------|
| <b>Authorised</b>            |                                  |             |
| At start and end of the year | 68,842,038                       | 68,842,038  |

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## NOTES (CONTINUED)

### 26. Cash from operations

|                                                              | 2019<br>Shs        | Group<br>2018<br>Shs | 2019<br>Shs       | Company<br>2018<br>Shs |
|--------------------------------------------------------------|--------------------|----------------------|-------------------|------------------------|
| Reconciliation of (loss) before tax to cash from operations: |                    |                      |                   |                        |
| (Loss) before tax                                            | (886,601,938)      | (391,904,755)        | (188,588,603)     | (129,490,648)          |
| <b>Adjustments for:</b>                                      |                    |                      |                   |                        |
| Depreciation on property and equipment (Note 10)             | 6,506,392          | 6,874,919            | 3,977,132         | 3,962,764              |
| Amortization intangible assets (Note 12)                     | 926,768            | 1,266,111            | 926,768           | 1,266,111              |
| Loss on disposal                                             | -                  | 310,000              | -                 | 310,000                |
| Impairment provision on inventories                          | 390,531,081        | -                    | -                 | 310,000                |
| Interest expense (Note 7)                                    | 254,635,675        | 166,494,777          | 55,115,712        | 20,076,528             |
| Changes in working capital:                                  |                    |                      |                   |                        |
| • inventories                                                | 108,527,792        | (45,255,709)         | (75,921,568)      | 129,258,728            |
| - trade and other receivables                                | (338,013,052)      | (18,855,255)         | (1,672,957)       | 2,505,050              |
| - trade and other payables                                   | 555,212,461        | 290,625,602          | 270,493,146       | (15,142,844)           |
| - deferred income                                            | 224,423,285        | 61,642,478           | -                 | -                      |
| Cash from operations                                         | <u>316,148,465</u> | <u>71,198,168</u>    | <u>64,329,630</u> | <u>12,745,689</u>      |

### 27. Net Debt Reconciliation

Reconciliation of liabilities arising from financing activities:

**At start of year:**

|                              |                      |                      |                    |                    |
|------------------------------|----------------------|----------------------|--------------------|--------------------|
| Borrowings (Note 20)         | 803,049,894          | 707,024,803          | -                  | -                  |
| Private placement (Note 21)  | 500,000,000          | 494,182,715          | 500,000,000        | 494,182,715        |
| Deposit for shares (Note 22) | 174,808,522          | 182,588,522          | -                  | -                  |
|                              | <u>1,477,858,416</u> | <u>1,383,796,040</u> | <u>500,000,000</u> | <u>494,182,715</u> |

|                                                  |             |             |            |            |
|--------------------------------------------------|-------------|-------------|------------|------------|
| Interest on borrowings charged to profit or loss | 254,635,675 | 160,677,492 | 55,115,712 | 20,076,528 |
|--------------------------------------------------|-------------|-------------|------------|------------|

|                                                                                                         |             |           |   |   |
|---------------------------------------------------------------------------------------------------------|-------------|-----------|---|---|
| Interest on borrowings capitalised to inventory net of interest accruals included under trade and other | 160,830,554 | 1,962,715 | - | - |
|---------------------------------------------------------------------------------------------------------|-------------|-----------|---|---|

|                                        |               |              |              |              |
|----------------------------------------|---------------|--------------|--------------|--------------|
| payables Cash flows:                   |               |              |              |              |
| - Operating activities (interest paid) | (254,635,675) | (11,644,764) | (55,115,712) | (14,259,243) |
| - Repayments of long-term borrowings   | (40,378,939)  | (53,007,637) | -            | -            |

|                       |                             |                             |                           |                           |
|-----------------------|-----------------------------|-----------------------------|---------------------------|---------------------------|
| <b>At end of year</b> | <u><b>1,598,310,031</b></u> | <u><b>1,481,783,846</b></u> | <u><b>500,000,000</b></u> | <u><b>500,000,000</b></u> |
|-----------------------|-----------------------------|-----------------------------|---------------------------|---------------------------|

**Representing:**

|                              |                             |                             |                           |                           |
|------------------------------|-----------------------------|-----------------------------|---------------------------|---------------------------|
| Borrowings (Note 20)         | 921,560,824                 | 803,049,894                 | -                         | -                         |
| Private placement (Note 21)  | 500,000,000                 | 500,000,000                 | 500,000,000               | 500,000,000               |
| Deposit for shares (Note 22) | 168,972,272                 | 174,808,522                 | -                         | -                         |
|                              | <u><b>1,590,533,096</b></u> | <u><b>1,477,858,416</b></u> | <u><b>500,000,000</b></u> | <u><b>500,000,000</b></u> |

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## NOTES (CONTINUED)

### 28. Related Party Transactions and Balances

The nature of related parties is through common directorship and shareholding.

The following transactions were carried out with related parties:

|                                                                                         | <b>Group</b>       |                  | <b>Company</b>    |                   |
|-----------------------------------------------------------------------------------------|--------------------|------------------|-------------------|-------------------|
|                                                                                         | <b>2019</b>        | <b>2018</b>      | <b>2019</b>       | <b>2018</b>       |
|                                                                                         | <b>Shs</b>         | <b>Shs</b>       | <b>Shs</b>        | <b>Shs</b>        |
| <b>i) Sale of goods</b>                                                                 |                    |                  |                   |                   |
| Sale of plots to other related parties - shareholders                                   |                    |                  | 343,520,531       | -                 |
| <b>ii) Key management personnel compensation</b>                                        |                    |                  |                   |                   |
|                                                                                         | <b>2019</b>        | <b>2018</b>      | <b>2019</b>       | <b>2018</b>       |
|                                                                                         | <b>Shs</b>         | <b>Shs</b>       | <b>Shs</b>        | <b>Shs</b>        |
| Short term employee benefit                                                             | 9,087,142          | 31,985,228       | 2,000,000         | 2,550,000         |
| <b>iii) Outstanding balances arising from payments to/received from related parties</b> |                    |                  |                   |                   |
|                                                                                         | <b>Group</b>       | <b>Group</b>     | <b>Company</b>    | <b>Company</b>    |
|                                                                                         | <b>2019</b>        | <b>2018</b>      | <b>2019</b>       | <b>2018</b>       |
|                                                                                         | <b>Shs</b>         | <b>Shs</b>       | <b>Shs</b>        | <b>Shs</b>        |
| Receivable from related parties (Note 16)                                               | 352,297,174        | 8,098,934        | 31,764,761        | 22,198,301        |
| Receivables from related parties can be analysed as follows:                            |                    |                  |                   |                   |
| - Subsidiaries                                                                          | -                  | -                | 31,764,761        | 22,198,301        |
| - Other related parties                                                                 | 352,291,174        | 8,098,934        | -                 | -                 |
|                                                                                         | <b>352,291,174</b> | <b>8,098,934</b> | <b>31,764,761</b> | <b>22,198,301</b> |

The amounts receivable from related parties are interest free, have no specific dates of repayment and are unsecured

#### iv) Outstanding balances arising from payments to/received from related parties.

|                                                           | <b>Group</b>      |                   | <b>Company</b>     |                    |
|-----------------------------------------------------------|-------------------|-------------------|--------------------|--------------------|
|                                                           | <b>2019</b>       | <b>2018</b>       | <b>2019</b>        | <b>2018</b>        |
|                                                           | <b>Shs</b>        | <b>Shs</b>        | <b>Shs</b>         | <b>Shs</b>         |
| Payable to related parties (Note 19)                      | 84,358,103        | 77,345,722        | 259,839,193        | 249,224,129        |
| Payables from related parties can be analysed as follows: |                   |                   |                    |                    |
| - Subsidiaries                                            | -                 | -                 | 184,478,543        | 173,863,479        |
| - Other related parties e.g. Directors, shareholders      | 84,358,103        | 77,345,722        | 75,360,650         | 75,360,650         |
|                                                           | <b>84,358,103</b> | <b>77,345,722</b> | <b>259,839,193</b> | <b>249,224,129</b> |

The amounts payable to related parties are interest free, have no specific dates of repayment and are unsecured.

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## NOTES (CONTINUED)

### 29. Risk Management Objectives and Policies

#### *Financial Risk Management*

The group's activities expose it to a variety of financial risks: market risk (including interest rate risk), credit risk and liquidity risk.

Risk management is carried out by the management under policies approved by the board of directors. Management identifies and evaluates financial risks in close co-operation with various departmental heads. The board provides written principles for overall risk management, as well as written policies covering specific areas, such as interest rate risk and credit risk.

#### **(a) Market risk**

- Interest rate risk

The group's exposure to interest rate risk arises from non-current borrowings/current borrowings. Financial assets and liabilities obtained at different rates expose the company to interest rate risk.

At 31 December 2019, if interest rates at that date had been 1 percentage point lower with all other variables held constant, post-tax loss for the year would have been Shs. 6,189,281 (2018: 5,621,349) lower, arising mainly as a result of lower interest expense on variable rate borrowings. The effect would be the opposite were interest rates to be 1% higher. 1% represents the maximum expected high change in rates.

#### **(b) Credit risk**

Credit risk arises from cash and cash equivalents, derivative financial instruments and deposits with banks and financial institutions, as well as credit exposures to customers, including outstanding receivables.

If customers are independently rated, these ratings are used. Otherwise, if there is no independent rating, management assesses the credit quality of the customer, taking into account their financial position, past experience and other factors.

Individual limits are set based on internal or external information in accordance with limits set by the management. The utilisation of credit limits is regularly monitored.

In assessing whether the credit risk on a financial asset has increased significantly, the company compares the risk of default occurring on the financial asset as at the reporting date with the risk of default occurring on that financial asset as at the date of initial recognition. In doing so, the company considers reasonable and supportable information that is indicative of significant increases in credit risk since initial recognition and that is available without undue cost or effort. There is a rebuttable assumption that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due.

For these purpose default is defined as having occurred if the debtor is in breach of contractual obligations, or if information is available internally or externally that suggests that the debtor unlikely to be able to meet its obligations. However, there is a rebuttable assumption that that default does not occur later than when a financial asset is 90 days past due.

If the company does not have reasonable and supportable information to identify significant increases in credit risk and/or to measure lifetime credit losses when there has been a significant increase in credit risk on an individual instrument basis, lifetime expected credit losses are recognised on a collective basis. For such purposes, the company groups financial assets on the basis of shared credit risk characteristics, such as:

- type of instrument;
- industry in which the debtor operates; and
- nature of collateral.

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## NOTES (CONTINUED)

### 29. Risk Management Objectives and Policies (continued)

#### *Financial Risk Management (continued)*

A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Evidence that a financial asset is credit impaired include observable data about the the following events:

- significant financial difficulty of the debtor
- a breach of contract
- it is probable that the debtor will enter bankruptcy
- the disappearance of an active market for the financial asset because of financial difficulties.

The gross carrying amount of financial assets with exposure to credit risk at the balance sheet date of the group was as follows:

#### Group

| Basis for measurement of loss allowance | 12-month expected credit losses | Lifetime expected (see note below) |     |                    |                    |
|-----------------------------------------|---------------------------------|------------------------------------|-----|--------------------|--------------------|
|                                         |                                 | a)                                 | b)  | c)                 | Total              |
| As at 31 December 2019                  | Shs                             | Shs                                | Shs | Shs                | Shs                |
| Trade receivables                       | -                               | -                                  | -   | 1,880,001          | 1,880,001          |
| Other receivables                       | -                               | -                                  | -   | 7,140,365          | 7,140,365          |
| Deposits and prepayments                | -                               | -                                  | -   | 46,208,695         | 46,208,695         |
| Shareholders account                    | -                               | -                                  | -   | 500,000            | 500,000            |
| Receivables from related parties        | -                               | -                                  | -   | 391,279,043        | 391,279,043        |
| Gross carrying amount                   | -                               | -                                  | -   | 447,008,104        | 447,008,104        |
| Loss allowance                          | -                               | -                                  | -   | (38,987,869)       | (38,987,869)       |
| Exposure to credit risk                 | -                               | -                                  | -   | <b>408,020,235</b> | <b>408,020,235</b> |
| <b>As at 31 December 2018</b>           |                                 |                                    |     |                    |                    |
| Other receivables                       | -                               | -                                  | -   | 6,848,540          | 6,848,540          |
| Deposits and prepayments                | -                               | -                                  | -   | 54,559,709         | 54,559,709         |
| Shareholders account                    | -                               | -                                  | -   | 500,000            | 500,000            |
| Receivables from related parties        | -                               | -                                  | -   | 47,086,803         | 47,086,803         |
| Gross carrying amount                   | -                               | -                                  | -   | 108,995,052        | 108,995,052        |
| Loss allowance                          | -                               | -                                  | -   | (38,987,869)       | (38,987,869)       |
| Exposure to credit risk                 | -                               | -                                  | -   | <b>70,007,183</b>  | <b>70,007,183</b>  |

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## NOTES (CONTINUED)

### 29. Risk Management Objectives and Policies

#### *Financial Risk Management (continued)*

##### Company

| Basis for measurement of<br>loss allowance | 12-month<br>expected<br>credit<br>losses | Lifetime expected (see note below) |          |                   |                   |
|--------------------------------------------|------------------------------------------|------------------------------------|----------|-------------------|-------------------|
|                                            |                                          | a)                                 | b)       | c)                | Total             |
| As at 31 December 2019                     | Shs                                      | Shs                                | Shs      | Shs               | Shs               |
| Other receivables                          | -                                        | -                                  | -        | 175,808           | 175,808           |
| Deposits and prepayments                   | -                                        | -                                  | -        | 1,369,876         | 1,369,876         |
| Receivables from related parties           | -                                        | -                                  | -        | 842,729,101       | 842,729,101       |
| Gross carrying amount                      | -                                        | -                                  | -        | 844,274,785       | 844,274,785       |
| Loss allowance                             | -                                        | -                                  | -        | (810,964,340)     | (810,964,340)     |
| Exposure to credit risk                    | -                                        | -                                  | -        | <b>33,310,445</b> | <b>33,310,445</b> |
| <b>As at 31 December 2018</b>              |                                          |                                    |          |                   |                   |
| Other receivables                          | -                                        | -                                  | -        | 6,748,940         | 6,748,940         |
| Deposits and prepayments                   | -                                        | -                                  | -        | 2,690,247         | 2,690,247         |
| Receivables from related parties           | -                                        | -                                  | -        | 822,883,612       | 822,883,612       |
| Gross carrying amount                      | -                                        | -                                  | -        | 832,322,799       | 832,322,799       |
| Loss allowance                             | -                                        | -                                  | -        | (800,685,311)     | (800,685,311)     |
| <b>Exposure to credit risk</b>             | <b>-</b>                                 | <b>-</b>                           | <b>-</b> | <b>31,637,488</b> | <b>31,637,488</b> |

Financial assets for which the loss allowance has been measured at an amount equal to lifetime expected credit losses have been analysed above based on their credit risk ratings as follows:

- financial assets for which credit risk has increased significantly since initial recognition but that are not credit impaired;
- financial assets that are credit impaired at the balance sheet date;
- trade receivables, contract assets and lease receivables for which the loss allowance is always measured at an amount equal to lifetime expected credit losses, based, as a practical expedient, on provision matrices.

#### **(c) Liquidity risk**

Cash flow forecasting is performed by the finance department of the group by monitoring the company's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the group does not breach borrowing limits or covenants on any of its borrowing facilities.

Prudent liquidity risk management implies maintaining sufficient cash, the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions. Due to the dynamic nature of the underlying businesses, the company's management maintains flexibility in funding by maintaining availability under committed credit lines.

Notes 21 and 20 disclose the maturity analysis of borrowings and trade and other payables respectively.

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## NOTES (CONTINUED)

### 29. Risk Management Objectives and Policies

#### *Financial Risk Management (continued)*

##### Group

##### Year ended 31 December 2019

|                                  | Interest<br>rate<br>% | Less than<br>1 year<br>Shs | 1 - 5 years<br>Shs | More than<br>5 years<br>Shs | Total<br>Shs         |
|----------------------------------|-----------------------|----------------------------|--------------------|-----------------------------|----------------------|
| Interest bearing liabilities     |                       |                            |                    |                             |                      |
| - Bank loans                     | 18.5%                 | 1,092,049,577              | -                  | -                           | 1,092,049,577        |
| - Private placement bond         | 17.0%                 | 500,000,000                | -                  | -                           | 500,000,000          |
| Non-interest bearing liabilities |                       |                            |                    |                             |                      |
| - Deposit for shares             | -                     | 168,972,272                | -                  | -                           | 168,972,272          |
| - Trade and other payables       | -                     | 3,469,639,115              | -                  | -                           | 3,469,639,115        |
|                                  |                       | <b>5,230,660,964</b>       | <b>-</b>           | <b>-</b>                    | <b>5,230,660,964</b> |

##### Year ended 31 December 2018

|                                  | Interest<br>rate<br>% | Less than<br>1 year<br>Shs | 1 - 5 years<br>Shs | More than<br>5 years<br>Shs | Total<br>Shs         |
|----------------------------------|-----------------------|----------------------------|--------------------|-----------------------------|----------------------|
| Interest bearing liabilities     |                       |                            |                    |                             |                      |
| - Bank loans                     | 23.0%                 | 987,751,370                | -                  | -                           | 987,751,370          |
| - Private placement bond         | 17.0%                 | 500,000,000                | -                  | -                           | 500,000,000          |
| Non-interest bearing liabilities |                       |                            |                    |                             |                      |
| - Deposit for shares             | -                     | 174,808,522                | -                  | -                           | 174,808,522          |
| - Trade and other payables       | -                     | 3,073,316,524              | -                  | -                           | 3,073,316,524        |
|                                  |                       | <b>4,735,876,416</b>       | <b>-</b>           | <b>-</b>                    | <b>4,735,876,416</b> |

##### Year ended 31 December 2019

|                                  | Interest<br>rate<br>% | Less than<br>1 year<br>Shs | 1 - 5 years<br>Shs | More than<br>5 years<br>Shs | Total<br>Shs         |
|----------------------------------|-----------------------|----------------------------|--------------------|-----------------------------|----------------------|
| <b>Company</b>                   |                       |                            |                    |                             |                      |
| Interest bearing liabilities     |                       |                            |                    |                             |                      |
| - Corporate bond                 | 17.0%                 | 500,000,000                | -                  | -                           | 500,000,000          |
| Non-interest bearing liabilities |                       |                            |                    |                             |                      |
| - Trade and other payables       |                       | 1,018,222,531              | -                  | -                           | 1,018,222,531        |
|                                  |                       | <b>1,518,222,531</b>       | <b>-</b>           | <b>-</b>                    | <b>1,518,222,531</b> |

##### Year ended 31 December 2018

|                                  | Interest<br>rate<br>% | Less than<br>1 year<br>Shs | 1 - 5 years<br>Shs | More than<br>5 years<br>Shs | Total<br>Shs         |
|----------------------------------|-----------------------|----------------------------|--------------------|-----------------------------|----------------------|
| Interest bearing liabilities     |                       |                            |                    |                             |                      |
| - Corporate bond                 | 17.0%                 | 500,000,000                | -                  | -                           | 500,000,000          |
| Non-interest bearing liabilities |                       |                            |                    |                             |                      |
| - Trade and other payables       |                       | 747,729,385                | -                  | -                           | 747,729,385          |
|                                  |                       | <b>1,247,729,385</b>       | <b>-</b>           | <b>-</b>                    | <b>1,247,729,385</b> |

**HOME AFRIKA LIMITED**  
**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS**  
**FOR THE YEAR ENDED 31 DECEMBER 2019**

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## NOTES (CONTINUED)

### 30. Capital Management

Internally imposed capital requirements

- to provide an adequate return to shareholders by pricing products and services commensurate with the level of risk;
- to comply with the capital requirements set out by the group's bankers;
- to safeguard the entity's ability to continue as a going concern, so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- to maintain a strong asset base to support the development of business.
- to maintain an optimal capital structure to reduce the cost of capital.

The group sets the amount of capital in proportion to risk. The company manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the company may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares, or sell assets to reduce debt. Consistently with others in the industry, the company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided capital. Net debt is calculated as total debt (as shown in the statement of financial position) less cash and cash equivalents. Capital comprises all components of equity (i.e. share capital, share premium and other reserves retained earnings).

Due to accumulated losses, the group is entirely funded by its lenders.

### 31. Contingent Liabilities

The group is in receipt of certain claims for damages and other remuneration from former employees. Amounts payable based on agreement entered into with the former employees as of the date of approval of these financial statements have been provided for where material. Disputed amounts have not been provided for as the company does not believe these are payable based on legal and other advice received. It is not possible to predict with certainty any further amounts that are payable following completion of the ongoing discussions in this regard.

Home Afrika Communities Limited (a subsidiary) received preliminary claims from the Kenya Revenue Authority. The company has disputed the assessment and lodged a formal objection through their tax consultant. There has been no further development in this regard. No provision for this has been recognised in these financial statements based on defences available against such claims. It is not possible to determine with certainty the amounts that may be payable.

The group is also subject to claims which arise in the ordinary course of business. No provisions for such claims have been recognised as the directors are of the opinion that no material loss will arise from such claims.

### 32. Incorporation

Home Afrika Limited is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya.

### 33. Presentation Currency

The financial statements are presented in Kenya Shillings (Shs).

**HOME AFRIKA LIMITED**  
**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS**  
**FOR THE YEAR ENDED 31 DECEMBER 2019**

## SCHEDULE OF EXPENDITURE

### 1. SELLING AND DISTRIBUTION EXPENSES

|                                                | 2019<br>Shs       | Group<br>2018<br>Shs | 2019<br>Shs       | Company<br>2018<br>Shs |
|------------------------------------------------|-------------------|----------------------|-------------------|------------------------|
| Marketing fees                                 | 12,382,405        | 8,659,790            | 5,277,235         | 2,600,673              |
| Commissions                                    | 15,966,556        | 2,928,920            | 11,668,197        | 327,600                |
| Advertising and sales promotion                | 1,858,235         | 1,492,318            | 1,739,884         | 1,523,717              |
| <b>Total selling and distribution expenses</b> | <b>30,207,196</b> | <b>13,081,028</b>    | <b>18,685,316</b> | <b>4,451,990</b>       |

### 2. ADMINISTRATIVE EXPENSES

#### Employment:

|                               |                    |                    |                   |                   |
|-------------------------------|--------------------|--------------------|-------------------|-------------------|
| Salaries and wages            | 93,024,749         | 100,924,319        | 63,943,653        | 61,218,429        |
| Medical                       | 5,636,890          | 5,576,769          | 3,016,485         | 1,556,696         |
| Staff training and welfare    | 6,973,196          | 6,374,430          | 3,826,612         | 2,139,114         |
| <b>Total employment costs</b> | <b>105,634,835</b> | <b>112,875,518</b> | <b>70,786,750</b> | <b>64,914,239</b> |

#### Other administrative expenses:

|                                            |                    |                    |                    |                    |
|--------------------------------------------|--------------------|--------------------|--------------------|--------------------|
| Directors and Committee allowance          | 9,087,142          | 31,985,228         | 2,000,000          | 2,550,000          |
| Provision for doubtful debts               | -                  | 10,693,642         | 10,279,029         | 8,199,876          |
| Meetings expenses                          | 4,306,187          | 2,928,640          | 4,306,187          | 2,928,640          |
| Legal and professional fees                | 58,298,467         | 45,149,008         | 14,871,768         | 19,969,582         |
| Vehicle running                            | 2,943,015          | 2,579,862          | 2,087,971          | 1,211,481          |
| Office expenses                            | 3,413,650          | 1,324,339          | 1,194,512          | 777,491            |
| Postages and telephones                    | 2,533,410          | 2,906,603          | 1,195,861          | 1,835,468          |
| Audit fees                                 |                    |                    |                    |                    |
| - current year                             | 2,905,000          | 3,686,000          | 650,000            | 600,000            |
| - under provision in prior years           | 18,200             | 311,944            | -                  | -                  |
| Travelling and accommodation               | 3,784,008          | 2,208,829          | 3,762,518          | 659,909            |
| Donations                                  | 158,895            | 842,217            | 108,895            | 126,500            |
| Computer expenses                          | 5,736,852          | 3,259,532          | 4,185,024          | 2,701,059          |
| Printing and stationery                    | 104,473            | 369,963            | 43,665             | 363,478            |
| Bank charges and commissions               | 1,064,262          | 746,963            | 616,326            | 292,961            |
| Secretarial fees                           | -                  | 1,126,079          | 1,261,685          | 1,126,079          |
| <b>Total other administrative expenses</b> | <b>95,615,246</b>  | <b>110,118,849</b> | <b>46,563,441</b>  | <b>43,342,524</b>  |
| <b>Total administrative expenses</b>       | <b>201,250,081</b> | <b>222,994,367</b> | <b>117,350,190</b> | <b>108,256,763</b> |

### 3. OTHER OPERATING EXPENSES

| Group                                      | 2019<br>Shs       | Company<br>2018<br>Shs | 2019<br>Shs      | 2018<br>Shs      |
|--------------------------------------------|-------------------|------------------------|------------------|------------------|
| <b>Establishment:</b>                      |                   |                        |                  |                  |
| Depreciation on property and equipment     | 6,506,392         | 6,874,919              | 3,977,132        | 3,962,764        |
| Repairs and maintenance                    | 3,205,890         | 3,270,039              | 767,037          | 573,503          |
| Service charge                             | 1,290,923         | 1,246,431              | 1,290,923        | 1,246,431        |
| Insurance                                  | 2,857,517         | 2,511,875              | 1,863,580        | 1,525,611        |
| Security                                   | 11,651,057        | 11,826,382             | -                | -                |
| Amortization intangible asset              | 926,768           | 1,266,111              | 926,768          | 1,266,111        |
| Electricity                                | 1,996,586         | 2,074,385              | 387,747          | 335,311          |
| Loss on disposal of property and equipment | -                 | 310,000                | -                | 310,000          |
| Rent and rates                             | 2,706,148         | 102,300                | 258,048          | -                |
| Licence and subscriptions                  | 537,446           | 284,693                | 367,246          | 235,193          |
| <b>Total other operating expenses</b>      | <b>31,678,727</b> | <b>29,767,135</b>      | <b>9,838,480</b> | <b>9,454,924</b> |



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Due to the ongoing Covid-19 pandemic and the Government of Kenya directives restricting public gatherings, shareholders will not be able to attend the Annual General Meeting in person but will be able to register for, access information pertaining to the Audited Financial Statements of Home Afrika Limited for the year ending 31st December, 2019, vote electronically in person or by proxy and follow the meeting in the manner detailed below. Shareholders are requested to ask questions in advance of the meeting as detailed in the instructions below.

## NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that the Annual General Meeting of the Shareholders of Home Afrika Limited will be held via virtual conference on Thursday, 30th July 2020 at 10.00 am to transact the following business:

### AGENDA

#### ORDINARY BUSINESS

##### 1. Constitution of the Meeting

To read the notice convening the meeting and determine if a quorum is present.

##### 2. Confirmation of the Minutes

To confirm the Minutes of the previous Annual General Meeting held on 5th September 2019.

##### 3. Financial Statement for the Year ended 31st December 2019

To receive, consider and if thought fit, adopt the Audited Consolidated Financial Statements for the year ended 31st December 2019 together with the Directors' and Auditors reports thereon.

##### 4. Dividend

To note that the Directors do not recommend the payment of a dividend for the year ended 31st December 2019.

##### 5. Election of Directors

- a) In accordance with Article 115 of the Company's Articles of Association, the following Directors having been appointed as additional directors on the Board to hold office until the conclusion of the next Annual General Meeting, retire and being eligible, individually offer themselves for re-election:
  - i.) Mrs. Kendi Ogamba
  - ii.) Mr. Peter Mungai Ndungu
  - iii.) Ms. Frida Owinga
  - iv.) Ms. Bertha Mvati



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b) In accordance with the provisions of Section 769 of the Companies Act 2015, the following directors, being members of the Board Audit, Risk and Compliance Committee be elected to continue to serve as members of the said Committee:

- i. Mr. Luke Kinoti (Chairperson)
- ii. Mrs. Kendi Ogamba
- iii. Ms. Caroline Kigen

## 6. Remuneration of Directors

To receive, consider and if thought fit, approve the Directors' Remuneration Report for the year ended 31 December 2019 and to authorize the Board to fix the remuneration of the Directors.

## 7. Appointment and Remuneration of Auditors

To re-appoint Messrs. PKF Kenya as auditors of the Company, having expressed their willingness to continue in office, and in accordance with the provisions of Section 721(2) and 724 of the Companies Act 2015 and to authorize the Board to fix their remuneration for the ensuing financial year.

## 8. Special Business

To pass a Special Resolution to amend Section 62 of the Articles of Association of the Company and create a new Article 62A of the Articles of Association of the Company to allow for simultaneous attendance and participation by electronic means for General Meetings as follows:

"62A. In the case of any general meeting, the Directors may make arrangements for simultaneous attendance and participation by electronic means allowing persons not present together at the same place to attend speak and vote at the meeting. The provisions of these Articles relating to proceedings of Members apply insofar as they are capable of application mutatis mutandi to such meeting."

## 9. Any Other Business

To transact any other business that may legally be transacted at an annual general meeting, of which due notice has been received.

By Order of the Board

Madren Oluoch-Olunya

Company Secretary

17th June 2020, Nairobi



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## Notes:

1. Home Afrika Limited has convened and is conducting this virtual AGM following receipt of a 'No Objection' from the Capital Markets Authority (CMA).
2. Shareholders wishing to participate in the meeting should register for the AGM online at <https://digital.candrgroup.co.ke> or via USSD using short code number \*384\*040# and following the various prompts regarding the registration process. In order to complete the registration process, shareholders will need to have their Share Account Number or CDSC Account Number and the ID/Passport Number which were used to purchase their shares.
3. Registration for the AGM opens on Monday, 6th July 2020 at 10:00 a.m. and will close on Monday, 27th July 2020 at 12:00 noon. Shareholders will not be able to register after Monday, 27th July 2020 at 12:00 noon.
4. For assistance, shareholders should dial the following helpline number: + 254 20 760 8216 or +254 20 869 0360 from 9:00 a.m. to 3:00 p.m. during the registration open period. Any shareholder outside Kenya should dial the helpline number or email [digital@candrgroup.co.ke](mailto:digital@candrgroup.co.ke) to be assisted to register.
5. Shareholders can access the Virtual AGM using their log in credentials via <https://digital.candrgroup.co.ke> to view the livestream and vote and submit questions. Shareholders without internet access can access the Virtual AGM and vote and submit questions using their log in credentials via USSD \*384\*040#
6. Shareholders wishing to raise any questions or clarifications regarding the AGM may do so by:

### (a) During the AGM

- i) Shareholders accessing Virtual AGM via <https://digital.candrgroup.co.ke> platform; Select Attend Event; Select Home Afrika AGM; Select Q&A option tab and submit questions in text box provided; or
- ii) Shareholders accessing Virtual AGM via USSD platform; Use the menu prompts to Select Home Afrika AGM; Select the menu option for Q&A and submit their questions (within 160-character limit for sms text)

### (b) Prior to AGM

- i) Accessing <https://digital.candrgroup.co.ke>; Select Attend Event; Select Home Afrika AGM; Select Q&A option tab and submit their questions in the text box provided; or
- ii) Sending their written questions by email to [digital@candrgroup.co.ke](mailto:digital@candrgroup.co.ke); or
- iii) To the extent possible, physically delivering their written questions with a return physical address or email address to the offices of Custody and Registrars Services Ltd, Company's Registrars, at IKM Place, Tower B, 1st Floor, 5th Ngong Avenue.
  - Shareholders must provide their full details (full names, ID/Passport Number, Shares Account Number/ CDSC Account Number) when submitting their questions and clarifications by email or delivery.
  - All questions and clarification must reach the Company on or before Monday, 27th July 2020 at 10:00 a.m.



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7. Shareholders wishing to vote during the AGM may do so when prompted by:
  - i) Shareholders accessing Virtual AGM via <https://digital.candrgroup.co.ke> platform; Select Attend Event; Select Home Afrika AGM; Select Voting option tab and vote;
  - ii) Shareholder accessing Virtual AGM via USSD platform; Use the menu prompts to Select Home Afrika AGM; Select menu option for Voting and follow the various prompts regarding the voting process.
8. In accordance with Section 298(1) of the Companies Act, shareholders entitled to attend and vote at the AGM are entitled to appoint a proxy to attend and vote on their behalf. A proxy need not be a member of the Company and will need to have access to a mobile phone. A proxy form must be signed by the appointor or his attorney duly authorized in writing. If the appointer is a body corporate, the instrument appointing the proxy shall be given under its common seal or under the hand of an officer or duly authorized attorney of such body corporate. A completed form of proxy should be emailed to [proxy@candrgroup.co.ke](mailto:proxy@candrgroup.co.ke) or delivered to Custody and Registrars Services Ltd at IKM Place, Tower B, 1st Floor, 5th Ngong Avenue, so as to be received not later than Tuesday, 28th July 2020 at 10.00 a.m. When nominating a proxy, the ID/Passport No, email and mobile number of the proxy must be submitted to facilitate registration. Any proxy registration that is rejected will be communicated to the Shareholder concerned no later than Tuesday, 28th July 2020 to allow time to address any issues.
9. The Virtual AGM will be accessible to Shareholders and Proxies who have duly registered and received the log-in credentials. Duly registered Shareholders and Proxies will receive a short message service (SMS/USSD) prompt on their registered mobile numbers, 24 hours prior to the AGM acting as a reminder of the AGM. A second SMS/USSD prompt shall be sent 2 hours ahead of the AGM, reminding duly registered Shareholders and proxies that the AGM will begin in 2 hours' time.
10. In accordance with Section 283(3) of the Companies Act, a copy of this notice, the proxy form, the Annual Report and Audited Financial Statements for the year ended 31st December 2019 and the profiles of the new directors to be elected may be viewed on or downloaded from the Company's website at [www.homeafrika.com](http://www.homeafrika.com)
11. Results of the AGM voting shall be published on the Company's website within 24 hours following the conclusion of the AGM.

Shareholders are continuously encouraged to monitor the Company's website [www.homeafrika.com](http://www.homeafrika.com) for updates relating to the AGM due to the continuous evolving situation with the Covid-19 pandemic and the Government directives being subject to change. We appreciate the understanding of our shareholders as we navigate the changing business conditions posed by the Covid-19 pandemic.

## HOME AFRIKA LIMITED

## PROXY FORM

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I/We, \_\_\_\_\_ of P.O. Box  
 \_\_\_\_\_ being a member/members of the above-named  
 Company, hereby appoint \_\_\_\_\_ of  
 (postal address, email, telephone number) \_\_\_\_\_

and failing \*him/her the Chairman of the meeting as my/our proxy to vote for me/us and on  
 my/our behalf at the Annual General Meeting of the Company to be held on Thursday, 30<sup>th</sup>  
 July 2020 at 10.00 a.m., and at any adjournment thereof.

Dated this \_\_\_\_\_ day of \_\_\_\_\_ 2020.

Signature(s)/Seal: \_\_\_\_\_

Unless otherwise instructed, the proxy will vote as he/she thinks fit.

## Notes

1. In accordance with Section 298(1) of the Companies Act, shareholders entitled to attend and vote at the AGM are entitled to appoint a proxy to attend and vote on their behalf. A proxy need not be a member of the Company and **will need to have access to a mobile phone**. A proxy form must be signed by the appointor or his attorney duly authorized in writing. If the appointer is a body corporate, the instrument appointing the proxy shall be given under its common seal or under the hand of an officer or duly authorized attorney of such body corporate. **A completed form of proxy should be emailed to [proxy@candrgroup.co.ke](mailto:proxy@candrgroup.co.ke) or delivered to Custody and Registrars Services Ltd at IKM Place, Tower B, 1st Floor, 5th Ngong Avenue, so as to be received not later than Tuesday, 28th July 2020 at 10.00 a.m.** When nominating a proxy, the ID/Passport No, email and mobile number of the proxy must be submitted to facilitate registration. Any proxy registration that is rejected will be communicated to the Shareholder concerned no later than Tuesday, 28th July 2020 to allow time to address any issues.

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2. Registration for the AGM opens on **Monday, 6th July 2020 at 10:00 a.m. and will close on Monday, 27th July 2020 at 12:00 noon.** Shareholders will not be able to register after Monday, 27th July 2020 at 12:00 noon.
3. For assistance, shareholders should dial the following helpline number: + 254 20 760 8216 or +254 20 869 0360 from 9:00 a.m. to 3:00 p.m. during the registration open period. Any shareholder outside Kenya should dial the helpline number or email [digital@candrgroup.co.ke](mailto:digital@candrgroup.co.ke) to be assisted to register.
4. Duly registered Shareholders and Proxies wishing to participate in the meeting should register for the AGM online at <https://digital.candrgroup.co.ke> or via USSD using short code number **\*384\*040#** and following the various prompts regarding the registration process. In order to complete the registration process, shareholders will need to have their Share Account Number or CDSC Account Number and the ID/ Passport Number which were used to purchase their shares.
5. The Virtual AGM will be accessible to Shareholders and Proxies who have duly registered and received the log-in credentials. Duly registered Shareholders and Proxies will receive a short message service (SMS/USSD) prompt on their registered mobile numbers, 24 hours prior to the AGM acting as a reminder of the AGM. A second SMS/ USSD prompt shall be sent 2 hours ahead of the AGM, reminding duly registered Shareholders and proxies that the AGM will begin in 2 hours' time.
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**(b) Prior to AGM**

- i) Accessing <https://digital.candrgroup.co.ke>; Select Attend Event; Select Home Afrika AGM; Select Q&A option tab and submit their questions in the text box provided; or
  - ii) Sending their written questions by email to [digital@candrgroup.co.ke](mailto:digital@candrgroup.co.ke); or
  - iii) To the extent possible, physically delivering their written questions with a return physical address or email address to the offices of Custody and Registrars Services Ltd, Company's Registrars, at IKM Place, Tower B, 1st Floor, 5th Ngong Avenue.
    - *Shareholders must provide their full details (full names, ID/Passport Number, Shares Account Number/CDSC Account Number) when submitting their questions and clarifications by email or delivery.*
    - *All questions and clarification must reach the Company on or before **Monday, 27th July 2020 at 10:00 a.m.***
8. Shareholders wishing to vote during the AGM may do so when prompted by:
- i) Shareholders accessing Virtual AGM via <https://digital.candrgroup.co.ke> platform; Select Attend Event; Select Home Afrika AGM; Select Voting option tab and vote;
  - ii) Shareholder accessing Virtual AGM via USSD platform; Use the menu prompts to Select Home Afrika AGM; Select menu option for Voting and follow the various prompts regarding the voting process.
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## NOTES

This image shows a full page of white paper with horizontal blue ruling lines. The lines are evenly spaced and run across the width of the page, typical of notebook or legal stationery. There are no margins, text, or other markings on the page.



## INTEGRATED REPORT COMMITTEE



HOME AFRIKA

Pent Suite 01  
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